

Supreme Petroch. (SPLPETRO)

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Call: Aug 2023

,oSUPREME PETROCHEM LTD

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Dear Sir/Madam,

Sub: Transcript of Earnings Conference Gall of Supreme Petrochem Ltd

('The Gompany')

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please refer to our letter dated July 26, 2023, wherein we had informed you that Earnings Conference Call with investors of the Company will be held on July 31,2023 to discuss Q1-FY24 earnings.

please note that the said conference call as scheduled was held at 04:00 PM (1ST) on July 31, 2023. In this regard, pursuant to Regulation 30 of Listing Regulations, please find attached Transcript of the call with investors of the Company.

This is for your information and record'

Thanking you

Yours faithfully,

FoT SUPREME PETROCHEM LTD

D. N. MISHRA

COMPANY SECRETARY

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Certificate No. INAAACST 249C2F228

Supreme Petrochem Limited

q1 FY24 Earnings Conference Call

July 31, 2023

Moderator:

Anuj SonpalLadies and gentlemen, good day and welcome to the Supreme Petrochem Limited Q1 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, sir.

Thank you. Good evening, everyone and very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor relations of Supreme Petrochem Limited. On behalf of the company, I want to thank you all for participating in the company's Earnings call for the first quarter of the Financial Year 2024.

Before we begin, let me mention a short cautionary statement, some of the statements made in today's earnings call may be forward-looking in nature, such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements and making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management, participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us, Mr' Rakesh Nayyar -

Executive Director and Chief Financial Officer, Mr. Dilip Deole - Chief Executive (Finance and Accounts), and Mr. D. N. Mishra - Company Secretary. Without any further delay, I request Mr. Nayyar to start with his opening remarks. Thank you and. Over to you, Sir.

Thank you, Anuj. Good afternoon everyone. It is my pleasure to welcome you all to the Earnings Conference Call for the first quarter of financial year 24. In the interest of some of you who are new to the company, let me first start by giving you a brief overview of the Rakesh Nayyar:

Moderator:

Nirav Jimudia:

Rakesh Nayyar: company, Supreme Petrochem was formed as a joint venture between the Supreme Industries and the Rajan Raheja Group. The company is the undisputed

leader in Polystyrene

in India with a market share of over 50% and SPL is also the largest exporter of polystyrene from India with customers in over 100 countries around the globe. SPL forayed into Expanded polystyrene in 2006 and since then has become the leader with over 50% market share in this segment as well. The product range of the company includes General Purpose Polystyrene and High Impact Polystyrene and Expandable Polystyrene, Masterbatches and Compounds and Extruded Polystyrene insulation board.

Now giving you the brief overview of the financial performance of the first quarter' The operational income for the quarter was Rs. 1,225 crores. The reported EBITDA was approximately around Rs.91 crores and EBITDA margins stands at 7.39%. The net profit after tax was reported at Rs.69 crores, while the PAT margins stood at 5.66%. Our turnover and margins were impacted in this quarter due to fall in the prices of Styrene Monomer, which is our main raw material for the company's products. While the fall was by over 22%, which resulted in the destocking and it also not only impacted margins, but also the volumes of the company. Our total sales volumes of the manufactured products though increased by around 9% year-on-year including the exports, while domestic sales volumes declined by 4% year-on-year due to low off take by the appliance manufacturers, Lastly the implementation of our first phase of Mass ABS Project with a capacity of 70,000 tons per annum is progressing as per schedule and is expected to be commissioned by the third quarter of 2024-25. With this I open the floor for question and answers session please.

Thank you. We will now begin the question and answer session. The first question is from the line of Nirav Jimudia from Anvil Research. Please go ahead'

Sir I have few questions to ask, sir, first is on our volumes for PS in first quarter, so let us say out of our total volumes of 77,000, how much is the volume for PS? And if you can break it down between the Specialty Grade and Commodity Grade, so that is one? And this out of total turnover of Rs. 1,225, which we have reported, how much is the trading turnover? And if you can mention the same figure for the last quarter last year? Third question is of the total volume growth of 8J% what we have registered this quarter, on a Y-o-Y basis how much is the growth of EPS out of this volume growth? And last, if you can quantify the inventory losses because of the steep reduction in this Styrene prices this quarter?

Nirav, let me first address the last question of yours, the Styrene prices dropped by close to 25% for some days in between. The prices they dropped from almost from 51,100 to 5850 in this quarter. Now as far as the Polystyrene is concerned, 68% turnover is from the Polystyrene and the rest is from the EPS, Masterbatches Compounds and XPS. In terms of your de-growth in the EPS is concerned, EPS market was stagnant as compared to the same quarter last year because EPS is also impacted by the low offtake by the appliance manufacturers. I can tell you that the lifting by the appliance manufacturers in this quarter as compared to the same

Nirav Jimudia

Rakesh Nayyar:

Nirav Jimudia

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:

Moderator:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan: quarter last year was down by almost 20% and as far as the trading is concerned, trading is closer to 20%-2L% of our topline.

You mentioned about the turnover in terms of Polystyrene, which is 68%, if you can tell us about the volume that out of our total volumes, what was the volumes of the Polystyrene?

I am sorry, I will not be able to give you the volume breakup of that, as the segment wise volume breakup will not be able to provide you for various reasons.

Sir, if you can tell us, let us say out of this 68% turnover from the Polystyrene, what was the breakup between the Specialty grade and the Commodity grade, if you can clarify on the same, because within those Polystyrene also?

I wi

Let me tell you, within the Polystyrene our breakup of the topline the Value-Added grades are roughly closer to 40% only.

So this is about the total turnover you mentioned, 14% or of the Polystyrene you mention? Of the total volumes. Total volumes you are talking about is the 40% of the total volumes is from the Value Added grades.

Thank you. The next question comes from the line of Aditya Khetan from SMIFS Institutional. Please go ahead.

Sir, my first question was if you can quantify the inventory loss during the quarter, almost 2% or 3% of EBITDA, if you can quantify it?

Aditya, see quantifying an inventory loss when the prices are falling and also we are selling and the new material is coming, it is always in the pipeline. It is very difficult to actually arrive at a very correct number, but our estimates are that the inventory loss was to the extent of Rs. 90 crores to Rs. 100 crores.

Sir, generally, what I understand, sir, our product mix, so we are keeping a raw material inventory of almost 10 to 15 days only, so even if the prices crashed by 20%-25%, since our raw material days are very less, what do you think an impact of Rs. 90 crores-Rs. 100 crores is too big considering we are having only raw material inventory days of only 10 or 15? So how did you?

Aditya, 15 days is what we have at our plant, but then the inventory is the day when a purchase order that a commitment is made and the commitment is made for the material to come, because it is all imported material. The shipment takes place, the clearances have to be taken place, so it is a pipeline which always is there. So it is an impact which does not only last for 15 days, but then it is the impact which is going on for almost if you look at the full cycle from the date of the purchase of raw material to the arrival of the material, to the processing. Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar: of the material, stocking of the material and finally the sale, it is a time frame which takes almost 45 to 60 days then. And secondly it is just not the raw material when the raw material prices fall even on your finished goods what you have in stock, the impact comes.

Sir, since you have started the new facility of Polystyrene and EPS, so last quarter I understand because of the appliance players stocking up, the volumes had gone up, but since we had also started the new facility, so volumes from that facility should have actually offsetted the last quarter, so decline into the appliances, but still on quarter-on-quarter basis, we are witnessing a decline in volumes. So if you can tell us what are the utilization levels we had clocked for the new facility of Polystyrene and for EPS?

Aditya, as far as the utilization from the new facility is concerned, it is actually the same complex, it is the new line which was established like we had earlier, 3 lines of Polystyrene and we had one dedicated line for GPPS, one for High Impact and one was a swing line. Now what we have is say 2 lines for GPPS and two lines for HIPS and whatever line we want to run depending upon what the demand is in the market, we can run that plant and we have run that plant on 100% basis also, but then you have to look at the overall capacity utilization, not the line wise capacity utilization for us and as soon as we are concerned we have utilized our polystyrene facility to the extent of in the quarter, it was used to the extent of roughly close to 60%.

Sir, this decline into the Styrene Monomer prices, so this is linked to the global chemical prices which are falling or because there is also a capacity addition, big capacity addition of Styrene Monomer which is coming up in China, so which is the factor that has led to such steep decline in prices of SM?

See the steep decline, if you notice that in this quarter, all polymer prices dropped, all building blocks dropped. It is the slow growth in China and the slowdown in Europe, which impacted the demand and with

the demand going down everything fell.

Sir, onto the volume side, you had stated that so 40% of the overall volume is from the Value Added Grade, so what is the margin this 40% segment is commanding and the remaining 60%, which is the commoditized rate, so what are the margins over there?

See, I can only give you one number that is we categorize the grade as Value Added Grade if that grade commands 25% better margin than my commodity grade and my Value Added Grades command better margins from 25% to 100%, so that is what I can tell you. I cannot give you the exact numbers of the margins or the percentages of margins there please. And I would like to correct myself, earlier I told you 50% capacity utilization, sorry I took something else. It is actually 75% capacity utilization of Polystyrene in this quarter.

Thank you. The next question comes from the line of Ajay Sharma from Maybank. Please go ahead. Moderator:

Ajay Sharma:

Rakesh Nayyar:

Ajay Sharma:

Rakesh Nayyar:

Ajay Sharma:

Rakesh Nayyar:

Ajay Sharma:

Rakesh Nayyar:

Ajay Sharma: Actually, I just wanted to check basically is there a spread you working on a normalized basis between Polystyrene and Styrene, I guess the global spreads currently is like actually has fallen to 5200, so I am wondering, where do you see the spreads for the Indian market, is it any different from the global market considering the different demand patterns?

Ajay, the base number is the global margins, but then you have premiums when you sell in India in terms of just in time supplies or the smaller quantity supplies, as well as the Value Added Grades. This delta of 5200 the for GPPS and around 5300 for HIPS which you see is mainly for the Commodity Grades and for the Value Added Grades the Deltas are better' And is there a normalized EBITDA per ton, would you expect based on your mix? I guess last quarter Q4 was around 23,000, 24,000 and I think if I add back the inventory, estimated inventory loss it also comes to around that sort of range, so is that the spread you would target?

The spread, we would like to target that, but then the spreads always are affected and as far as the external forces are concerned or the external environment is concerned, they also impact the margins. So how is the global scenario because these are all commodity products except for the some of the value added grade which people will buy from us or the OEMS will like to buy from us, but then the normal commodity grades can easily be imported into the country as well. This is the technical service which we provide or the just in time supply or our quality, which also matters, Though we target the numbers which you are talking about maybe better than those numbers, but then the margins or the numbers can always get impacted with the external environment.

And on your volume growth, you were targeting 15% and as per the last guidance, you had given 15 to 16%, I think you can still manage that for this year?

We are trying to do that, but then with the low off take by the appliance sector in this quarter and also as we see that in this quarter also the pickup may not be there, so maybe that our volume growths will go down to 12%.

And roughly now how much is appliance for you as a percentage?

See, appliances are close to say 40%-45% for us at the moment, but then the last quarter the appliances sales were down.

So you still grew 9%, so which sector made-up for that?

As I said in my opening remark, we lost 4% of the domestic market on a quarter-on-quarter basis, but then we grew in exports, so our exports jumped and because last two years, our exports were in kind of in a sleeping mode, we were not exporting because we did not have enough capacity, but now we have revived our exports. We have revived our old clients, some

Rakesh Nayyar:

Moderator:

Sailesh Raja

Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja: of them, and we have restarted our exports, so our exports had picked up in this quarter, so that made up for.....

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Thank you. The next question comes from the line of Sailesh Raja from B&K Securities. Please go ahead.

Sir, just now you mentioned about the export in the opening remarks as well as in the presentation that because of good contribution from exports, we have reported positive 9% volume growth in this quarter, sir can you please share the volume or revenue mix reported by export business? And also full year, you were guiding around 50K tons in the current year in FY24, so how easy to achieve that number and what is our competitive strength in the global market? Could you please talk about that, sir? It would be very helpful.

We have been in the export market. At one point of time, we were exporting almost one third of our volumes to in the export market. And last 2-3 years, we were not exporting because the domestic demand was good and we did not have enough capacity to spare for exports market with our new capacity coming up in the first quarter or the last quarter of last financial year now we have restarted our exports and with the new capacity, this was our first quarter and of our total volumes almost around we could export around almost closer to around 16%-17% of our volumes we could export in this quarter and we hope that we will be still be able to achieve that the 50,000 what we have earlier given the guidance of. We will be achieving that number of 50,000.

So what is our strength here, sir, in the global market?

We have a strength in the sense, one, our product quality is good and we are able to match the global prices also, and since we have good quality, we get an edge over others. And we have good customer relationships.

Sir my second question in the SPC product vertical, as mentioned in our annual report this year that in FY24 that we are expecting around 20% volume growth, so what is driving this strong growth and also in the annual report you have mentioned about the grades approval from appliance customers for Specialty High Gloss Compounds, then the pickup in ABS compounds, so can you please talk about this? Also in the medium to long term, are there plans to add more products in the SPCC product vertical? And also, sir this current year, we didn't talk much about the SMMA product in this annual report, so could you please talk about that also?

The SMAA, I will tell you about SMMA first, SMMA, we did not produce and SMMA facility was installed when the Polystyrene demand in India was less and we had spare capacity available, so we had added facilities into one of our lines and it was made as a swing line to produce SMMA, but then the SMMA demand in India is very limited and now with the Polystyrene demand increasing, so we are using that capacity or that line more for Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja: Polystyrene. So SMMA compounds, we have started working on, but then we are importing SMMA and doing the compounds now and as well as you said the growth in the SPC division by 20% is concerned that as you rightly pointed out is that the we are working on the new kinds of compounds and new approvals from the appliance manufacturers, so all that is to take our growth by 20% this year on the compound sector'

Sir, in different grades a new product or it is entirely new compound we are working, sir?

These are all the new compounds because every compound has a different recipe. Why you need the appliance manufacturers approvals, once you create a new product, a new recipe, you need their approval and that is what will also add to our volume growth.

Sir, our planned CAPEX for next two years is much less than the current cash balance and also expected cash generation over next two years and also our new project gestation time is also long due to environmental approvals and also creating fresh capacities, so other than ABS, any other compounds or any other new that steering is left out some of the peers are making it. Any plans to add any

particular compound or we keep adding ABS capacities in phases?

See, we had planned a CAPEX of Rs. 1,250 crores in the year 2021 when we started on it and early this year, we finished our Polystyrene and Expandable Polystyrene expansion. It was an Expandable polystyrene phase 1 expansion and at our Amdoshi complex as well as our at Tamil Nadu complex. And the ABS at our Maharashtra complex is going on and now in this CAPEX we also have the phase two of Expandable Polystyrene and addition of Compound lines and as well as new line for the Extruded Insulation Board, so all these plants are there, till the March 2025 is target for all these plants to be commissioned and completed and post that we will be certainly doing some new activities and new projects will come up, but then I can't really give you the details of those at the moment please.

Despite high share of Value Added mix that is around 40% of our total volumes, why we face significant downturn in the profitability?

you see the base raw material remains the same. It is the margin which is better, but then the prices will go down. If on an X product the raw material is the same now, but on an X product if I am earning Rs. 5 and on a Value Added product I am earning Rs. 7 fine, but when the prices are going down and there Styrene is of higher value and the selling prices will go down with the fall in prices, so all that will go down. It is not that just the one product will go down eventually everything is from Styrene Monomer, so selling prices get impacted.

So what is the total imports happening in PS and the EPS, sir?

In EpS, the imports are very negligible and as well as the Polystyrene is concerned the total imports in this quarter were, I think closer to 12,000 tons to 13,000 tons. I think 12,000 to 13,000 is the total imports in this quarter' Rakesh Nayyar:

Moderator

Vipulkumar Shah

Rakesh Nayyar:

Vipulkumar Shah

Rakesh Nayyar:

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Rakesh Nayyar:

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Rakesh Nayyar:

Vipulkumar Shah:

Rakesh Nayyar:

Moderator:

Aditya Khetan:

Rakesh Nayyar: The next question comes from the line of Vipulkumar Shah from Sumangal Investments' Please go ahead.

So when this ABS plant will be completed in March 25, what will be the asset turns for that particular plant?

Asset turn at full capacity would be two times, two times at current selling prices.

And sir, this Rs. 1,200 crores CAPEX, it is inclusive of all projects, so how much we have spent and how much is remaining to be spent till March 25?

Till March 2023, we had spent close to Rs. 350 odd crores and the balance Rs. 900 odd crores is yet to be spent. That is for the next year and this year, we are planning to spend close to Rs. 450 odd crores and the balance will be spent next year.

And likewise for this Polystyrene, EPS and XPS projects also as can you indicate asset turns?

See the asset turns are related to the raw material prices also because the topline is all linked to the raw material prices, but then if you look at the today's prices, our EPS, our Polystyrene would give us 80,000, because it was a brownfield project for us, the PS and EPS, they both would give us something around in a year at full capacity an asset turn of close to 5 to 5.5 times.

And what about XPS and Masterbatches and Compounds?

Same thing you can consider for them as well.

And sir lastly, so you consider just for my understanding EPS and XPS as Value Added Grades as compared to Polystyrene?

XPS is, EPS some grades are, some are not.

Thank you. The next question comes from the line of Aditya Khetan from SMIFS Institutional.

Please go ahead.

Sir, is there any update on our competitor plant of Polystyrene which has been closed? Is there any news so that plant can come on stream over the next one to two years?

Aditya, I have no news on that because it is the sub-judice matter and matter is in the court and High Court right now there, so we have no information on that, please. I only know that the recommendation of the high-powered committee

was that the plant should not be

allowed to be operated at the same location, but that it is for the court to take a call, so I have no idea about it please.

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Moderator:

Gunit Singh:

Rakesh Nayyar: And so just an idea, so XPS business, how much that would contribute to our total revenue or volumes, if any idea?

Sorry, which one? Extruded Polystyrene or Expandable Polystyrene?

Extruded, XPS?

You are talking about Insulation Board?

Extruded Polystyrene. Yes, sir Insulation segment, yes correct.

So that is around L20/o of our turnover

And Sir, with the expansion into this category, we are planning to add 1 lakh meter cube, so post completion of this capacity addition and running at full utilization level, how much would this revenue would contribute then?

It will grow to say 3% or so for us because other products will also grow and the current numbers it should be closer to 3% plus.

Any update onto the Styrene demand globally and the spreads, now we are witnessing that the global spreads have started to fall, but is there any sense like so the spreads can consolidate? Or there is further room for this to go down? How are the things moving up in global and domestic market?

See, making a guess of the global environment is very difficult. As we say many things are

beyond our control. These are the external factors which impact the prices, but then I can only tell you that the current spread between the Styrene and the Polystyrene are almost at the pre-COVID levels or the average of the previous many years, so I don't think that they can go down any further.

Thank you. The next question comes from the line of Gunit Singh from CCIPL. Please go ahead.

I am sorry, in case I missed this earlier in the call, but what is your outlook for FY24 in terms of topline and bottomline?

I can only give you the volume growth we are targeting is (+L2%1. So as far as the what values it will have, because it all depends upon the price movements happening globally on the in terms of Styrene or raw material concern and I can't give you any guidance with regard to the bottom line, sorry.

And in terms of margins, this directionally, do we expect them to sustain at these levels in Q2 and the rest of the year or do we expect some improvement from like you mentioned that the Gunit Singh Rakesh Nayyar:

Moderator:

Vipulkumar Shah:

Rakesh Nayyar:

Vipulkumar Shah:

Rakesh Nayyar:

Vipulkumar Shah:

Rakesh Nayyar:

Vipulkumar Shah:

Rakesh Nayyar:

Vipulkumar Shah:

Rakesh Nayyar: Spreads are bottomed out and are at pre-COVID levels now, so what are your expectations regarding that?

Only said that the margins are now, they are bottom down because they are at the pre-COVID levels at the same level and if you look at the long term averages also, so the margins of the spreads are almost at the same level. So the scope of these to go down further is limited. Upside is it depends upon the demand growth globally and if that happens and certainly there is an upside available.

Thank you. The next question comes from the line of Vipulkumar Shah from Sumangal Investments. Please go ahead.

Will it be possible to break the sales between all the four products, Polystyrene, EPS, XPS and Masterbatches and Compounds?

Sorry break into what?

Sir revenue wise, revenue of each segments?

yes, I can tell you that of the manufactured products, Polystyrene is 2/3 of our revenue and Expandable Polystyrene is 1/4 of our revenue and SPC and XPS are the balance part for us.

Sorry would you repeat the last sentence, sir please?

I said for the SPC and XPS, these 2 products, two-third is Polystyrene, one-fourth is EPS and the balance is which is say one-tenth of the revenue is SPC and XPS'

And margin profile should remain same for all products?

No, margin profile changes, margin profile changes for, when I say Value Added Grades, they are part of the Polysty

rene also they are part of EPS and SPC and XPS are certainly Value Added Grades for us. So the margin profile changes even within the same product line which is same vertical for each grade the margin profile changes. There are some quality grades, there are Value Added Grades and in Value Added Grades also, there are some grades which are of they give us higher margins to us.

So overall, 40% is our Value Added Grades, right I think?

If all products put together we consider 40% of our product range is Value Added now'

Thank you. The next question comes from the line of Nirav Jimudia from Anvil Research.

Please go ahead. Moderator:

Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:

Moderator:

Ram Shrilal:

Rakesh Nayyar:

Ram Shrilal:

Rakesh Nayyar:

Participant: So one of the statement in the annual report we have alluded is that the newer grades, what we manufacture and those we intend to manufacture from the appliances before the

appliance manufactures they are aspiring to be the global suppliers of this product, so just wanted to understand like we are already at 75% capacity utilization for Polystyrene, so presuming that the remaining 25%, whenever we will utilize, what could be the share of Value Added Grades out of this because, so why I have this question is just wanted to understand what thought process is that is there is a further scope of improving our Value Added Grades or if you can let us know that whenever we will sell the full volumes for PS and EPS and rest of the compounds and XPS, what could be the share of our Value Added Grade which is currently 40%?

We are working towards, we want to increase our Value Added Grades share, but then it also depends upon the acceptability of the newer grades particularly of the SPC segment by the appliance manufacturers, the new compounds particularly and it takes time to increase that' Please note that getting the approval itself takes some time and developing a new grade testing it and seeking approvals, so the timeframe to give when these market share or the share of the total Value Added Grades will go up, it is very difficult, but yes, we are always striving to increase the same.

Because, sir what we also find is that those appliance manufacturer if they want to be the global supplier from here, thus demand for those extra goods would go up.

The capacity has also gone up, so when the balance 25% what we have extra capacity today once utilization was 75 in the last quarter, their demand can be met out of that 25%. So with our increased utilization, the overall percentage remaining the same also will still increase the in absolute terms the Value Added Grades'

Thank you. The next question comes from the line of Divyam from Ram Shrilal, please go ahead.

sir, I want to know what is the contribution from your sister concern in the sales?

Come again, sorry, you want to know the contribution from?

Your sister concern, Supreme Industries. How much is the sales from your sister concern?

I couldn't get you, what has this got to do the contribution?

Your sales contribution from your sister concern, sir?

Sales, we hardly sell any quantities to our sister concern, of their total sales revenue maybe 1% to 15% is what we sell to them. Rakesh Nayyar:

Moderator:

Mihir Damania:

Rakesh Nayyar:

Moderator:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan Thank you. The next question comes from the line of Mihir Damania from Ambit Asset Management. Please go ahead.

I just wanted to ask one question; how do you define Value Added Grades?

Value Added Grades for us is a grade in which our margin is better by 25% or more as compared to my normal grade. If my normal grade is earning X and in a Value Added Grade if I earn 1.25 of X then I consider it is a Value Added Grade for me and it can be 1.25, it can be 1.5. It has to be more than 25% of the normal margin.

Thank you. The next question comes from the line of Aditya Khetan from SMIFS Institutional Please go ahead.

Sir you

had mentioned earlier that exports volume is almost 6% to 7% of overall volumes, sir, in terms of the revenue share, so over the last two to three years, it has been only 6 to 8% volumes, so this has gone up quite sharply in this quarter or what has actually happened? As I said in the beginning itself, and we have said in the last quarter presentation also that now with the capacity available with us, we have started refocusing on the exports which in the in the last 2-3 years we were not able to do because of the constraints on the capacity front. So if you go to say L8-19 or 16-77 or 17-18 volumes, you will find that we were doing almost 25 to 30% exports then. So now with the new capacity available to us, we are refocusing on the exports and also I said in my opening remarks that the domestic sales were down by 4%, but the overall volumes had grown by 9%. So all this has come from the exports only.

Sir, on to the exports revenue, now we are back to around 15% to 20% run rate as a percentage?

So this quarter, we did around 15% or so, so let us hope the whole year, as I said, our guidance for the whole year, where volume growth as well as the exports are concerned is that we hope to do or close to 50,000 tons of exports this year'

Sir, just a question on to the inventory loss again, sir this quarter you stated that Rs. 90 crores to Rs. 100 crores is the impact and our EBITDA is almost Rs. 90 crores for this quarter, so

considering sir, if the prices remain at this level of raw materials and your Polystyrene, so next quarter so there shouldn't be any sort of inventory loss and considering the volume growth also from the newly expanded capacity, so it seems your margins of 7% should go to around 14%-15% in the coming quarter, is this a fair assumption, sir?

On paper, yes, it is a fair assumption, but then all also depends upon the demand cycle in the country and what happens in the coming months with regard to the external factors to make any guess on that. Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Moderator:

Rohit Ohri:

Rakesh Nayyar:

Rohit Ohri: So is there any way like which our company can protect itself from such a huge inventory losses because our EBITDA is almost Rs. 90 crores and our inventory loss is almost 90 to 100 crores, so is there any way which our company can plan to reduce its inventory losses if the prices of raw materials crash back?

We know that the how the pricing of Styrene happens, what the procurement we do all that, but still this is a normal thing which will always happen when the prices sharply fall. This will always happen and unless there is some other protection mechanism provided by the government or anybody, it is very difficult because it is a commodity product globally importable and the trade happens globally.

And sir, on that there is no antidumping duty protection on Polystyrene as well as on Styrene Monomer?

No, there is no antidumping duty. There is no manufacturer of Styrene Monomer in India, so there is no question of antidumping duty on Styrene Monomer. On Polystyrene we had made an application and which was cleared by the DGTR, but however the Ministry of Finance in their wisdom had not approved this thing?

Thank you. The next question comes from the line of Rohit Ohri from Progressive Shares. Please go ahead.

Sir, 2 questions, we have been talking about these external factors and external environment which brings to the point that there could be some issues with the demand, can you take us through the demand scenario in terms of the OEMs just before the onset of the festive season, do you think or are there any talks or discussions to see the volume going up?

See, as I said that this quarter the OEM sale was down by 20% as compared to the quarter previous year quarter at a year-on-year basis. And generally, the July, August months are lean months. They are the months in which because of the rains the sales are generally weaker as compared to the other ones.

So it is very difficult right now to project the OEM sales for the third quarter.

And the second question is related to the freight cost, which could be another external factor are you comfortable with the current rates and what sort of crude oil prices are you comfortable with if you try to go into the manufacturing and then you know the correlation between Crude oil and Styrene prices?

There is no direct correlation between the Crude and Styrene Monomers, the derivative of crude Benzene is a major component of Styrene Monomer, the other component is Ethylene, so there is actually no direct relation, it is all between the benzene and ethylene, which then comes to Styrene Monomer and depends upon the availability of benzene which is the major raw material for Styrene then that is the way it is. Rakesh Nayyar:

Rohit Ohri:

Rakesh Nayyar:

Rohit Ohri:

Rakesh Nayyar:

Moderator:

Rakesh Nayyar:

Moderator: And the freight cost and expenses?

What was the second part of the question?

The freight cost and freight expenses in the current scenario?

Freight costs for the containerized cargo, they are now normal which they were very high in the year 2021-22, they have all become normal now.

Thank you. As there are no further questions, I now hand the conference over to Mr. Rakesh Nayyar from Supreme Petrochem Limited for closing comments.

Thank you, gentlemen, for participating in the Earnings Call. I hope we have been able to answer your question satisfactorily. If you have any further questions or would like to know more about the company, please reach out to our Investor Relations managers at Valorem.

Advisors. Thank you.

On behalf of Supreme Petrochem Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

SUPREME PETROCHEM LTD Regd. Office:

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Ref: CFAICS/86/AGM_33/2023-2024 November 3, 2023

BSE Limited

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1 st Floor, Dalal Street,

Mumbai - 400 001

Script Code - 500405 National Stock Exchange of India Ltd

Exchange Plaza, Bandra Kurla Complex

Bandra East,

Mumbai - 400 051

ScripCode-SPLPETRO

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call of Supreme Petrochem Ltd

('The Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations &
Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

Please refer to our letter dated October 20, 2023, wherein we had informed you that Earnings
Conference Call with investors of the Company will be held on October 31, 2023 to discuss
(Q2/H1-FY24) earnings.

Please note that the said conference call as scheduled was held at 04:00 PM (1 ST) on October
31, 2023. In this regard, pursuant to Regulation 30 of Listing Regulations, please find attached
Transcript of the call with investors of the Company.

This is for your information and records.

Thanking you

Yours faithfully,

For SUPREME PETROCHEM LTD

DEOKI Digitally signed by ~

DEOKI NANDAN ,

NANDAN MISHRA

Date: 2023.11.03

£. MISHRA ,_ ,... OJ-./i/J

"~. N. MISHRA f !! COMPANY SECRETARY

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Certificate No. INAAACS7249C2F228

Supreme Petrochem Limited

Earnings Conference Call

October 31, 2023

Moderator: Ladies and gentlemen, good day and welcome to Supreme Petrochem Limited Q2 FY24
Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during this conference, please signal an operator by pressing '*' then '0' on your
touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over
to you, sir.

Anuj Sonpal: Thank you. Good evening, everyone and a very warm welcome to you all. My name is Anuj
Sonpal from Valorem Advisors. We represent the Investor Relations of Supreme Petrochem
Limited. On behalf of the company, I'd like to thank you all for participating in the company's
earnings call for the 2nd Quarter and First Half of the Financial Year 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made
in today's earnings call may be forward-looking in nature. Such forward-looking statements are
subject to risks and uncertainties, which could cause actual results to differ from those
anticipated. Such statements are based on management's beliefs as well as assumptions made
by information currently available to management.

Audiences are cautioned not to place any undue reliance on these forward-looking statements
in making any investment decisions. The purpose of today's earnings call is purely to educate
and bring awareness about the company's fundamental business and financial quarter under
review.

Let me now introduce you to the management participating with us in today's earnings call and

hand it over to them for opening remarks. We have with us Mr. Rakesh Nayyar - Executive Director and Chief Financial Officer, Mr. Dilip Deole - Chief Executive of Finance and Accounts and Mr. D N Mishra - Company Secretary.

Without any further delay, I request Mr. Nayyar to start with his opening remarks. Thank you and over to you, sir.

Page 1 of 8

Rakesh Nayyar:

Moderator:

Aditya Khetan:

Rakesh Nayyar: 4~

(~ SPI ')

~# Thank you Anuj. Good evening, everybody. It is our pleasure to welcome you to the earnings conference call for the 2nd Quarter and half year of Financial Year 2024.

Let me start by giving you a brief overview of the Financial Performance for the 2nd Quarter ended 30th September. The operating income for the 2nd Quarter was Rs. 1,278 crores, which increased by 3.5% year-on-year.

The reported EBITDA was Rs. 106 crores representing an increase of approximately 35% year on-year with operating EBITDA margins standing at 8.32%. The net profit after tax was at INR 78 crores, reflecting an increase of approximately 31% year-on-year. In the 2nd Quarter of FY24, companies domestic sales volumes of manufactured products increased by approximately 23% year-on-year.

The total volumes in quarter 2 FY24 increased by approximately 28% year-on-year. For the first half of the Financial Year 2024, our revenues are Rs. 2,503 crores. The operating EBITDA was INR197 crores. The PAT stood at INR147 crores. Total volumes in H1 FY24 grew by about 18% year-on-year.

On the other updates, the company remains debt free with an investable surplus of INR840 crores at the end of September 2023 and on the CAPEX front, the implementation of the first phase of the Mass AB5 project with a capacity of 70,000 tons per annum is progressing as per schedule. With this now I open the floor for the questions and answer session, please. Thank you.

Thank you. We will now begin the question-and-answer session. The first question is from the line of Aditya Khetan from SMIF5 Institutional Equities. Please go ahead.

Sir, first question is sir, on quarter-on-quarter basis sir, we had witnessed that this styrene monomer which is the major raw material that prices have gone up by around 10% to 12%. So, there was some expectation of inventory gains which has not been factored into this quarter because in our last quarter we had taken almost 90 crores hit because of inventory loss. So, sir our EBITDA run rate if we look at the last 10 quarters that was at around 170 crores, 180 crores. So, you see that in the second half we could be back to that levels or we would be lingering at the same levels of 100 crores, 120 crores?

Aditya comparing the EBITDA numbers or the run rate of the last year with the current year is not right. The last year the global deltas were very high and which we had also then mentioned in our report that they are too good to be true to last also and now the Deltas between the styrene prices and the finished goods are kind of now settled down and at normal levels.

And as far as coming to your inventory gain and the styrene prices movement is concerned, the styrene prices have moved up. They are at around \$1,050 Northeast Asia today, but then that

Page 2 of 8

movement has been very, very gradual now and it's not the Southern quarter movement or the

Southern fall which happened in the last quarter. So, when these kinds of movements happen,

they really generally don't relate in to the inventory gains or something the large inventory gains, but then it is good that the prices remain low then the market sentiment is always good.

Aditya Khetan: So, we would be expecting at least second half to be better than from H1?

Rakesh Nayyar: The last quarter that is the January, March quarter is always the better quarter because that is the time and the maximum volumes happened and that will always be there.

Aditya Khetan: Sir, on to our expansion part, so that special polymer compounds expansion like phase 1 and phase 2, we were doing in FY24 and FY25. So, we are continuing with that?

Rakesh Nayyar: All expansions we are continuing with, but since I mentioned ABS that being are the biggest of all CAPEX for us. So, I talked about that and that is going as per scheduled.

Aditya Khetan: Sir just one last question sir one of our competitors so recently they have mentioned like they are also doubling the capacity into ABS from 1,00,000 tons to around 2,00,000 tons. I'm talking about sir styrenics performance. So, even though they are expanding into the polystyrene business so don't you think into the ABS part since Supreme is expanding styrenics is expanding.

Apart from import substitution also there would be sort of a supply surplus which could come into the market and could decline the spreads over the next five to six.

Rakesh Nayyar: Your question is what meaning the decline what?

Aditya Khetan: Decline into the margins or spreads like because competition is entering into the market. So, the current spreads might not sustain of ABS?

Rakesh Nayyar: See the margins unless your product has some edge over the imported product in terms of quality, in terms of any special properties in your product and the customer service. Generally the prices are governed in line with the global prices then. The benchmark is the global price then you have little of the premiums in India.

And if you have a specialty product, if you have some additional properties in your product, yes, then you get a premium for that. So, as far as the Indian prices are concerned they would continue to be governed by the international prices because these are all easily importable into the country.

But as soon as the demand is concerned why I read about the doubling of capacity by one of our competitors or would be competitors and in ASS and the other player in ASS is that they are talking of implementing and doubling their capacities in the next 36 months to 48 months.

And by then, the demand in the country would also grow and there will be enough room for all of us to be playing in that play field of demand then,

Page 3 of 8

Aditya Khetan:

Rakesh Nayyar:

Moderator:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja: 4~

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And similar sir for polystyrene also that could because they are expanding there also. So, sim--:// case you can pick them?

We are expanding so fine that is not the case and we all will have enough place to grow.

Thank you. The next question is from the line of Sailesh Raja from B&K Securities. Please go ahead.

Sir in first half we have done roughly 28,000 tons volume in exports. For the full year FY24, can we expect company to reach 60,000 tons volume in exports and also in this 28,000 tons in exports, how much is polystyrene sir?

I will not give you that breakup that how much is polystyrene and as far as our exports. I don't know who gave you the number of 28,000 tons.

Sir last quarter you said 16 percentage of volume so that is around 12,000 tons?

That was for the last quarter that is 16%. So we have given a guidance that we would be doing 50,000 plus of exports in the current year and that is what we will do, excess of 50,000, but then current guidances and we will be doing 50,000.

So, my second question in refrigerator and AC including all inner walls, outer walls then decorative strips, door handles, what is our polystyrene and ABS, I mean, how much PS both GPPS and HIPS and also ABS is used in each refrigerator and AC. So, I want in kilogram tons how much is used?

I don't have Mr. Sailesh that information really with me because AC is internal unit of AC did get consumed the refrigerators and the inner lining is of HIPS all the trays and other things are of GPPS and all depends upon the average leverage of AC or sorry of the refrigerator the size of the refrigerator also, but whatever is the standard leverage of the refrigerator. Based on that the information is available, but readily I don't have it, I won't be able to give you that maybe later on you can DM me and you can take that.

Sir, in the SPC division any new compounds we are planning to launch this year, could you please talk about the customer approval process time after launching new compounds also we are expanding the capacity to 50,000 tons in SPC divisions?

So, with this 50,000 tons can we potentially achieve 1000 crores revenue if yes by when we can achieve that thousand crores.

Of the SPC?

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Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja:

Rajesh Nayyar:
Sailesh Raja:
Rajesh Nayyar:
Moderator:
Vipul Kumar Shah:
Rajesh Nayyar:
Vipul Kumar Shah: q~
(\ SPI ')

~# Not with the 50,000 with the mix of all kinds of grades of compounds and all that no unlikely that we will reach 1,000 crores of turnover. The 50,000 with a mix of all kinds of grades and all that can give us a revenue of close to 750 crores or so. There are compounds which are as high as Rs. 250,000 per tons also, but then there are ones which are less than that, much less than that. So, an average around 750 crores, 800 crores maybe 15,000 tons of compounds. Last question of the total volumes roughly 35 percentage it is coming from appliance and sectors and if you can you please give breakup of user industries in the remaining 65 percentage of our volumes. And also can you talk about the product vertical wise demand outlook in the second-half of [inaudible 14:00] and also our trading product ABS. So, in which product vertical you see better demand in the second-half?

As far as EPS is concerned in the first half the domestic Indian market of EPS has grown by roughly around 12.5%, polystyrene because of the OEMs their demand being weak. Sales have not grown, the sales have I think close to 3% to 4% growth is there in EPS market in the first half.

Now, in the second-half if the OEMs demand remains good, which is a significant part of the overall polystyrene consumption they consume around 35%, 40% or so of the total polystyrene. So, if that be the case, then the demand should be 6% to 7% should grow. But then as of the first half it was 3% and EPS should grow around 10% for the year as a whole the EPS should go around 10% of the year. The non OEM sector, the packaging, the stationary, the household goods, the writing instruments, the clear sheets, medical disposables, dairy, they are all the ones which including toys and other miscellaneous products. So, they are the ones which consume the major part of it, including jewellery and artificial jewellery.

It will be more than 10 to 12 user industries, sir, for the remaining 65%, 60%?

Sorry.

No, that remaining 65 percentage of total volumes?

Yeah, remaining 60% of the total volumes comprises of all these various categories.

Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal investment.

Please go ahead.

Sir, what are the this polystyrene price raw material prices you said \$1,150?

So, right now the Northeast Asia price of styrene monomer is around \$1050.

What is the delta of finished products in terms of dollar?

Page 5 of 8

Rajesh Nayyar:
Vipul Kumar Shah:
Rajesh Nayyar:
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Rajesh Nayyar:
Vipul Kumar Shah:
Rajesh Nayyar:
Moderator:
Aditya Khetan: 4~

(\ SPL ')

The finish delta in terms of GP is currently around \$175 to \$200 and for HIPS it's close to \$~ P to \$300.

And for this EPS and Xp?

Now EPS is the one which is not imported into India hardly any quantities comes from that. So, it's the domestic prices which are there always for the EPS.

No for EPS raw material is same?

The raw material is the same, but if in dollar terms you want the delta, then it could be around \$225, \$250 for EPS.

And sir is it possible to share a product wise volume and value for each product or you would not like to disclose those figures?

As far as revenue top line is concerned of the manufactured products the two-third comes from

polystyrene and one-fourth comes from EPS and we were balance HOth comes in from our SPC and XPS business.

What is the status of ASS project means when is it likely to be operational and what will be the effect tu rn fo r that we nt?

First phase of the ASS would be commissioned by the end of next calendar year.

Next calendar year and what will be the asset turn for that?

Sorry.

Asset turn for that product type project?

Asset turn for that would be around 2 times of that's 2 times plus 2 to 2.25 times at the almost like 100% capacity utilization.

Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Sir, on to the delta part sir what we are witnessing on month-on-month basis. So, there was huge volatility into the spread like form of rupees per kilo the spread may went to Rs. 20, Rs. 25 per kilo now they are back to around Rs. 14, Rs. 15 per kilo. So, this rise in spreads is basically because of the festive season like excitement because of that sorry consumer durables buying is there and that could again like go back to the levels of Rs. 8, Rs. 10 per kilo in the subsequent month, how to see like this at the moment?

Page 6 of 8

Rajesh Nayyar:

Aditya Khetan:

Rajesh Nayyar:

Aditya Khetan:

Rajesh Nayyar:

Aditya Khetan:

Rajesh Nayyar:

Moderator:

Krunal Shah:

Rajesh Nayyar:

Krunal Shah:

Rajesh Nayyar:

Krunal Shah:

Rajesh Nayyar: q~

(\ SPL ')

~# It's not so it is not so. What happens is that depends upon any particular issue happening with somewhere in somebody has dumping some material maybe that is the issue, but then the standard deltas are in the region of \$200 for GP and \$275 to \$300 HI. Those deltas remain. It's only once in a blue somewhere what happens is the EPS delta has PS prices have not gone up for some reason, but then the raw material prices have shot up and you find that the delta there is squeezed, but then ignore those two or three weeks and you will find that the deltas are back to the old level that happens. So, because one product price is going up, the other is still in the lag mode it is not caught up with the other one.

Sir, on to the exports structure we were earlier search, so the street was anticipating that the US and Europe which were the weaker market that would revive, but as on dates are only the US market has seen some sort of an uptick in demand. Europe is continuing to remain weak. So, still sir our export guidance of 50,000 tons plus. 50, we could achieve that?

so far we are on target for that and our exports continue to go to Europe and Africa and the various Gulf countries and the other parts of the Asia. U.S also is our market, but then major exports are right now to Europe and Africa and Asia.

So, possible to give a split of exports like how much would be Europe, Asia?

I'm sorry I will not give you that breakup.

Sir, just one last question sir on to the volume guidance earlier so we were stating that 13% to 15%, so that guidance remains sir for the next two?

I think I had said around last quarter calli had said 12% and I maintain that we will be meeting that target. Our guidance still remains at that level.

Thank you. The next question is from the line of Krunal Shah from Enam Investment. Please go ahead.

My first question is on the trading revenue what was the trading revenue during the quarter?

Our trading revenue is around 23% of our top line.

And the margins that we'll do there over there would be what roughly 3%, 4%?

Sorry.

The profitability in the trading business would be around 3%, 4%.

No, I can't give you that number, please.

Page 7 of 8

Krunal Shah: /j"~

(\ SPL ')

~:P And sir just one question on margin. In Q1 so we had a 90 crores inventory hit and I just think for that we did a close to 15% EBITDA margins. Now in Q2, EBITDA margins are 8.3%. So, there's a sharp dip. What could be the reasons for that?

Rajesh Nayyar: In our quarter 1 our EBITDA margin was 7%, 7.3%.

Krunal Shah: So, adjusting for the inventory does the 90 crores raw material hit as you mentioned in the call?

Rajesh Nayyar: I have said in the beginning the global debtors have also come down.

Krunal Shah: So, according to that what could be a sustainable margin to model?

Rajesh Nayyar: The normal range of GPP5 spread between the styrene and the GPP5 at the global level is \$175 to \$200 and for HIPS it's around \$250 to \$275.00. So, there's a general gap of around \$100 between the GPPS and HIPS.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Rajesh Nayyar: Thank you. Thank you all for participating in this earnings concall. I hope we have been able to answer your questions satisfactory. If you have any other further questions, I would like to know more about the company. Please reach out to our Investor Relations Manager at Valorem

Advisors. Thank you.

Moderator: Thank you. On behalf of Supreme Petrochem Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Page 8 of 8

Call: Dec 2023

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Ref: CFNCS/86/AGM_33/2023-2024 December 21, 2023

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Script Code - 500405 National Stock Exchange of India Ltd

Exchange Plaza, Bandra Kurla Complex

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Scrip Code - SPLPETRO

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call of Supreme Petrochem Ltd

('The Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations &
Disclosure Requirements) Regulations. 2015 ('Listing Regulations')

Please refer to our letter dated December 12, 2023, wherein we had informed you that the
Company is conducting Virtual Conference Call with investors/ institutional analysts of the
Company on December 18, 2023.

Please note that the said conference call as scheduled was held at 03:00 PM (1ST) on December
18, 2023. In this regard, pursuant to Regulation 30 of Listing Regulations, please find attached
Transcript of the call with investors of the Company.

This is for your information and records.

Thanking you

Yours faithfully,

For SUPREME PET

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Supreme Petrochem Limited

Management Meet Virtual Call

December 18, 2023

Aditya Khetan: On behalf of SMIFS Institutional Desk, we welcome you all on the virtual
meeting of Supreme Petrochemicals. From the Rakesh Nayyar side, we have Mr. Rakesh Nair,
CFO of the company and also D N Mishra, who is a who is the General Manager legal and the
Company Secretary. From the participant side, we have various MFS and PMS

representatives, and we will introduce them one by one during the Q&A session. I would now
like to hand over the call to the Rakesh Nayyar and post their brief commentaries on strategy
and growth prospects, we will devote more time on Q&A. Over to you, sir.

Rakesh Nayyar: Thank you, Aditya. Good afternoon to all of you. To begin with, let me first
give a brief overview of the company. Supreme Petrochem was formed as a joint venture
between the Supreme Industries and Rajan Raheja Group, and it started operations in
October 1995. The company is a leading manufacturer of polystyrene and we have a market
share of exceeding 50% today. We are also the largest exporter of polystyrene from India,
with customers in more than 100 countries around the globe. To widen our spectrum of
styrenix, we entered into expanded polystyrene in 2006, and since then we have also become
the market leaders in this segment as well. The other products of range of the company
includes compounds and masterbatches and extruded polystyrene or XPS extruded insulation
board of polystyrene uh, which helps in promoting green buildings movement in India. We
are now further increasing our product range by going into manufacture of ABS through the
mass ABS route and we have entered into a licensing agreement with Versalis of ENI Group
Italy for the production of same. Our total capex on all the schemes which we have completed
in this year and going forward in the next two years is around 1200 crores, and the same is
being funded from the internal accruals and our cash reserves. On the schemes we have
already completed this year, our brownfield expansion projects for enhancing the existing
polystyrene and expandable polystyrene capacities at Amdoshi and Maharashtra, and also an

expanded polystyrene at our plant at Manali in Tamil Nadu. The company's effective capacity now stands for polystyrene is 300 thousand tons per annum and for EPS is now 110 thousand tons per annum, and the phase one of the mass ABS project is moving as per schedule. When all these schemes are complete, the company, at almost 80%, or 75 to 80% capacity utilization at the current market prices, we should see a top line increase of around 3000 plus crores.

Now I think, gentlemen, you can ask me questions.

Aditya Khetan: We will start with the question-and-answer session. Anyone from the participant side would like to ask a question, so they may raise your hand and will take forward your questions. We will wait for a moment till the question queue assembles, and then we'll take forward the questions. We'll take the question. The first question is from Sukhbir Singh, he's an individual investor. Sukhbir you can go ahead.

Sukhbir Singh: Good afternoon, sir. My question is that what would be the Capex for FY 24 and FY 25?

Rakesh Nayyar: Out of the 1200 crores, we have uh, till date incurred around 500 crores plus and the balance 700 crores is to be incurred by the 2025 or so as the phase one and the phase two will be here, so by March 2026, the full amount would be spent.

Sukhbir Singh: Okay, sir. Is there any increase in the debt in the future? Any plans for raising debt in the future?

Rakesh Nayyar: As I said, that all capex is being met from the internal accruals and our cash reserves, so we have no debt and we as of now, no plans to raise any debt.

Sukhbir Singh: Ok sir. And my second question is, can you please provide us the outlook regarding the extruded polystyrene?

Rakesh Nayyar: Sorry I couldn't get you. What do you want for the XPS, sir?

Sukhbir Singh: How is the current demand going on and in future?

Rakesh Nayyar: It is all dependent on how the concerned people are with regard to the green buildings and environment. Using this not only makes one's living comfortable, but also helps in reducing the energy bills, and which indirectly means that the reduction in the CO2 emissions and other things. So, the currently individual users are very rarely or very minimally using it, I would say, though, despite our many roadshows and marketing, maybe that people don't want to spend money initially, but the institutional investors and the government projects, they are all using it now and I think that as the word-of-mouth catches on, this product would grow substantially and manifolds rather. Particularly in the extreme weather conditions, this product is of great use, be it winters or be it summers.

Sukhbir Singh: Ok, thank you so much and my last question is about the mass ABS outlook, like our expansion is on track to commission according to you how is the competition in this segment which is increasing like ENOS is also putting up a plant? BPL is also like expanding. Can you please provide us some guidance towards it?

Rakesh Nayyar: Yeah, we are aware that both are expanding now. They have made announcements, but then there is enough scope and enough demand in the country and it is growing also for all the players there is enough import happening so there will be import substitution happening in the country.

Sukhbir Singh: Ok, sir. Thank you so much, sir. Thank you.

Aditya Khetan: Any other participant can raise their hand and can ask the questions. Yes, Lakshminarayanan Sir, you can go ahead with your question.

Lakshminarayanan: Yeah. Thank you. Hope you can hear me. I just want to understand what is your volume mix by different product segments EPS, XPS and what is the capacity in that now?

Rakesh Nayyar: Can you repeat your question and introduce yourself.

Lakshminarayanan: My first question is can you just give me the volume outlook in terms of your sales by different product segments you have, which is expanded polystyrene and extruded polystyrene and any other product and what is the capacity expansion that would happen in these specific product segments in the future.

Rakesh Nayyar: The demand for polystyrene this year would be low I would say the growth in demand, particularly because the appliances market has been low till now. The demand from the appliances market, and we expect that the market should grow by only 4 to 5% this year only. As far as EPS is concerned, we expect the market to grow by 8% or so that is the initial estimates here. If the demand from the appliances sectors grow in the coming months, then maybe it will change. And what was the second part of your question?

Lakshminarayanan: And what about extra extruded polystyrene XPS?

Rakesh Nayyar: Extruded polystyrene should grow around; I suppose again 8 to 10% this year.

Lakshminarayanan: Okay, and what will be your volume in these in these segments right now?

Rakesh Nayyar: Our effective as I said, it is effective but not the installed effective because there are various product mixes happen within in one product, also there are various grades and there are heavy grades and others. So, the effective capacity as per our product mix for

polystyrene is around 300,000 tons now and for EPS is 110,000 tons.

Lakshminarayanan: Okay. And, I mean, couple of years back, there was, uh, you know, I think LG Polymers left the market, right now, is that entire market came to us in terms of their, you know, whomever they were selling to?

Rakesh Nayyar: No, there are imports happening, there are imports have gone up and also Styrenics is there, so the Styrenics is also have got the increase in their market share also. So, it is distributed between all the imports, between the Styrenics and us.

Lakshminarayanan: Got it. And, have you looked at pricing globally, how it is shaping up for this right now?

Rakesh Nayyar: The deltas right now are low globally and which a few years back or rather in the year 2021-2022 and 2022-2023, they were very healthy deltas which have now come back

and they have now currently, because of the global scenario and environment, the deltas are currently low.

lakshminarayanan: Ok, I mean, what is the band you think it will operate at?

Rakesh Nayyar: The normal Delta for general purpose polystyrene is around 175 to 200 dollars and HIPS it varies between 250 to 300 dollars. That is the very normal standard deltas for the normal standard grades of polystyrene, and we expect it should bounce back to these are better than these levels now once the global external environment, particularly the Middle Eastern environment currently and all that, that settles down.

lakshminarayanan: Got it. And from an import point of view, how much of, you know, ABS is being imported?

Rakesh Nayyar: As per the information we have the imports are in the region of 130 to 140 thousand ton currently.

lakshminarayanan: Got it, and for us as a company, I mean, what are the financial metrics you look at whether I mean, you must you look at I know you look at ROE and RaCE, and but how do you look at EBITDA per ton? What is your thing you would like to operate in at a company level at an EBITDA per ton?

Rakesh Nayyar: We also look at like any other company would look at it, there is no other difference in that.

lakshminarayanan: My question is that revenue may not be the right indicator because revenue is not in your hand it is to an extent, but what is more important is the at the EBITDA per ton you actually do not as a percentage, but EBITDA per ton as an absolute.

Rakesh Nayyar: In refinery refining business you never do percentage business, the same applies here also.

lakshminarayanan: My question is EBITDA per ton in absolute number? What is the band you are in and what is the thing you like?

Rakesh Nayyar: Sorry I won't be able to divulge that number to you.

lakshminarayanan: Ok, yeah. And in over the last five years, how that number indexed has actually increased.

Rakesh Nayyar: Sorry.

lakshminarayanan: Now, if I look at the EBITDA per ton, Absolute EBITDA per ton was 100 5 years back, let's say 2018 or 2019 and how much does that reference It has moved up?

Rakesh Nayyar: This all again I said it depends on the global deltas, If global deltas have jumped up in the last two years, our delta has also moved up, so that is really not a comparison because everything is linked to the global markets today and currently the global deltas are low, so the Indian deltas are also low.

Lakshminarayanan: Right, ok. One last question, see when you look at efficiency metrics of your organization, what is the efficiency metric you look at? Just to understand, you know, theoretically what you look at?

Rakesh Nayyar: Efficiency is that our cost of production and our cost should be the lowest and the quality should be the best, and our quality is good that is why we are present in so many countries globally.

Lakshminarayanan: Got it. That's very helpful, sir. Thank you so much.

Aditya Khetan: Anyone else from the participant side? Yes, sir.

Rakesh Nayyar: I would request that any participant to comes to ask question, you must introduce himself who is he? And from where is he? Because the gentleman who was there, I asked also. Who is from where is he? Which mutual fund? But that answer was not.

Lakshminarayanan: Sorry sir, I think I put it in my display name, I thought it would be visible. My name is Lakshminarayanan. I manage Tunga Investments, which is an alternate investment fund.

Rakesh Nayyar: Okay. Thank you.

Lakshminarayanan: Thank you sir.

Aditya Khetan: Anyone else from the participant side would like to ask a question, they may raise their hand.

Chockalingam: Hi sir this is Chockalingam from ICICI Prudential Asset Rakesh Nayyar. So just

wanted to understand on your Capex plan you know, how much is pending and over what time frame?

Rakesh Nayyar: We have spent about around 500 crores till now, and around 700 crores is to be spent over the next two years.

Chockalingam: And typically, what would be the asset turns that we are looking from the products that we are getting into. Is it better than the old one or how should we think about it?

Rakesh Nayyar: No, ABS is absolutely a new product. We are not there even ... , and mass ABS is not there in the country.

Chockalingam: Correct. So how should we think about the asset turns? Is it higher than the existing you know polystyrene.

Rakesh Nayyar: So existing polystyrene is an old plant now, but as far as this is concerned as I said that at 80% capacity in the beginning itself, I said this, that the once all these schemes are over, including our brownfield expansions, so our top line at current prices should go up by more than 3000 crores.

Chockalingam: Okay. Sorry I missed that part, I joined in late, apologies for that. Yeah. And is the IRR in these kinds of projects, is there a certain, I'm sure there must be a hurdle rate at which you would be kind of considering capex, Is it in the teens or about 20% that you typically would work with?

Rakesh Nayyar: Something internal issues. So, I can only say that the, we look at, As for your consumption is concerned, a simple cash payback is should be less than four years in these cases.

Chockalingam: Ok, and in terms of the, you know, ABS in the new products that we are kind of coming in, over, what time frame do you think we will be able to start exporting or is it initially import substitution and then eventually at what point in time do you really think you can start to export and at what scale do you think?

Rakesh Nayyar: India has sufficient demand currently, even after the somebody else in the previous question asked even after the other two players expanding their capacity, there is enough scope in India, and India is also becoming a kind of an export hub for all appliances and electronic products including not only the phones, but the computers and laptops and other devices, two wheelers and electric vehicles are again going to boom in India, so they are growing, I think that there will be enough demand in India itself going forward there, if required, we will export but that our capacity of initial capacity of 140 thousand tons should get be consumed in India itself.

Chockalingam: And just a sense of how big the Indian market currently today is in terms of tonnage sir?

Rakesh Nayyar: The Indian market today is closer to 275 thousand tons as of last year, that was the estimated numbers we have.

Chockalingam: Okay. Understood, and in the space that we are expanding, would we have more land for further brownfield expansions?

Rakesh Nayyar: Yeah, we have enough land there.

Chockalingam: Ok. Up to what size can we go with current infrastructure?

Rakesh Nayyar: We can increase our substantially our growth there. We have enough land there.

Chockalingam: Ok, understood. Thank you, sir.

Aditya Khetan: Anyone else from the participant side who would like to ask a question, they may raise their hand.

Manan Shah: I'm Manisha from ICICI Prudential Asset Rakesh Nayyar. Just one question on the ABS product. If you could just help us, the differences in spreads between mass ABS and the and the other technology. What is the difference between the two?

Rakesh Nayyar: I won't say that there is any difference as far as the end selling prices would be. It is a difference between the cost of production there should be, because the utility costs this is a continuous process whereas the earlier the suspension grade processes which are or the emulsion grade processes which has been historically or conventionally being used, there you have a various process which is batch processes. You make high grade rubber, you produce sand separately and then there is a compounding done and other additives are added at the compounding stage, so that's kind of a three stage, four stage process. Secondly because they all are at multiple locations, so that of course adds to the cost as well whereas this is a continuous process, so that helps in the conversion cost is certainly better here or lower as compared to the emulsion grade ABS.

Manan Shah: And any ballpark range as to in maybe in percentage terms or absolute terms, how much are those spreads can be the delta between mass ABS technology and emulsion ABS?

Rakesh Nayyar: I won't be able to tell you that at this stage, because once you unless and otherwise we are actually, I told it is as far as our collaborators are concerned, that the energy

process required in the emulsion grid is almost two times to two and a half to three times more than what would be required in this stage. So, but then absolute numbers would be really known to us once we are into it. The magician given to us by our collaborators.

Manan Shah: Majority of the difference in cost structure would be largely on account of the power and fuel cost. That would be the right understanding?

Rakesh Nayyar: The operating cost, the manpower cost, all those total operating costs in a continuous process would be absolutely lower because if you are producing HIPS at once, place other place you are producing sand, you have to transport it to the third place.

You have a third place set up separately, so all that adds to the manpower conversion cost, transportation cost, but in a continuous process that is not there.

Manan Shah: Ok, sir. Thank you.

Aditya Khetan: Next question is from Mehul Bhatt FM of Oyster Rock Capital. Sir you may go ahead. Hello, sir, you may go ahead with your question. Ok, till then, we'll take the next question. We will take the next question, which is a follow up from Lakshminarayanan Sir, from Tonga Investment, sir you can go ahead.

Lakshminarayanan: In terms of extruded polystyrene, we were the first company to get in, right? so what has been the what kind of competition specs you have in that particular market?

Rakesh Nayyar: We are the only player, so there is no competition as such. It is only that the utilization actual users. The challenges have been there that to market or rather to publicize the product and for which we have done many efforts were taken by us rather, I would say that we, I think, spent more money on the marketing efforts than the actual capital cost, maybe over the years and that is why because nobody was aware of this product in India and today, at least in the CPWD this is a recognized product and the all the government projects, it is a recognized project product, all the institutional buildings or the educational institutions, hospitals or the commercial buildings at least they have started using it now. This product was used through our contractors. Even in the new Parliament House, we are told that this product has been used in the other government buildings this product is being used now. It is now the awareness has come, but it is more on the institutional side and the individual uses as is still very low.

Lakshminarayanan: Got it, and extruded polystyrene is less than I mean less than 2% of our revenues now, right?

Rakesh Nayyar: Yeah. That's right, got it.

Lakshminarayanan: In terms of capacity, you mentioned that you have effective installed capacities around 300 thousand ton per polystyrene and 110 thousand ton EPS. Where is the number two and number three players in this in terms of capacity?

Rakesh Nayyar: PS currently is the Styrenix is now the because LG is temporarily closed and so the third player is Styrenics. Styrenics, I don't know the exact installed effective capacity of theirs, but maybe as per the market numbers, they could be around 75,000 tons should be their current capacity, which I think they have also made some statement that they, they may be increasing it to some numbers.

Lakshminarayanan: And the total Indian market is around four lakh tons, right? The total market for India in terms of the tonnage of polystyrene, is how much?

Rakesh Nayyar: Last year it was 315 thousand tons or so there about.

Lakshminarayanan: Ok, and of which imports are 130 to 140 k.

Rakesh Nayyar: No, that is for ABS I said. I never mentioned any import numbers or polystyrene.

Lakshminarayanan: Ok, and polystyrene what kind of imports are there?

Rakesh Nayyar: I think it was close to 70,000 tons or so last year or 75,000 maybe that is the number. Exact numbers of imports are again are something which is all collected numbers, so I won't say that the I have the numbers.

Lakshminarayanan: In terms of polystyrene, if you look at domestic market, what is the industry to which it caters? What is the industry mix to which it caters to?

Rakesh Nayyar: You're talking about polystyrene?

Lakshminarayanan: Correct, sir.

Rakesh Nayyar: The polystyrene caters to the appliances segment. It caters to the stationary, it caters to the writing pens, then it is packaging, medical disposables, dairy then disposable food wares, household items, then it is used for the glass like clear sheets, which is used in the construction. It goes into shaving products, toys, water purifiers, wall clocks, even beads and bangles are made out of polystyrene, when Christmas embellishments globally are all made from polystyrene.

Lakshminarayanan: Got it. And when you look at expanded polystyrene is that the use similar?

Rakesh Nayyar: The expanded polystyrene is more used for packaging and insulation food packaging also then cold storages and then in construction that is used.

Lakshminarayanan: And typically, how many clients you would have, I mean, how many parties you would be supplying to would it be in the range of 50 to 100 or it will be even more or even less?

Rakesh Nayyar: More than that.

Lakshminarayanan: Got it. And how does pricing happen in this?

Rakesh Nayyar: I said everything is all linked in one way or the other way, indirectly to the global prices and then all your local factors come into play there, and then the grades you are supplying.

Lakshminarayanan: Sorry I didn't hear you that, please repeat it.

Rakesh Nayyar: I said it is linked indirectly to the global prices but then you add all the domestic factors into those for the standard grades and for the other normal premium grades and the value-added grades, the premiums are added onto that.

Lakshminarayanan: One last question, there are some things related to anti-dumping on polystyrene, and there is some news during 2020 and it wasn't clear, so can you just help us understand where do we stand?

Rakesh Nayyar: That was recommended by the Directorate General of Trade Reliefs but then it was not implemented by the Ministry of Finance.

Lakshminarayanan: Ok, got it. Okay. Thank you, sir.

Aditya Khetan: Next question is from Mehul Bhatt sir, fund manager of Oyster Rock Capital.

Sir, you may go ahead now. I believe we have lost the line of the participant. Sir, meanwhile, like I was having, some questions are like, onto the value-added grade side what is the current mix today? I believe earlier you had mentioned that it was around 35 to 40%.

Rakesh Nayyar: It remains there only.

Aditya Khetan: Ok and, sir, is there any target in mind like by FY 26 or 27?

Rakesh Nayyar: No, as the demand grows, we will also grow. So, I can't really there is we have already there in the range of 35 to 40. Now currently some of the segments are low this year and the particularly so the demand there also slows down.

Aditya Khetan: On to our business of expandable polystyrene, as compared to our traditional business of polystyrene, how much is the difference in spread? Like suppose if polystyrene business; ..

Rakesh Nayyar: That is the different business, that is a processing kind of a business, so there is no comparison between these two products and as far as the margins, prices, selling prices, these are sold by square meters that is sold by tonnages, so these are different things, so there is no linkage to that.

Aditya Khetan: Ok, and onto the polystyrene side also, we were hearing some news that there are some polystyrene ban in some countries which has been implemented so does that what the demand

Rakesh Nayyar: For what ban have they implemented.

Aditya Khetan: Polystyrene ban in some of the countries has been implemented.

Rakesh Nayyar: So we have not heard such things, maybe for the somewhere, if they have said that you will not use it for the disposable glasses or dispose like in India, everything is

now disposable one time use products are stopped, so that could be the thing for some other country, like one time use product of carry away food packaging or anything may have been stopped, but then as far as food goes, polystyrene is the safest product for the food contact, all dairy products, all yogurts, all ice creams are packed in polystyrene because it is considered to be the safest for food and medical disposables like test tubes that is all polystyrene then

Aditya Khetan: Ok, got it. From the participant side, if there are any questions, we may take that ahead. Anyone has any questions they may like ask the questions directly. Yes Sukhbir Singh, you may go ahead with your question.

Sukhbir Singh: Thank you, sir, for the opportunity again. Actually, I have one question relating to the styrene monomer price. So, can you please provide us like what is the current trend of it?

Rakesh Nayyar: Current prices in the last few months has been in the range bound only and current prices are close to \$1,050 or so.

Sukhbir Singh: \$1050. Ok sir, so in the near in the near future is there any further, like incline or drastic change according to you?

Rakesh Nayyar: As I said, it has been now moving for the last, April to June quarter was the one where it saw a big fall but then post from mid-July onwards, it has been range bound \$50 up or down, but that has been in the range in which it is moving.

Sukhbir Singh: Ok sir. Thank you so much sir.

Aditya Khetan: Anyone else from the participant side? Any questions? You may go ahead with your question. From the participant side, anyone having any question or we'll have to wind up the call then.

Rakesh Nayyar: Yeah Aditya, I think no one has any questions now.

Aditya Khetan: Yes, I believe no one has any questions as of now.

Rakesh Nayyar: So, thank you, gentlemen. Thank you very much.

Aditya Khetan: Thank you, sir, for your time for the call.

Call: Jan 2024

(no extractable text — likely a scanned image PDF)

Call: Jan 2024

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Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call of Supreme Petrochem Ltd

('The Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations &
Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

Please refer to our letter dated January 17, 2024 wherein we had informed you that the
Company is conducting Virtual Conference Call with Investors/Institutional Investors on January
23, 2024.

Please note that the said conference call as scheduled was held at 04:00 PM (1ST) on January
23, 2024. In this regard, pursuant to Regulation 30 of Listing Regulations, please find attached
Transcript of the call with the Investors/Institutional Investors.

This is for your information and records.

Thanking you

Yours faithfully,

F~U~:LT~OCH.EM LTD

fD~/!Y COMPANY SECRETARY

Certificate No. INAAACS7249C2F228

January 23, 2024 Supreme Petrochem Limited

Q3 FY24 Earnings Conference Call

Moderator:

Anuj Sonpal: Ladies and gentlemen, good day and welcome to Supreme Petrochem Limited Q3 FY24
Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during this conference, please signal an operator by pressing "*" then "0" on your
touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and
over to you, sir.

Thank you Lizann. Good evening, everyone and a very warm welcome to you all. My name is
Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Supreme
Petrochem Limited.

On behalf of the company, I'd like to thank you all for participating in the company's earnings
call for the Third Quarter and Nine Months of Financial Year 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made
in today's earnings call may be forward-looking in nature. Such forward-looking statements
are subject to risks and uncertainties, which could cause actual results to differ from those
anticipated. Such statements are based on management's beliefs as well as assumptions
made by and information currently available to management. Audiences are cautioned not to
place any undue reliance on these forward-looking statements in making any investment
decisions. The purpose of today's earnings call is purely to educate and bring awareness about
the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call
and hand it over to them for opening remarks. We have with us Mr. Rakesh Nayyar -
Executive Director and CFO; Mr. Dilip Deole - Chief Executive of Finance and Accounts; Mr. D
N Mishra - Company Secretary. ~~

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Rakesh Nayyar:

Moderator:

Neeraj Jamodia:

Rakesh Nayyar: Without any further delay, I request Mr. Rakesh Nayyar to start with his opening remarks.

Thank you and over to you, sir.

Thank you Anuj. Good evening, everybody. It's a pleasure to welcome you to the earnings conference call for the third quarter and nine months of the financial year 2024. The operating income for the quarter was INR1187 crores, which was about 0.6% over the last year. The operational EBITDA is about Rs.95 crores with a margin at 8%. The total EBITDA with other income is 110 crores. The net profit after tax was at Rs.68 crores.

On the operational front:

Main raw materials styrene monomer prices were within the range during the quarter. The company's sales of manufactured products during the quarter grew only marginally at 1.7%. However, over the nine months period, the quantity sold increased by 12%. During the quarter our Chennai EPS plant was non-operational for about 15 days due to cyclone, which caused heavy rains and floods in early December. Cyclone resulted in damage to some items of the fixed assets and some parts of the raw material, finished goods and stores and spares. The insurance company has initiated the surveying process and has appointed surveyors and this is all in progress.

For the nine months year up to December 2023, our revenues stood at Rs.3691 crores, which are down by 5% over the last year, for the same period. The operating EBITDA was INR292 crores with margin of 7.9%. The total EBITDA with other income is Rs.340 crores, PAT is INR215 crores. Company continues to remain debt free with an investable surplus of Rs.793 crores at the end of December 2023.

With this, now I open the floor for questions-and-answers session. Thank you.

Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Neeraj Jamodia from Annual Research. Please go ahead.

Sir, I have two, three questions to ask. So, first is on the industry volume growth for polystyrene in Q3, because as we see that our volume growth was just 1.7% on Y-o-Y basis. So, was it because the user industries within our target segment was not doing well, or was it because of the imports coming to India, which has impacted our volumes?

During the quarter, the polystyrene market was flat and it is not because of the imports, imports are marginally down as compared to the last year. This is more because of industries, who are consuming our materials, the demand from their side was low. From OEMs, the appliance manufacturers the demand for the current year is down by almost 5% as compared to

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Neeraj Jamodia:

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Neeraj Jamodia: to the previous year. Whereas beginning of the year, the kind of ideas what we got from the OEM manufacturers that they would grow by almost 8% to 10%. But then right now the demand from them till December end was less by 5%, compared to last year.

Got it. And sir within the appliance which of the segments were not doing well like, because we cater to refrigerators, we cater to AC. So, within this user segment, which of the segment was impacted the most?

Both the segments are down. The ACs are down and as well as the refrigerators are down.

The washing machine segment was alright, but then again, the growth is not as anticipated.

Got it. And so, is it safe to assume that because our exports would have grown, we were able to show the volume growth and our domestic volumes predominantly would have suffered in these nine months?

The nine months period if you see that the domestic volumes have gone up only by around 4%. It is the export volumes which have gone up and that has taken our total volume growth to 12% during the year.

Got it sir. Sir second question is, if you can just break it down the total sales like this quarter, we had done something around 1188 crores. So how much was the trading sales out of these total sales?

We have about 1/4th of our sales as trading sales. And 76% or thereabout is our manufactured

product sales.

Got it. And this would be similar for Q2 as well, last quarter, preceding quarter?

At the company level that's it. Around 76% to 77% is manufactured sales and 23% to 24% is the trading sales.

Got it sir. And sir last question before I join back again. Sir you mentioned in one of your presentation slides that we have entered into an agreement with Tata Power to supply the renewable power for our Amdoshi plant which would start operating from Q1 of FY25?

Yes.

And if we see our last year balance sheet our power cost was close to 64 crores. So, since this supply of power commences from them, what sort of cost savings we are anticipated on our entire volumes, because currently we are at 70% but this 50% I presume would be on the

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entire capacity of three lakh tonnes of polystyrene. So, what sort of cost savings in power we are anticipating?

Rakesh Nayyar: So, what we have said is that, of our total requirement up to 50% of our power consumption will be based on the renewable power at our Nagothane project, that is Amdoshi plant. Part of which 12.5 megawatt is what we will be sourcing from through this SPV, and we also have installed solar panels on rooftop of our warehouse and that would give us another around one megawatt. So, that will take care of 50% of our power there. And on average roughly one saves almost 30% of the power today as compared to what we pay. Around 30% to 40% there will be savings on unit we will consume through the solar power generation.

Neeraj Jamodia: Got it. So, probably a situation could be that, even though we are at 100% utilization our absolute cost basis our power cost won't move up from the 60, 65 crores range. Some ballpark understanding?

Rakesh Nayyar: Maybe, I'll have to do my calculations on that basis which I haven't done it so I really can't tell you at this moment.

Moderator: Thank you. The next question is from the line of Sailesh Raja from B&K Securities. Please go ahead.

Sailesh Raja: Sir, my question is related to the investments that we are doing in Haryana. So, could you please talk about the revenue potential of all the products put together if we take prevailing realization and also what is the payback period we are expecting from this 800 crores investment?

Rakesh Nayyar: Once all the projects are implemented and the full capacity they would generate at current prices, the revenue close to 1900 odd crores. And once the investments are made and the plants are operational, we assume that our simple payback should be in less than five years.

Sailesh Raja: Okay. So, usually our payback it won't be more than three, four years, right?

Rakesh Nayyar: I'm telling you less than five years, I really can't tell you whether three or four, but we estimate it will be less than five years for us.

Sailesh Raja: Okay. Sir, again in Haryana project, we have given separate number for EPS and EPS 3D panels. So, for the 1 million square meter, how much quantity of EPS is recovered, the entire EPS capacity like 50K that we are creating in Haryana that will go for 3D panel?

Rakesh Nayyar: No, because what we are starting in the downstream is just to promote the usage of 3D panel in the construction that give; jDs!!l,ation, comfortable living and which was not catching

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on in India. So, we have decided that we will go downstream at that location, because there are extreme weather conditions in North, we are talking about 1 million square meters of 3D panels there. Which on a three shift basis this will be bigger capacity, but then we are not in the downstream business. To promote the application or the particular use we are entering into it now. The consumption in this is very small for this one million square meter of 3D panel the consumption could be around 1500 tonnes only of EP5.

Sailesh Raja: Okay. So, where it is exactly used sir what is the penetration in the industry in terms of, if you could just talk about the current opportunity sir?

Rakesh Nayyar: EP5 panels are like you have a wall made of EPS. It is jacketed with an iron mesh and then it is sprayed with the concrete and it becomes as solid as a concrete wall and you can work on it and plus they are lightweight, you get insulation, it is termite free also, and because they are light weight they are kind of also the seismic resistant.

Sailesh Raja: So, along with iron mesh we will be supplying?

Rakesh Nayyar: Sorry?

Sailesh Raja: Along with iron mesh we will be supplying this product or how it is?

Rakesh Nayyar: Yes, will be sourcing the wire and then that machine will make the mesh and the jacket the whole block of the EPS which will be a wall essentially like a prefabricated wall.

Sailesh Raja: In current facilities we don't have this 3D panel capacity?

Rakesh Nayyar: We don't, but then globally this is used in a big way and in India some people have started but their quality was not good, so has not been very successful though a housing colony has been

made using this material by one of the industrial houses for their workers and staff. So, we want to promote this application that is why we are implementing it up North, keeping the weather conditions there in mind this will be very ideal product there.

Sailesh Raja: So, what is the potential revenue if we do 1 million square meters?

Rakesh Nayyar: For the quantity what we have mentioned, this will be about 100 odd crores only.

Sailesh Raja: Okay. What about the spread sir?

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Moderator: Okay. Sir can you please talk about this PS, engineering plastic product and where exactly it is used. What is the future business potential could you please talk about that?

What we have talked about the engineering plastics and PS which is, engineering plastics are all ABS, PC or PMMA. So, these sheets replace glass, particularly in the internal partitions not the external wall glass because of the sunlight, but then internally wherever the glass is used they replace that, you can use in the cabinets, kitchen cabinets, bathrooms, signage, display shelves. So, this is to replace that.

Similar like SMMA product?

It is not similar to that, SMMA was a polymer only but it is actually processing from the engineering plastics will be converting them into sheeting, which will be used like a glass only inside the house, in a office you have internal partitions where a lot of glass is used. So, the advantage of this is when a glass breaks it can hurt you because small, small pieces come out but in this case that kind of a damage is not there, plus they are little lightweight.

Okay. So, is there any competition here sir in this product particularly?

There are currently some small manufacturers out there in central India and in North India also there is one small manufacturer is there, but they are typically doing only the polystyrene but we are looking at other engineering plastics also.

Okay. How fast we can fill this capacity 12000 tonnes?

Over a period of time, and there is an export potential also for this.

Okay. Sir the phase two capacity addition in EPS and XPS, so that will be completed by this June sir?

No EPS is being done, that will be completed by December of this year. XPS is taking time, because there are some changes we are making in the product itself in terms of the sizing etc. and all the equipments are being re-looked at, and that will take little time.

Okay. Any exports opportunity XPS, in the long term?

XPS export opportunity is only in the neighboring countries possible but not other places because it's a lightweight product, the freight cost itself will be very high.

Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead. ~E ;!-; ~".0.. 6

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Rakesh Nayyar: Sir, my first question was onto the volume side, this quarter we had witnessed almost a 13% drop in volume. So, on quarter-on-quarter basis, I believe the festive demand was good and there was no big reason so we could portray such a big dip in volume sequentially. Is there anyone off like or what is the big reason like for this volume drop?

The festive season is over by the third week of October itself by when the supplies are already made to the processors. And November and December are the lean months always. If you

look at the year-on-year, last year also in this quarter, we have sold similar quantities only, because after the festive season is over the demand always goes down. And particularly also the OEMs generally shut down or they also slow down and their inventory building only starts from January onwards. So it's not really comparable on a Q-on-Q basis, but on a year-on-year basis, the volumes are all in-line.

Okay. So, this volume drop is majorly because so from the polystyrene side or EPS side?

So, all the products because the OEMs use both. And it is not only the OEMs even the other, the packaging industry or household industry. So, generally these two months are always lean after the festival. If festival is early in October, middle then the full quarter itself would be a lean period because after the Diwali is over the sales are always lower.

Got it. Sir onto the polystyrene spreads. So, when we were looking at some of the numbers, this quarter spreads were good and that is also reflected in your numbers also and despite to these different volumes, you had maintained your gross price per kilo on quarter-on-quarter basis. But sir when we look on a nine monthly basis, the numbers are quite bad like we are standing at Rs.24, Rs.25 per kilo gross spread, which is almost a 30% decline on Y-o-Y basis. So, we are standing at a near bottom in terms of spreads and all and despite like increasing imports from China and from the domestic side, still we can maintain these numbers, cross spreads and EBITDA spreads?

In the last call also I mentioned the current financial year the deltas as compared to the previous year are low, they have reduced by almost \$30 to \$40 deltas globally and the delta which are there they actually should go up now. If I look at the pre COVID levels also, these deltas are on the lower end of those times.

Okay. So, we should not see like further like so, despite increase in competition. So, we should be able to maintain at least this spread and there is also a chance to improve?

Yes, these deltas are maintainable and when the demand grows the delta will also improve.

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Moderator:

Rohit Ohri:

Rakesh Nayyar: Got it. Sir, if possible if you can share some of the capacity utilization figures. So, for polystyrene and EPS till nine monthly sir what is the utilization which we are running, our polystyrene and EPS plant?

Both our polystyrene, EPS, the SPC all are around 70% at the moment.

And sir, we were also looking to expand this SPC capacity by 25,000 tonne so by this fiscal end, so that is on track?

Some of it is on track we had said it will be expanded in stages and some of that we shall be using for the ABS purposes and it will come later once the ABS is online and then they will be put up.

Got it. Sir one last question, we are witnessing that the competition in India has gone up as compared to last year. So, the companies like INEOS also are expanding and there has been also a big competitor which plant was shut down in 2020 they've also got some approvals to start the plant into a newer side. So, do you think so, all these things as a risk in the near term and if these capacities come up, so we should be able to like maintain our market share?

The approval as per my understanding of the news item which you are referring to with regard to the new site of the unit which shut down in 2020 is not for polystyrene, that is for engineering plastic as a compounding and all that of engineering plastic.

So, that will not affect?

No, that won't affect. And as far as the expansion by the other player is concerned, there is scope and there is enough room for everybody because considering given a 5% growth in the demand, by the end of the decade, the Indian polystyrene demand should be around 450,000 tonnes. So, some quantity we will continue to export and considering their expansion considering our expansion there is enough scope for both of us.

Thank you. The next question is from the line of Rohit Ohri from Progressive Shares. Please go ahead.

Hi, sir two or three questions. The first one if you can share the rationale for setting up this property in North India in Haryana. If you can share that since we have around 337 acres of land in Nagothane and around 14, 15 acres in Chennai?

See, North is a big market, almost 40% of the volumes of PS and EPS for these products is in the Northern India. And, secondly in future the styrene monomer plant of Indian Oil

Corporation is also coming up near Panipat. So, considering the raw material sourcing

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Rakesh Nayyar: availability and likely market growth North, we thought that there should be another growth center for us. One we have in South, one we have in West and we should be now in North. So, this is the rationale for our moving to North now.

Sir this would probably be the first kind of a plant which we will have for styrene monomer with IOC comes up by 26, 27. So my question was, that what percentage of imports are there for Supreme Petrochem as of now, maybe from the different geographies Dubai, Turkey, Korea, Japan?

The styrene monomer is not produced in India at all. So 100% of styrene which we use is coming from overseas only. 100% of styrene is imported into India. See the first plant of styrene which is coming up is of IOC which you rightly said is likely to be commissioned by March 27, maybe if not March 27 by end of calendar 27. So, the styrene availability is one issue, the growth of market up North. And also like we are talking of XPS there or 3D both because of the extreme weather conditions. There they are a good market and carting that from West to that part of the country freight cost itself makes it expensive for others, so all those rationales are there for us to think of setting up a growth center up North.

Okay. Sir my next question is related to if you can share the approximate inventory losses, maybe for the quarter or maybe the nine months gone by?

For the quarter we have no inventory losses.

Okay. So going forward you anticipate that there will be inventory gains maybe in the next quarter or up in quarter?

No, we had said that in the beginning itself, that the styrene prices were range bound. And we expect that they should continue to be that unless there is some big upheaval in the Gulf and something else happens in the external environment globally. We don't see the prices to be moving very sharply up or down.

Sir but with these issues that are related to the Red Sea, and the shipping cost or the freight costs going up, do you think that there should be some sort of an uptick which might come in the selling prices for Supreme Petrochem?

We have mentioned in our presentation also that the Red Sea issue has caused some issues with our exports because the freight rates for exports to Europe, Turkey, North America are going up, which is slowing down exports there for us now.

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Rohit Ohri:

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Moderator:

Neeraj Jamodia:

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Neeraj Jamodia: But the prices, the selling prices do you expect that they should start picking up, because last time, I know it's not comparable with the COVID scenario. But similar kind of a scene was there in that situation.

No, right now the freight rates will go up, but then the time which will take will be also very high, the containers availability will reduce, the shipping availability, shipping space availability will reduce because the cycle is now longer. And then the consumers in Europe or in Turkey or in USA, they should be willing to pay the extra freight, which I don't know how it will shape, but as of now our exports they have got affected in the last quarter because of this reason.

Okay. So our last question is, so we are having somewhere around 800 odd crore of cash. And when these will be put to utilization maybe in the next two, three years, what sort of internal targets or what sort of approximate ROC are you looking at, for the next three years or maybe four years down the line?

ROCE, we aim that we should be upwards of 20% that is what our aim is.

Thank you. The next question is from the line of Neeraj Jamodia from Annual Research. Please go ahead.

Sir, can you just walk us through the time line for commissioning for ABS line. So, when is that getting commissioned?

That should be ready by the end of this calendar.

Okay. And sir how the procedure of customer approval works here, because ABS being a mass market and there are very niche segments within the ABS like medical devices or somebody was talking about through various news articles that even on the EV side there's a significant opportunity as the weight of the battery needs to be reduced and where polymers like ABS could come handy. So, how we are moving towards our ABS line?

We shall be starting our seed marketing of the mass ABS shortly. There is BIS applicable to the ABS now in India. So we have already approached the BIS and we hope by the end of the quarter we should have the BIS approvals and that is when we will be starting our seed marketing of the product and that will help us one, test the market for this and help us also in seeking our customer approvals once we are ready with our product.

Right. And sir like how we have moved in terms of polystyrene in terms of developing those higher grades. Similar would be followed here also because there's a difference in the production process of the traditional ABS as well as the mass ABS so does our ABS also find

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Rakesh Nayyar: replication in all those areas where the conventional ABS is used or our would be more of a particular demand segment which we will be targeting on?

About 95% of all the users or applications where the conventional ABS is used, the mass ABS can be used in those applications. It's only because ours will be a mass ABS, so you can't really customize if you want smaller lot of sales, somebody wants very small quantity of a super, super high impact where because they do compounding they can add some more HRG there to give that kind of an impact. So-for that we will have to do the compounding at the second stage for us and so that 5% what our mass ABS will not directly meet with compounding we can also take care of that 5%. So, we will be able to meet all 100% of applications.

Got it sir. Sir second question is on our master batches. So, is it possible to share that out of our total manufactured sales, what could be the proportion of the master batches?

The total, I can only tell you that of the total revenue of manufactured products, our master batch compounds, they are around 9%.

Okay. And sir if you can just help us understand more on this like, where were we before four, five years in terms of the master batches and where we are in terms of the value addition which has happened, because it's very scattered market and there are a lot of niche applications also here. So, in terms of let's say our nearest competitor, to whom we compete on how much of the product profile we are able to match in terms of the demand servicing?

It's not that, see the market is very big. So, there is no immediate or a nearest competitor for this, everybody has their own customers and the kind of niche one creates or the grades and recipes one develops. And last presentation also I said that we are moving more and more towards the compounds business. And we are considering that we should move up the value chain and like there are filler master batches, which we stopped doing many years back and we don't produce it ourselves anymore now. Similarly, even in other master batches also we are trying to move up the value chain and compounds.

Correct. Sir any idea about the size of the master batch market in India, value wise or let say volume wise?

We have no idea about, it's a very fragmented market actually.

Yes, correct so that's why I just.

Very fragmented market and large players are only two or three which are there. There are many, many small players in this business.

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Moderator:

Aditya Khetan:

Rakesh Nayyar:

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Rakesh Nayyar: Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Sir my question was on to the export side. Sir last two to three quarters we had witnessed so good exports momentum across 16% of our total volumes versus the earlier range of 7% to 8%. So, this quarter also like so, despite your slowing volumes and also despite of 15% to 16%.

Your voice cracked Aditya can you repeat your question please?

Sir, my question was onto the export side. So, for the last two to three quarters we had witnessed a good export momentum. So now with this recent issue of the Red Sea and also the export demand is coming down. So are we witnessing this run rate to like go down from this level?

See, last quarter there was a setback, some small setback we had in terms of the freight cost and all that in the month of December. And it continues currently in January also. So we are exporting more in the Asian market or the Gulf market where we don't have to cross the Red Sea, but then the volume wise there is a possibility that in this quarter we will be exporting less quantities as compared to the previous three quarters. But, I presume that once the Red Sea issue is settled, then as and when it is settled, we should be able to go back to the same levels what we are doing and what we have done in the last three quarters.

Okay. And sir also on to the volume guidance like we had given a guidance of almost around 13% to 14%. So, despite like slowing volume momentum we are maintaining that for full fiscal FY24?

Yes, I had said that we would be exporting a total volume of around 50,000 tonnes this year. And as of now, it looks like we would be nearing that because of this slowdown we may be closer to 45,000 or so, we should we still be able to do it. But I don't know how things shape up in the next two months. But then based on the numbers we have and the orders we have I presume that we should be able to do close to 45,000 tonnes this year.

Okay. And the overall volume guidance also sir: So that should also be impact?

We should be doing almost 10% to 12% over the last year.

Okay. And just one last question, sir onto the EP5 side you had mentioned that the capacity expansion has been completed or is it still going on the phase two?

No, phase two is still going on and I said by the end of this calendar we hope to complete that.

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Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for their closing comments.

Rakesh Nayyar: Thank you very much gentlemen for attending this call for us. Thank you.

Moderator: Thank you members of the management team. Ladies and gentlemen on behalf of Supreme Petrochem Limited, that concludes this conference call. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

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May 3, 2024

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call of Supreme Petrochem Ltd ('The Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

please refer our letter dated April 24, 2024, wherein we had informed you that Earnings Conference Call with investors of the Company will be held on April 29, 2024 to discuss Q4-FY24 FY24 earnings.

please note that the said conference call as scheduled was held at 04:00 PM (IST) on April 29, 2024. In this regard, pursuant to Regulation 30 of Listing Regulations, please find attached Transcript of the call with investors of the Company'

This is for your information and record

Thanking you

Yours faithfully,

FoT SUPREME

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COMPANY ETARYRef: CFA/CS/86/AGM 3312023-2024

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Supreme Petrochem Limited

Q4 FY-24 Earnings Conference Call

April 29, 2024

Moderator:

Anuj Sonpal:Ladies and gentlemen, good day and welcome to the Supreme Petrochem Limited Q4 and FY24 Earning Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask the questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then r'orr on your touchtone phone.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, Mr. Sonpal.

Good evening, everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors, We represent the Investor Relations of Supreme Petrochem Limited. On behalf of the company, I would like to thank you all for participating in today's earnings call for the Fourth Quarter and Financial Year 2024.

Before we begin, let me mention a quick cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now, let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr, Rakesh Nayyar - Executive Director and CFO; Mr. Dilip Deole - Chief Executive of Finance and Accounts; Mr, D N Mishra - Company Secretary.

Without any further delay, I request Mr. Rakesh Nayyar to start with his opening remarks.

Thank you and over to you, sir.

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Rakesh Nayyar:

Moderator:

Aditya Khetan:Z\

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Thank you Anuj. Good evening everybody, It is a pleasure to welcome you to the earnings conference call for the fourth quarter and financial year 2024. The operating income for the fourth quarter was Rs.1563 crores, which grew by around 32% against the previous quarter, and by around 13% on a year-on-year basis. The total EBITDA was reported around INR 194 crores, r

epresenting an increase of approximately 76% quarter-on-quarter and a decrease of around 1-6% year-on-year, The EBITDA margin stood at around 14.2% for the fourth quarter. The net profit after tax was around 132 crores which increased by 93% quarter-on-quarter and decreased by 18% year-on-year.

The company sales volume of manufactured products in the fourth quarter of FY24 increased by 176% on a year-on-year basis, domestic volumes showed a robust increase, rising by 15.5% year-on-year in the fourth quarter and by 7.5% for the full fiscal year. Export volumes surged with a 44% jump in the fourth quarter, and by 82% for the entire fiscal year compared to the previous year. The company could increase its exports of manufactured products due to increase in production capacity, capacity utilization across all products were 75% including the expanded capacity. The prices of Styrene Monomer remained stable for most part of the year, but have started to trend upwards since March 2024, due to geopolitical tensions in the West Asia. For the financial year ending 2024 the operating income stood at Rs.5253 crores which was flattish year-on-year despite increase in volumes by 13.7% due to the annual average of SM prices being lowered by 1% over the previous year, which resulted in the lower finished good prices. The total EBITDA stood at Rs.535 crores, the net profit after tax for year stood at INR 347 crores.

On the other updates, the company remains debt free with an investable surplus of INR 1080 crores at the end of March 2024. Additionally, the Board of Directors has recommended a final dividend of Rs.7 per equity share for the financial year ending 2024. As a result, the total dividend for the year would stand at Rs.9 per equity share and total outflow of 169 crores.

Phase one of Mass ABS project is progressing well and barring unforeseen circumstances, it shall be on stream by the fourth quarter of FY25, The second phase of EPS and Masterbatches and compounds is also progressing as per the schedule. With this now, I open the floor for the question-and-answer session. Thank you.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Khetan from SMIFS. Please go ahead.

Sir, first question was on to the volume side. This quarter we already know that because of a seasonal performance Q4 generally tends to be a very good quarter in terms of volume, sir if you can help us to dissect the volume growth so, apart from polystyrene what has been the growth in volumes from EPS, XPS and the special compounds business in this quarter in volumes?

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Rakesh Nayyar:

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Barring XPS all our verticals have grown in the last year and also in the last quarter of the FY24. And the total volumes increased in this quarter on a year-on-year basis at 17.65% And domestic volumes were up by 15.5%. EPS as well as Masterbatch compounds and polystyrene they all contributed to this and also the exports. Exports also contributed in the overall volume growth. We have now expanded capacity available so we could restart or resume the exports with full force.

okay. And sir what sort of volume growth like we are anticipating for FY25 and FY26?

I will only talk about FY25 at the moment, FY25 we see a growth of around 8% to 10% in

volumes.

Okay. But sir, so considering now XPS expansion, special compounds also to be expanding still sir lower growth guidance as compared to this fiscal?

All the expansion are on the EPS and the Masterbatch compounds and their expansion would be coming through only towards the end of the year or in the third quarter of the current financial. So, by the time they are fully operational and we start marketing the product, they won't be adding much to the top line or the volume growth this year. There would be some growth coming from there but not to the full

extent because the capacities would be

available to us only towards the end of the year. And also the Mass ABS would be only towards the end of the year. So, all these products will add to our volume growth, in the financial year ending 2026.

okay. on to the Mass ABS sir, earlier you have mentioned that by June 24, we would be starting the first phase. Now sir into the presentation we had mentioned that, that is shifted to Q4, any specific reason for this shift of six to eight months?

There are some delays in the delivery of the proprietary equipment by almost four to five months. So, that is delaying the total schedule of the project. And we still hope that we would be completing the project by the December 2024 and should be on stream commercially in the last quarter of this current financial,

Sir this is phase one and sir phase two when we are expecting to start that?

phase two will be later on, maybe in the financial year 2026 that should be there or maybe later, that schedule is still not finalised.

Got it. Sir on to the Mass ABS, so we had align the CAPEX of almost 850 crore. So, sir at peak utilization level what sort of a top line we can assume and what sort of margins we can build in? Aditya Khetan

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Rakesh Nayyar:

Moderator:

Priyank Chheda:

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On the current market prices, the top line will add to around 2200 odd crores on the full capacity utilization basis. It will give us an asset turnover of almost one to 2'75 or so. So, that is for both the lines put together. And as far as margins, margins are certainly better than the polystyrene business if the demand for ABS is good in the country. But then for Mass ABS margins, as I said earlier also conversion cost would be lower than the conventional ABS. But then, let's see, it will be better all I can say at the moment.

The next question is from the line of Priyank Chheda from Vallum Capital, Please go ahead

Sir, my question is on the delta spreads that have expanded Q-o-Q rightfully so, you had integrated in the last quarter that, the deltas are likely to improve from the trust level. So, the question is are they back to normal, or is there any supply side dynamics change across the globe or should we consider this to be a new normal?

See the world is very dynamic. Considering the given circumstances, we hope that the deltas have stabilized, at the moment they appear to be stabilized. But then the way the geopolitical issues are happening it is very difficult to predict in future, but currently the way things are, they look to be stabilized.

And just to clarify, there was no one off in the product mix that we have sold in Q4 right?

Sorry, can you repeat your question?

There was no one off in terms of the product mix change that was, the volumes that we sold in Q4?

No, there is nothing like that, only thing is that always Q4 and Q1 are the season, the seasonal demand is more from the appliance manufacturers and similarly during the festival period again the demand from the appliances sector is better. During the monsoon period the demand is low and so they become the lean months and again post Diwali generally they are the weak months. But otherwise the non-OEM demand is always kind of steady during the year.

Perfect. My second question is on the Mass ABS market potential, so now

Due to no response we are moving to the next participant, So, the next question is from the line of Karan Shah from CWS. Please go ahead.

Hi Rakesh this is Karan from Chanakya Capital. Sir just if you can help me understand a couple of things. So, first, I was just calculating the annual EBITDA and EBITDA per tonne figures' So,

if you can help me please understand why has EBITDA per tonne declined in FY24, compared to FY23 and 22? Karan Shah:

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Rakesh Nayyar:

Karan Shah

Rakesh Nayyar:

Karan Shah:

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Karan Shah:

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Moderator: 22-23 and 21-22 were an aberration

because the global deltas were very high. During the post-COVID certain plants were underutilized globally, they were not operating to the full extent, the freight rates were very high, the supply chain had disturbed. So, the global deltas of all polymers, not only for polystyrene or EPs, but all polymers they had shot up, they had increased over the normal long term averages also, So, that was the reason that the year 21-22 and 22-23 deltas were pretty high. Now, with the freight rates coming to normal and the COVID being a history back to normal deltas'

So, the FY24 EBITDA per tonne figure is a sustainable figure, am I right in that assumption?

yes, that's right. As I said to the previous person that, given the circumstances currently these are the numbers which look to be stable now,

Alright, thank you. And the second question that I wanted to ask was, if you can please help me understand the purpose of the land acquisition at Karnal that you had recently done?

Apart from West India, North India is a major demand center and a major growth center also' Currently the total market for PS and EPS almost 1/3 of the market is up from the North. So, we decided that we should have another centre for our future growth up in the North. We are in Panipat Karnal area and we would be setting up there more of downstream units also apart from the polystyrene and expandable polystyrene. We are planning to go there with more downstream related to the construction industry, like 3D panels, sheeting as well as the extruded polystyrene.

Alright, got it. And, sir, just one last question from my side then I will jump back in the queue.

If you can just help me understand, because I was just going through the cash flow statement. So, we had a high amount of inventory going out. So, any specific reason for that, because we generated a lot of cash primarily due to working capital movements specifically inventory, if you can help me please understand that as well?

So, there is no such thing that the inventory moving out. You were looking at the last year's inventory versus this year's inventory. But if you look at the breakup of the last year's inventory it was more of a raw material inventory. Because the raw material is imported and at times the bunching of shipments causes inventory to go up' So, last year, the last month of the year we received some bunched quantities of raw materials that took our inventories up. That's it, nothing different.

Thank you. The next question is from the line of Krunal Shah from ENAM. Please go ahead Sir my question is on Mass ABS. Sir, can you help me understand what are the key factors that will help us compete with imports because we look at imports, import substitution with Mass ABS, So, can you understand that sir? Krunal Shah:

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Rakesh Nayyar

Krunal Shah:

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Krunal Shah

Rakesh Nayyar:

Krunal Shah

Rakesh Nayyar:

Krunal Shah: Mass ABS is ABS only, the route of manufacturing Mass ABS is different. It's not a batch process, in the conventional suspension grade method you make high graft rubber separately, you do SAN separately, then one does the compounding of it, so, that's how the ABS is produced. Whereas in the case of Mass ABS, everything is done through the reactor and it is a continuous process like normal polymers. So, it's not a batch process so it is a Mass ABS and the whole product is coming through the reactor directly. And the only difference is that since, we are in this you have the standard recipes and standard grades. Whereas in the case of the conventional method of ABS when you are doing compounding, you can for small batches you can vary your mix if one wants to but then, here we would be giving whatever

the standard grades which we have and which are used for all application. So, there is no difference in the Mass ABS or the conventional ABS that end-use applications are concerned or as far as the product properties are concerned' Okay.

So, there is no difference in the end application, irrespective of whether it is Mass or batch ABS?

Yes.

But because it's Mass we will need to compound it further for the customized applications which batch allows to do easily?

So, the batch is very small part of it now, one you have standard recipes which go into the 95% of the application so that is it.

Okay. But then in terms of cost, how is that ship, which is cheaper, or what is better?

It is continuous process, automatically the conversion cost goes down'

Okay. And by how much percentage?

I won't make a guess at this stage, unless we are on stream because what numbers we have is from our collaborators, but then unless we have put it into the practice, not fair for me to comment on that.

Got it sir. Sir one more question is that, there are like clear that you are adding significant capacity in China. So, wouldn't that put even further pressure on us because our capacities are much smaller compared to these guys. So, there costing will be lower and they will be up to level of industrial?

600,000 tonnes of ABS in China. But, then see India currently has a demand of over 300,000 tonnes which is increasing and which if it goes up by 5%, 7%, 8%, so, by the end of financial year 2026 it should be closer to 340, 350 minimum. And currently, India produces only around 140-150,000 tonnes of the ABS balance is all imported. And secondly, what will Rakesh Nayyar:

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Krunal Shah:

Rakesh Nayyar:

Moderator:

Amar More:

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Rakesh Nayyar: Zlf sprll

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happen is that the China capacity coming up, but then there is a Chinese demand' Also supply chain movement will happen because the Korea or the Taiwan who was exporting to India they may have to look at some other markets also, or there will be some kind of competition increasing, But then some old plants will shut down which is a natural thing which is happening with China increasing their petrochemical capacity, which is happening in all the polymers.

So, it's still not clear isn't why would customer switch from imported ABS to the supreme ABS, if there is no difference in the product the pricing was similar?

Many things are there because when you are importing you are susceptible to price variations, small quantities, just in time supply, better quality, many factors. Today even polystyrene, why would anybody buy polystyrene from us when the polystyrene can be imported also, but whereas we command a premium over the imported price. It is customer service, it is helping the customer in using the material. So, there are many factors which play into it.

Thank you. The next question is from the line of Amar More from Lucky Investment. Please go a head.

Sir, firstly if you can help me understand like what would be our capacity utilization in XPS, SPS and EPS currently?

We are practically in all the verticals close to 75% capacity utilization

And what maximum sir we can go?

we can go up to 95%, 100% but depending upon if there are too many grades being changed or other things, so some production may be lost in that, but then otherwise theoretically one can go to 100% depending upon what you are producing, it depends upon the product mix, it depends upon the demand also, but during the lean period of course, the demand is not 100% so on an annual basis, if one does 85% to 90% it is good.

But sir do you think 90% is possible because even in this also you have to change a lot of grades and then there will be a....

90%.

Practically what is possible, so theoretically everything can go to 100%.

Practically if the demand is flat throughout the year

Amar More: 90% you are saying?

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Rakesh Nayyar

Amar More:

Rakesh Nayyar:

Amar More:

Moderator:

Anirudha Jain:

Rakesh Nayyar:

Anirudha Jain

Rakesh Nayyar:

Anirudha Jain

Rakesh Nayyar:

Anirudha Jain

Rakesh Nayyar: Easily possible.

Okay. And secondly sir at the current gross block what is the basically, what kind of

peak

revenue we can see on the current gross block?

On the current gross block, which is excluding projects under implementation, we can at the current market prices, have a peak revenue of around Rs.5500 crores.

Rs.6500 crores plus the initiative implementation of Rs.2500 crore from the ABS part, got it sir.

Thank you. The next question is from the line of Anirudha Jain from Achieve Company. Please go ahead.

Sir, I just wanted to understand what is the competition landscape currently we are having in India, and we had a good turnaround in the export business. So, just wanted to have some color on the export strategy going ahead?

Can you repeat your last part of your question, your voice was breaking a bit

Sure. I just wanted to have some color on the export policy for the company as it has improved significantly on year-on-year basis?

As far as exports are concerned, for our priority is domestic market. And exports are also there, but then after meeting the domestic demand. Going forward that is what our policy would be.

Okay. And the margins are better in exports?

No, not now. But then they are fine. They certainly add to our, they give a good contribution to us, but they are not as good as the domestic market, but they are good'

Okay. And just a small clarification so, basis on what you have answered to the last question, So, technically our revenues in next two, three years can reach around 5000 crores around 2000 kind off, so 7500 crore levels, correct?

See our volume last year for the last financial year is 5200 crores. And with the current gross block what we have or the current capacity what we have, we can go up to 6500 crores on a 100% utilization. And on that the balance whatever new capacities would add on to that, that would be the revenue for us based on the current prices and 100% utilization of the capacities.

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Moderator

Nirman

Rakesh Nayyar:

Nirman

Rakesh Nayyar:

Analyst

Rakesh Nayyar:

Moderator:

Parth Mehta:

Rakesh Nayyar:

Parth Mehta:

Rakesh Nayyar:

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Thank you. The next question is from the line of from Nirman from Unique PMS. Please go ahead.

Sir, mV question is related to ABS again. So, Supreme is putting capacity and the existing two

players have also announced some capacity additions, double or triple the capacity, So, why particular, so related to the timing, so everyone is increasing their capacities right now' So, is there any change in the demand scenario or is it expected to grow faster in the next two, three years or can you throw some light here?

One there is currently large gap between local demand and supply' And secondly with the appliances sector doing well the two wheeler EVs and the four wheeler EVs they are also growing so you will need a lot of ABS for the EVs as well as their batteries. So, it's all projected that the market will grow.

But then sir, would there be a situation of oversupply given a lot of capacity would come in?

Possibly for some time in between maybe yes, but can't say when the timings of the implementation of schemes by the other players not known when and what time. It is possible by then in any case the demand would have grown so it may not be any mismatch in the demand and supply. so, it now depends upon the project schedules of others.

But then historic so, can you give some numbers, how much is the market growing and if it is expected to grow at a faster pace in the future?

Typically the market has been growing around same 8% to 10% and going forward with the growth in the EVs and the appliances it may improve'

Thank you. The next question is from the line of Parth Mehta from Vallum Capital' Please go a head.

Yes. So, if you can just help me with some volume numbers for FY24, polystyrene, EPs, xPs and master batches?

Total volume for the year, for the company as a whole is 3,25,250.

Yes, sir but the sustain product level volumes were given in for the previous year

We do not give, the total volumes of the company which we ha

ve shared

Okay, no problem. If you can help me with current market prices?

Rakesh Nayyar: Sorry?

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Parth Mehta

Rakesh Nayyar:

Parth Mehta:

Rakesh Nayyar:

Parth Mehta:

Rakesh Nayyar:

Parth Mehta:

Rakesh Nayyar:

Moderator:

Shailesh Raja

Rakesh Nayyar:

Shailesh RajaCurrent market prices for PS & EPS?

Current domestic prices or the global prices you are talking?

Yes, domestic prices.

Domestic again it varies from grade to grade. And it's for GP, HI, the two varieties of polystyrene there is a difference of almost Rs.8 to Rs.10 again grade-to-grade. But then the rates prices are closer to Rs.1-20, Rs.125 but then they vary within the category for each grade, the prices are different.

Okay. And just last one, trading revenue for Q4?

Trading revenue for?

Q4?

Our trading revenue is generally around 23% to 24% of the overall revenue

Thank you. The next question is from the line of Shailesh Raja from B&K Securities. Please go a head.

We are setting up new plant near Panipat Haryana. You mentioned last time that two benefits that we are going to get one is, the access to North market because 40% is of PS demand derived from this market. Second is sourcing of raw material that is styrene monomer from IOCL plant. My question is, how much stress in gross profit level you expect from this facility because of sourcing of this raw material. Say today the spread is X for the fully imported raw material, can we expect +X 1,0% or 20% of the same period what is the assumption that you have taken sir?

It is only proximity to the source of raw material and proximity to the end market that we have chosen that location, The domestic producers when they sell the raw material. It is linked to the global prices. So, what we would be saving is by setting up a project there is the freight which we are incurring from today for sending the goods from West to North' That is the, otherwise I don't see that there would be any raw material price savings per se because the raw material prices are linked to the global prices.

okay. so, how much benefit we will be getting because of freight cost reduction?

The cost saving as I see today is mainly the freight rates. Freight rates for taking the finished goods from West to North and freight rate from port to the plant which we are incurring today. There there it will be closer to source and market so that savings would come, Rakesh Nayyar:

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Shailesh Raja:

Rakesh Nayyar:

Shailesh Raja:

Rakesh Nayyar:

Shailesh Raja:

Rakesh Nayyar:

Shailesh Raja

Rakesh Nayyar:

Shailesh Raja

Rakesh Nayyar

Moderator:

Karan Shah:

Rakesh Nayyar:

Karan Shah: Okay. Sir my next question with the current prevailing stress can you please rank the product wise Roc, it is fair to assume that our XPS are more lucrative than other products?

You said product wise?

It is rank ROC, return on capital employed.

Okay, return on capital employed for us the ranking wise of course XPS is the best. And then comes the polystyrene because polystyrene is a plant we have many lines of various vintages.

So, there the return on polystyrene is good and then follows our EPS and SPC.

Okay. Sir we are expanding XPS capacity by one lakh in QL and 50,000 in compounds capacity,

So, how fast we can fill these capacities, what are the initiatives that we are taking to reach optimum utilization level?

The part of the master batch compounds capacity and EPS phase two they are getting implemented this year. EPS phase two is getting fully implemented this year and the compounds part of that is getting implemented this year. And the benefit of that would occur to us only in the next financial year, And we hope that in the next two years we should be able to fully utilize the capacity.

Okay, Sir just one last question what is our total PS inter sales volume to XPS for this year?

Sorry?

What is our total PS inter sales volume to XPS?

That I won't tell you sir sorry, I won't tell you that.

Thank you, The next question is from the line of Kara

n shah from cwc. Please go ahead

So, a couple of questions. Sir, first the ROCE profile for ABS will be similar to PS or will be slightly better?

Sorry, which profile you said?

The return on capital employed for ABS, will be similar to polystyrene or on a better terms compared to polystyrene?

See, the fixed capital which is going to get ABS now is much higher. Polystyrene plant new line is a brownfield project, the earlier lines are also few years old, So, the capital investment, on ABS is high certainly and PS are depreciated plants. So, the return on capital employed for Rakesh Nayyar:

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Karan Shah

Rakesh Nayyar:

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Rakesh Nayyar

Karan Shah: polystyrene is much higher. Whereas ABS is a capital intensive project. And it will be a new investment so to begin with, the return would not be in-line with the polystyrene ROCE, Which is fair. But sir going down the line let's say when the plant is at peak maturity in terms of asset turns, then can we expect a similar ROCE profile?

yes, we can, then we can going forward couple of years down the line yes, it's possible possible but then immediately it is not,

Definitely. And sir one more question on those lines. So, as of now you have approximately LL00 crores cash and liquid assets on your balance sheet and ABS has already been done and completed in terms of CAPEX. So, any plans as to how to utilize the cash in a better manner going forward one year or two years down the line?

We have already announced our project at Karnal, and going forward the Karnal project what we have estimated today will cost us around 850 Crores. So, this money will be used, gainfully they will be used for further expansions.

Got it. And sir one last question so, I was just going through the employee cost figures and there is an increase of approximately 16% to L7/o compared to the last year. So, just wanted to understand is this in line or is there any addition of any key managerial executor the medium or the top level?

No, see we are expanding, we have to also now increase our manpower for the new verticals, for the expanded capacities. So, the number of manpower have gone up and of course, there is a general increase in the wages and for the team members of the company also we have periodical revisions. So, all that has come together.

Okay, got it sir. And sir sorry to circle back. The Karnal capacity expansion of 800 to 850 crores is excluding PS, the EPS and the XPS expansion correct, that is just for the downstream products and separate from what you are?

So, existing projects are separate and Karnal is separate

So, Karnal is a completely greenfield new project?

Yes, it's absolutely greenfield new project

And similar asset turns will be expected on maturity?

Maturity asset turns will be similar Rakesh Nayyar:

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Moderator:

Priyank Chheda

Rakesh Nayyar:

Priyank Chheda

Rakesh Nayyar:

Priyank Chheda:

Rakesh Nayyar:

Priyank Chheda:

Rakesh Nayyar:

Priyank Chheda:

Rakesh Nayyar: Thank you. The next follow up question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Sir, within the standard grades and the customized grades of ABS, since our Mass ABS would be a standard grade product. So, out of three lakh tonne of industry is there a bifurcation that we should look forward for?

No, there is no bifurcation we have to look for because the standard grades are what are used. Generally, 95% of the applications would take that,

And there is no further compounding required on our standard grades for our, before the step that we supply to our OEMs is that understanding correct?

One can do compounding only for the remaining 5% applications if required. So, if I do the compounding and then I can meet even the remaining 5% applications also.

Got it. And even in the current demand structure of three lakh tonnes including imports of another one and a half lakh tonnes all the demand is ca

tering towards the standard grades of

ABS?

See whatever is imported, are general grades which are imported they are all very standard grades.

Okay. And then the domestic capacities that are currently there are also catering to standard grades?

They are also standard, while one can do compounding whatever one wants one can do there, that is but then normal standard grades are there always.

okay. And my second question is on the export side, so, while we understand that, you have a spare capacity after domestic demand will be catering to exports. In case in future, when we are expanding on the larger capacities, are we that cost competitive versus the other players in the world and given that our raw material is getting imported, we will have to incur another freight cost to export. So, how far are we cost competitive in the export market?

Have we not been competitive, people would have not been buying from us or we would have not been producing and exporting if we were incurring losses. Our quality is good and we regularly supply to Europe, Asian countries, Gulf, North America, South America. We have customers in all the continents today and you would be surprised that we exported last year to Japan as well.

Right. So, the arithmetic that we are not able to solve internally is, while there is a imports, there is a export market that is getting developed. So, where is the disconnection between Priyank Chheda

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Rakesh Nayyar

Priyank Chheda:

Rakesh Nayyar:

Moderator

Krunal Shah

Rakesh Nayyar:

Krunal Shah:

Rakesh Nayyar

Moderator:

Madhur Rath:

Rakesh Nayyar:Z(9,

first catering down the input market in India and then looking forward for export, if you can help us with that?

Depends on certain grades, specific recipes. If I'm able to supply that and meet the requirement of a customer, he buys wherever he may be, and then if there is a requirement and I can fulfill that, I get my price, I export. So, it's not that in India polystyrene is not imported, the polystyrene is regularly coming from countries like Korea, Taiwan, Thailand, Iran. So, that material comes and we also export, we export to countries like Italy, we export to Spain, we export to Turkey, we export to North America, we export to South America.

Right. So, the underlying message that I should take is that, the grades that are getting imported are different than the grades that we would be exporting while there can be a potential of the grades in case we make to replace the imports within polystyrene also. And also what matters is, in the importing country their local production may be in X part of the country, their internal freights could be different, they could be very high, their handling cost internally could be very high, this plant could be in the other part of the same country. So, they have to look at their economics also. And quality and customer service. We proudly say that our grades make the best of the grades in the world.

Thank you. The next follow up question is from the line of Krunal Shah from ENAM. Please go ahead.

One question I have with the EVs coming in, does the consumption of ABS and polystyrene per vehicle change, does it go up or down by how much?

Sorry, can you repeat your question?

With EVs, with electric vehicle coming in two wheelers and four wheelers, how much is the consumption of ABS and polystyrene per vehicle changing?

Sorry, I don't have that information with me.

Thank you. The next question is from Madhur Rath from Counter Cyclical Investments. Please go ahead.

Sir, I wanted to gain your understanding of the Chinese overcapacity, as well as and this upper power margin going forward so, if you could just help me understand that?

Your voice is not clear, can you please repeat your question?

Sure, is it better now? Madhur Rath

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Rakesh Nayyar:

Madhur Rath

Rakesh Nayyar:

Madhur Rath

Rakesh Nayyar:

Moderator:

Amar More:

Rakesh Nayyar:

Amar More

Rakesh Nayyar:

Amar More

Rakesh Nayyar:

Moderator: Yes

Sir, I wanted

to gain your understanding of the Chinese overcapacity and can this affect our margins going forward in FY25 and beyond?

As far as polystyrene is concerned, there are no exports or very minimal exports to India from there. Any significant impact of Chinese increased capacities on the Indian polystyrene market so far is not seen.

Okay. And sir on the ABS side?

On the ABS side, yes supply chain would change in the sense that the countries who are supplying to China, they would have to look at other markets, they may look at the Western market, some of the old plants may get mothballed, So, that turnaround will happen once the Chinese are fully implemented, with their latest 600,000 tonnes of ABS capacity. So, they are fully self-sufficient then they would look at not importing maybe or reduce importing and the exporters to China will have to look at the other markets, And the old uneconomical plants, small sized plants may consider closing down.

Thank you. The next question is from the line of Amar More from Lucky Investment. Please go ahead.

Sir just wanted to understand, this Mass ABS capacity which is going to come let's say at the end of this year what kind of utilization we can expect in the first year like FY26?

We think that we should be able to do around +50% in the first year okay. And +50% we would be making some profitability?

Difficult to comment at this stage

Okay. And sir in terms of our capacity just wanted to understand like, currently the XPS capacity would be, if you can give us the product wise capacities is it possible like XPS....

Polystyrene is 300,000 tonnes, EPS is 110,000 tonnes, SPC is installed is 35,000 tonnes. But effective you can say, because there are many grades effective 25,000 tonnes, you can take SPC 25,000 tonnes and XPS is 72,000 meter cube.

Thank you, As there are no further questions, I now hand the conference over to management from Supreme Petrochem Limited for closing comments,

Thank you all for coming and joining us today on this investors call. Thank you Rakesh Nayyar:

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Moderator: On behalf of Supreme Petrochem Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: May 2024

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May 3, 2024

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call of Supreme Petrochem Ltd ('The Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

please refer our letter dated April 24, 2024, wherein we had informed you that Earnings Conference Call with investors of the Company will be held on April 29, 2024 to discuss Q4-FY24 FY24 earnings.

please note that the said conference call as scheduled was held at 04:00 PM (IST) on April 29, 2024. In this regard, pursuant to Regulation 30 of Listing Regulations, please find attached Transcript of the call with investors of the Company'

This is for your information and record

Thanking you

Yours faithfully,

FoT SUPREME

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COMPANY ETARYRef: CFA/CS/86/AGM 3312023-2024

BSE Limited

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1st Floor, Dalal Street,

Mumbai - 400 001

Script Code - 500405National Stock Exchange of India Ltd

Exchange Plaza, Bandra Kurla Complex

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Scrip Code - SPLPETRO

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Certificate No. INAAACS7249C2F228

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Supreme Petrochem Limited

Q4 FY-24 Earnings Conference Call

April 29, 2024

Moderator:

Anuj Sonpal:Ladies and gentlemen, good day and welcome to the Supreme Petrochem Limited Q4 and FY24 Earning Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask the questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then r'orr on your touchtone phone.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, Mr. Sonpal.

Good evening, everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors, We represent the Investor Relations of Supreme Petrochem Limited. On behalf of the company, I would like to thank you all for participating in today's earnings call for the Fourth Quarter and Financial Year 2024.

Before we begin, let me mention a quick cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now, let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr, Rakesh Nayyar - Executive Director and CFO; Mr. Dilip Deole - Chief Executive of Finance and Accounts; Mr, D N Mishra - Company Secretary.

Without any further delay, I request Mr. Rakesh Nayyar to start with his opening remarks.

Thank you and over to you, sir.

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Rakesh Nayyar:

Moderator:

Aditya Khetan:Z\

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Thank you Anuj. Good evening everybody, It is a pleasure to welcome you to the earnings conference call for the fourth quarter and financial year 2024. The operating income for the fourth quarter was Rs.1563 crores, which grew by around 32% against the previous quarter, and by around 13% on a year-on-year basis. The total EBITDA was reported around INR 194 crores, r

epresenting an increase of approximately 76% quarter-on-quarter and a decrease of around 1-6% year-on-year, The EBITDA margin stood at around 14.2% for the fourth quarter. The net profit after tax was around 132 crores which increased by 93% quarter-on-quarter and decreased by 18% year-on-year.

The company sales volume of manufactured products in the fourth quarter of FY24 increased by 176% on a year-on-year basis, domestic volumes showed a robust increase, rising by 15.5% year-on-year in the fourth quarter and by 7.5% for the full fiscal year. Export volumes surged with a 44% jump in the fourth quarter, and by 82% for the entire fiscal year compared to the previous year. The company could increase its exports of manufactured products due to increase in production capacity, capacity utilization across all products were 75% including the expanded capacity. The prices of Styrene Monomer remained stable for most part of the year, but have started to trend upwards since March 2024, due to geopolitical tensions in the West Asia. For the financial year ending 2024 the operating income stood at Rs.5253 crores which was flattish year-on-year despite increase in volumes by 13.7% due to the annual average of SM prices being lowered by 1% over the previous year, which resulted in the lower finished good prices. The total EBITDA stood at Rs.535 crores, the net profit after tax for year stood at INR 347 crores.

On the other updates, the company remains debt free with an investable surplus of INR 1080 crores at the end of March 2024. Additionally, the Board of Directors has recommended a final dividend of Rs.7 per equity share for the financial year ending 2024. As a result, the total dividend for the year would stand at Rs.9 per equity share and total outflow of 169 crores.

Phase one of Mass ABS project is progressing well and barring unforeseen circumstances, it shall be on stream by the fourth quarter of FY25, The second phase of EPS and Masterbatches and compounds is also progressing as per the schedule. With this now, I open the floor for the question-and-answer session. Thank you.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Khetan from SMIFS. Please go ahead.

Sir, first question was on to the volume side. This quarter we already know that because of a seasonal performance Q4 generally tends to be a very good quarter in terms of volume, sir if you can help us to dissect the volume growth so, apart from polystyrene what has been the growth in volumes from EPS, XPS and the special compounds business in this quarter in volumes?

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Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar:

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Rakesh Nayyar:

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Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:Z\,

Barring XPS all our verticals have grown in the last year and also in the last quarter of the FY24. And the total volumes increased in this quarter on a year-on-year basis at 17.65% And domestic volumes were up by 15.5%. EPS as well as Masterbatch compounds and polystyrene they all contributed to this and also the exports. Exports also contributed in the overall volume growth. We have now expanded capacity available so we could restart or resume the exports with full force.

okay. And sir what sort of volume growth like we are anticipating for FY25 and FY26?

I will only talk about FY25 at the moment, FY25 we see a growth of around 8% to 10% in

volumes.

Okay. But sir, so considering now XPS expansion, special compounds also to be expanding still sir lower growth guidance as compared to this fiscal?

All the expansion are on the EPS and the Masterbatch compounds and their expansion would be coming through only towards the end of the year or in the third quarter of the current financial. So, by the time they are fully operational and we start marketing the product, they won't be adding much to the top line or the volume growth this year. There would be some growth coming from there but not to the full

extent because the capacities would be

available to us only towards the end of the year. And also the Mass ABS would be only towards the end of the year. So, all these products will add to our volume growth, in the financial year ending 2026.

okay. on to the Mass ABS sir, earlier you have mentioned that by June 24, we would be starting the first phase. Now sir into the presentation we had mentioned that, that is shifted to Q4, any specific reason for this shift of six to eight months?

There are some delays in the delivery of the proprietary equipment by almost four to five months. So, that is delaying the total schedule of the project. And we still hope that we would be completing the project by the December 2024 and should be on stream commercially in the last quarter of this current financial,

Sir this is phase one and sir phase two when we are expecting to start that?

phase two will be later on, maybe in the financial year 2026 that should be there or maybe later, that schedule is still not finalised.

Got it. Sir on to the Mass ABS, so we had align the CAPEX of almost 850 crore. So, sir at peak utilization level what sort of a top line we can assume and what sort of margins we can build in? Aditya Khetan

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Rakesh Nayyar:

Moderator:

Priyank Chheda:

Rakesh Nayyar:

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Rakesh Nayyar:

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Rakesh Nayyar:

Priyank Chheda

Moderator:, O

On the current market prices, the top line will add to around 2200 odd crores on the full capacity utilization basis. It will give us an asset turnover of almost one to 2'75 or so. So, that is for both the lines put together. And as far as margins, margins are certainly better than the polystyrene business if the demand for ABS is good in the country. But then for Mass ABS margins, as I said earlier also conversion cost would be lower than the conventional ABS. But then, let's see, it will be better all I can say at the moment.

The next question is from the line of Priyank Chheda from Vallum Capital, Please go ahead Sir, my question is on the delta spreads that have expanded Q-o-Q rightfully so, you had integrated in the last quarter that, the deltas are likely to improve from the trust level. So, the question is are they back to normal, or is there any supply side dynamics change across the globe or should we consider this to be a new normal?

See the world is very dynamic. Considering the given circumstances, we hope that the deltas have stabilized, at the moment they appear to be stabilized. But then the way the geopolitical issues are happening it is very difficult to predict in future, but currently the way things are, they look to be stabilized.

And just to clarify, there was no one off in the product mix that we have sold in Q4 right?

Sorry, can you repeat your question?

There was no one off in terms of the product mix change that was, the volumes that we sold in Q4?

No, there is nothing like that, only thing is that always Q4 and Q1 are the season, the seasonal demand is more from the appliance manufacturers and similarly during the festival period again the demand from the appliances sector is better. During the monsoon period the demand is low and so they become the lean months and again post Diwali generally they are the weak months. But otherwise the non-OEM demand is always kind of steady during the year.

Perfect. My second question is on the Mass ABS market potential, so now

Due to no response we are moving to the next participant, So, the next question is from the line of Karan Shah from CWS. Please go ahead.

Hi Rakesh this is Karan from Chanakya Capital. Sir just if you can help me understand a couple of things. So, first, I was just calculating the annual EBITDA and EBITDA per tonne figures' So,

if you can help me please understand why has EBITDA per tonne declined in FY24, compared to FY23 and 22? Karan Shah:

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Rakesh Nayyar:

Karan Shah

Rakesh Nayyar:

Karan Shah:

Rakesh Nayyar:

Karan Shah:

Rakesh Nayyar:

Moderator: 22-23 and 21-22 were an aberration

because the global deltas were very high. During the post-COVID certain plants were underutilized globally, they were not operating to the full extent, the freight rates were very high, the supply chain had disturbed. So, the global deltas of all polymers, not only for polystyrene or EPs, but all polymers they had shot up, they had increased over the normal long term averages also, So, that was the reason that the year 21-22 and 22-23 deltas were pretty high. Now, with the freight rates coming to normal and the COVID being a history back to normal deltas'

So, the FY24 EBITDA per tonne figure is a sustainable figure, am I right in that assumption?

yes, that's right. As I said to the previous person that, given the circumstances currently these are the numbers which look to be stable now,

Alright, thank you. And the second question that I wanted to ask was, if you can please help me understand the purpose of the land acquisition at Karnal that you had recently done?

Apart from West India, North India is a major demand center and a major growth center also. Currently the total market for PS and EPS almost 1/3 of the market is up from the North. So, we decided that we should have another centre for our future growth up in the North. We are in Panipat, Karnal area and we would be setting up there more of downstream units also apart from the polystyrene and expandable polystyrene. We are planning to go there with more downstream related to the construction industry, like 3D panels, sheeting as well as the extruded polystyrene.

Alright, got it. And, sir, just one last question from my side then I will jump back in the queue.

If you can just help me understand, because I was just going through the cash flow statement. So, we had a high amount of inventory going out. So, any specific reason for that, because we generated a lot of cash primarily due to working capital movements specifically inventory, if you can help me please understand that as well?

So, there is no such thing that the inventory moving out. You were looking at the last year's inventory versus this year's inventory. But if you look at the breakup of the last year's inventory it was more of a raw material inventory. Because the raw material is imported and at times the bunching of shipments causes inventory to go up. So, last year, the last month of the year we received some bunched quantities of raw materials that took our inventories up. That's it, nothing different.

Thank you. The next question is from the line of Krunal Shah from ENAM. Please go ahead Sir my question is on Mass ABS. Sir, can you help me understand what are the key factors that will help us compete with imports because we look at imports, import substitution with Mass ABS, So, can you understand that sir? Krunal Shah:

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Rakesh Nayyar

Krunal Shah:

Rakesh Nayyar:

Krunal Shah:

Rakesh Nayyar:

Krunal Shah

Rakesh Nayyar:

Krunal Shah

Rakesh Nayyar:

Krunal Shah: Mass ABS is ABS only, the route of manufacturing Mass ABS is different. It's not a batch process, in the conventional suspension grade method you make high graft rubber separately, you do SAN separately, then one does the compounding of it, so, that's how the ABS is produced. Whereas in the case of Mass ABS, everything is done through the reactor and it is a continuous process like normal polymers. So, it's not a batch process so it is a Mass ABS and the whole product is coming through the reactor directly. And the only difference is that since, we are in this you have the standard recipes and standard grades. Whereas in the case of the conventional method of ABS when you are doing compounding, you can for small batches you can vary your mix if one wants to but then, here we would be giving whatever

the standard grades which we have and which are used for all application. So, there is no difference in the Mass ABS or the conventional ABS that end-use applications are concerned or as far as the product properties are concerned' Okay.

So, there is no difference in the end application, irrespective of whether it is Mass or batch ABS?

Yes.

But because it's Mass we will need to compound it further for the customized applications which batch allows to do easily?

So, the batch is very small part of it now, one you have standard recipes which go into the 95% of the application so that is it.

Okay. But then in terms of cost, how is that ship, which is cheaper, or what is better?

It is continuous process, automatically the conversion cost goes down'

Okay. And by how much percentage?

I won't make a guess at this stage, unless we are on stream because what numbers we have is from our collaborators, but then unless we have put it into the practice, not fair for me to comment on that.

Got it sir. Sir one more question is that, there are like clear that you are adding significant capacity in China. So, wouldn't that put even further pressure on us because our capacities are much smaller compared to these guys. So, there costing will be lower and they will be up to level of industrial?

600,000 tonnes of ABS in China. But, then see India currently has a demand of over 300,000 tonnes which is increasing and which if it goes up by 5%, 7%, 8%, so, by the end of financial year 2026 it should be closer to 340, 350 minimum. And currently, India produces only around 140-150,000 tonnes of the ABS balance is all imported. And secondly, what will Rakesh Nayyar:

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Krunal Shah:

Rakesh Nayyar:

Moderator:

Amar More:

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Rakesh Nayyar: Zilf sprll

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happen is that the China capacity coming up, but then there is a Chinese demand' Also supply chain movement will happen because the Korea or the Taiwan who was exporting to India they may have to look at some other markets also, or there will be some kind of competition increasing, But then some old plants will shut down which is a natural thing which is happening with China increasing their petrochemical capacity, which is happening in all the polymers.

So, it's still not clear isn't why would customer switch from imported ABS to the supreme ABS, if there is no difference in the product the pricing was similar?

Many things are there because when you are importing you are susceptible to price variations, small quantities, just in time supply, better quality, many factors. Today even polystyrene, why would anybody buy polystyrene from us when the polystyrene can be imported also, but whereas we command a premium over the imported price. It is customer service, it is helping the customer in using the material. So, there are many factors which play into it.

Thank you. The next question is from the line of Amar More from Lucky Investment. Please go a head.

Sir, firstly if you can help me understand like what would be our capacity utilization in XPS, SPS and EPS currently?

We are practically in all the verticals close to 75% capacity utilization

And what maximum sir we can go?

we can go up to 95%, 100% but depending upon if there are too many grades being changed or other things, so some production may be lost in that, but then otherwise theoretically one can go to 100% depending upon what you are producing, it depends upon the product mix, it depends upon the demand also, but during the lean period of course, the demand is not 100% so on an annual basis, if one does 85% to 90% it is good.

But sir do you think 90% is possible because even in this also you have to change a lot of grades and then there will be a....

90%.

Practically what is possible, so theoretically everything can go to 100%.

Practically if the demand is flat throughout the year

Amar More: 90% you are saying?

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Rakesh Nayyar

Amar More:

Rakesh Nayyar:

Amar More:

Moderator:

Anirudha Jain:

Rakesh Nayyar:

Anirudha Jain

Rakesh Nayyar:

Anirudha Jain

Rakesh Nayyar:

Anirudha Jain

Rakesh Nayyar: Easily possible.

Okay. And secondly sir at the current gross block what is the basically, what kind of

peak

revenue we can see on the current gross block?

On the current gross block, which is excluding projects under implementation, we can at the current market prices, have a peak revenue of around Rs.5500 crores.

Rs.6500 crores plus the initiative implementation of Rs.2500 crore from the ABS part, got it sir.

Thank you. The next question is from the line of Anirudha Jain from Achieve Company. Please go ahead.

Sir, I just wanted to understand what is the competition landscape currently we are having in India, and we had a good turnaround in the export business. So, just wanted to have some color on the export strategy going ahead?

Can you repeat your last part of your question, your voice was breaking a bit

Sure. I just wanted to have some color on the export policy for the company as it has improved significantly on year-on-year basis?

As far as exports are concerned, for our priority is domestic market. And exports are also there, but then after meeting the domestic demand. Going forward that is what our policy would be.

Okay. And the margins are better in exports?

No, not now. But then they are fine. They certainly add to our, they give a good contribution to us, but they are not as good as the domestic market, but they are good'

Okay. And just a small clarification so, basis on what you have answered to the last question, So, technically our revenues in next two, three years can reach around 5000 crores around 2000 kind off, so 7500 crore levels, correct?

See our volume last year for the last financial year is 5200 crores. And with the current gross block what we have or the current capacity what we have, we can go up to 6500 crores on a 100% utilization. And on that the balance whatever new capacities would add on to that, that would be the revenue for us based on the current prices and 100% utilization of the capacities.

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Moderator

Nirman

Rakesh Nayyar:

Nirman

Rakesh Nayyar:

Analyst

Rakesh Nayyar:

Moderator:

Parth Mehta:

Rakesh Nayyar:

Parth Mehta:

Rakesh Nayyar:

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Thank you. The next question is from the line of from Nirman from Unique PMS. Please go ahead.

Sir, mV question is related to ABS again. So, Supreme is putting capacity and the existing two

players have also announced some capacity additions, double or triple the capacity, So, why particular, so related to the timing, so everyone is increasing their capacities right now' So, is there any change in the demand scenario or is it expected to grow faster in the next two, three years or can you throw some light here?

One there is currently large gap between local demand and supply' And secondly with the appliances sector doing well the two wheeler EVs and the four wheeler EVs they are also growing so you will need a lot of ABS for the EVs as well as their batteries. So, it's all projected that the market will grow.

But then sir, would there be a situation of oversupply given a lot of capacity would come in?

Possibly for some time in between maybe yes, but can't say when the timings of the implementation of schemes by the other players not known when and what time. It is possible by then in any case the demand would have grown so it may not be any mismatch in the demand and supply. so, it now depends upon the project schedules of others.

But then historic so, can you give some numbers, how much is the market growing and if it is expected to grow at a faster pace in the future?

Typically the market has been growing around same 8% to 10% and going forward with the growth in the EVs and the appliances it may improve'

Thank you. The next question is from the line of Parth Mehta from Vallum Capital' Please go a head.

Yes. So, if you can just help me with some volume numbers for FY24, polystyrene, EPs, xPs and master batches?

Total volume for the year, for the company as a whole is 3,25,250.

Yes, sir but the sustain product level volumes were given in for the previous year

We do not give, the total volumes of the company which we ha

ve shared

Okay, no problem. If you can help me with current market prices?

Rakesh Nayyar: Sorry?

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Parth Mehta

Rakesh Nayyar:

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Parth Mehta:

Rakesh Nayyar:

Moderator:

Shailesh Raja

Rakesh Nayyar:

Shailesh RajaCurrent market prices for PS & EPS?

Current domestic prices or the global prices you are talking?

Yes, domestic prices.

Domestic again it varies from grade to grade. And it's for GP, HI, the two varieties of polystyrene there is a difference of almost Rs.8 to Rs.10 again grade-to-grade. But then the rates prices are closer to Rs.1-20, Rs.125 but then they vary within the category for each grade, the prices are different.

Okay. And just last one, trading revenue for Q4?

Trading revenue for?

Q4?

Our trading revenue is generally around 23% to 24% of the overall revenue

Thank you. The next question is from the line of Shailesh Raja from B&K Securities. Please go a head.

We are setting up new plant near Panipat Haryana. You mentioned last time that two benefits that we are going to get one is, the access to North market because 40% is of PS demand derived from this market. Second is sourcing of raw material that is styrene monomer from IOCL plant. My question is, how much stress in gross profit level you expect from this facility because of sourcing of this raw material. Say today the spread is X for the fully imported raw material, can we expect +X 1,0% or 20% of the same period what is the assumption that you have taken sir?

It is only proximity to the source of raw material and proximity to the end market that we have chosen that location, The domestic producers when they sell the raw material. It is linked to the global prices. So, what we would be saving is by setting up a project there is the freight which we are incurring from today for sending the goods from West to North' That is the, otherwise I don't see that there would be any raw material price savings per se because the raw material prices are linked to the global prices.

okay. so, how much benefit we will be getting because of freight cost reduction?

The cost saving as I see today is mainly the freight rates. Freight rates for taking the finished goods from West to North and freight rate from port to the plant which we are incurring today. There there it will be closer to source and market so that savings would come, Rakesh Nayyar:

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Shailesh Raja:

Rakesh Nayyar:

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Rakesh Nayyar:

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Rakesh Nayyar:

Shailesh Raja

Rakesh Nayyar

Moderator:

Karan Shah:

Rakesh Nayyar:

Karan Shah: Okay. Sir my next question with the current prevailing stress can you please rank the product wise Roc, it is fair to assume that our XPS are more lucrative than other products?

You said product wise?

It is rank ROC, return on capital employed.

Okay, return on capital employed for us the ranking wise of course XPS is the best. And then comes the polystyrene because polystyrene is a plant we have many lines of various vintages.

So, there the return on polystyrene is good and then follows our EPS and SPC.

Okay. Sir we are expanding XPS capacity by one lakh in QL and 50,000 in compounds capacity,

So, how fast we can fill these capacities, what are the initiatives that we are taking to reach optimum utilization level?

The part of the master batch compounds capacity and EPS phase two they are getting implemented this year. EPS phase two is getting fully implemented this year and the compounds part of that is getting implemented this year. And the benefit of that would occur to us only in the next financial year, And we hope that in the next two years we should be able to fully utilize the capacity.

Okay, Sir just one last question what is our total PS inter sales volume to XPS for this year?

Sorry?

What is our total PS inter sales volume to XPS?

That I won't tell you sir sorry, I won't tell you that.

Thank you, The next question is from the line of Kara

n shah from cwc. Please go ahead

So, a couple of questions. Sir, first the ROCE profile for ABS will be similar to PS or will be slightly better?

Sorry, which profile you said?

The return on capital employed for ABS, will be similar to polystyrene or on a better terms compared to polystyrene?

See, the fixed capital which is going to get ABS now is much higher. Polystyrene plant new line is a brownfield project, the earlier lines are also few years old, So, the capital investment, on ABS is high certainly and PS are depreciated plants. So, the return on capital employed for Rakesh Nayyar:

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Karan Shah

Rakesh Nayyar:

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Rakesh Nayyar

Karan Shah: polystyrene is much higher. Whereas ABS is a capital intensive project. And it will be a new investment so to begin with, the return would not be in-line with the polystyrene ROCE, Which is fair. But sir going down the line let's say when the plant is at peak maturity in terms of asset turns, then can we expect a similar ROCE profile?

yes, we can, then we can going forward couple of years down the line yes, it's possible possible but then immediately it is not,

Definitely. And sir one more question on those lines. So, as of now you have approximately LL00 crores cash and liquid assets on your balance sheet and ABS has already been done and completed in terms of CAPEX. So, any plans as to how to utilize the cash in a better manner going forward one year or two years down the line?

We have already announced our project at Karnal, and going forward the Karnal project what we have estimated today will cost us around 850 Crores. So, this money will be used, gainfully they will be used for further expansions.

Got it. And sir one last question so, I was just going through the employee cost figures and there is an increase of approximately 16% to L7/o compared to the last year. So, just wanted to understand is this in line or is there any addition of any key managerial executor the medium or the top level?

No, see we are expanding, we have to also now increase our manpower for the new verticals, for the expanded capacities. So, the number of manpower have gone up and of course, there is a general increase in the wages and for the team members of the company also we have periodical revisions. So, all that has come together.

Okay, got it sir. And sir sorry to circle back. The Karnal capacity expansion of 800 to 850 crores is excluding PS, the EPS and the XPS expansion correct, that is just for the downstream products and separate from what you are?

So, existing projects are separate and Karnal is separate

So, Karnal is a completely greenfield new project?

Yes, it's absolutely greenfield new project

And similar asset turns will be expected on maturity?

Maturity asset turns will be similar Rakesh Nayyar:

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Moderator:

Priyank Chheda

Rakesh Nayyar:

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Rakesh Nayyar:

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Rakesh Nayyar:

Priyank Chheda:

Rakesh Nayyar: Thank you. The next follow up question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Sir, within the standard grades and the customized grades of ABS, since our Mass ABS would be a standard grade product. So, out of three lakh tonne of industry is there a bifurcation that we should look forward for?

No, there is no bifurcation we have to look for because the standard grades are what are used. Generally, 95% of the applications would take that,

And there is no further compounding required on our standard grades for our, before the step that we supply to our OEMs is that understanding correct?

One can do compounding only for the remaining 5% applications if required. So, if I do the compounding and then I can meet even the remaining 5% applications also.

Got it. And even in the current demand structure of three lakh tonnes including imports of another one and a half lakh tonnes all the demand is ca

tering towards the standard grades of

ABS?

See whatever is imported, are general grades which are imported they are all very standard grades.

Okay. And then the domestic capacities that are currently there are also catering to standard grades?

They are also standard, while one can do compounding whatever one wants one can do there, that is but then normal standard grades are there always.

okay. And my second question is on the export side, so, while we understand that, you have a spare capacity after domestic demand will be catering to exports. In case in future, when we are expanding on the larger capacities, are we that cost competitive versus the other players in the world and given that our raw material is getting imported, we will have to incur another freight cost to export. So, how far are we cost competitive in the export market?

Have we not been competitive, people would have not been buying from us or we would have not been producing and exporting if we were incurring losses. Our quality is good and we regularly supply to Europe, Asian countries, Gulf, North America, South America. We have customers in all the continents today and you would be surprised that we exported last year to Japan as well.

Right. So, the arithmetic that we are not able to solve internally is, while there is a imports, there is a export market that is getting developed. So, where is the disconnection between Priyank Chheda

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Rakesh Nayyar

Priyank Chheda:

Rakesh Nayyar:

Moderator

Krunal Shah

Rakesh Nayyar:

Krunal Shah:

Rakesh Nayyar

Moderator:

Madhur Rath:

Rakesh Nayyar:Z(9,

first catering down the input market in India and then looking forward for export, if you can help us with that?

Depends on certain grades, specific recipes. If I'm able to supply that and meet the requirement of a customer, he buys wherever he may be, and then if there is a requirement and I can fulfill that, I get my price, I export. So, it's not that in India polystyrene is not imported, the polystyrene is regularly coming from countries like Korea, Taiwan, Thailand, Iran. So, that material comes and we also export, we export to countries like Italy, we export to Spain, we export to Turkey, we export to North America, we export to south America.

Right. So, the underlying message that I should take is that, the grades that are getting imported are different than the grades that we would be exporting while there can be a potential of the grades in case we make to replace the imports within polystyrene also. And also what matters is, in the importing country their local production may be in X part of the country, their internal freights could be different, they could be very high, their handling cost internally could be very high, this plant could be in the other part of the same country. So, they have to look at their economics also. And quality and customer service. We proudly say that our grades make the best of the grades in the world.

Thank you. The next follow up question is from the line of Krunal Shah from ENAM' Please go a head.

One question I have with the EVs coming in, does the consumption of ABS and polystyrene per vehicle change, does it go up or down by how much?

Sorry, can you repeat your question?

With EVs, with electric vehicle coming in two wheelers and four wheelers, how much is the consumption of ABS and polystyrene per vehicle changing?

Sorry, I don't have that information with me'

Thank you. The next question is from Madhur Rath from Counter Cyclical Investments. Please go ahead.

Sir, I wanted to gain your understanding of the Chinese overcapacity, as well as and this upper power margin going forward so, if you could just help me understand that?

Your voice is not clear, can you please repeat your question?

Sure, is it better now? Madhur Rath

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Rakesh Nayyar:

Madhur Rath

Rakesh Nayyar:

Madhur Rath

Rakesh Nayyar:

Moderator:

Amar More:

Rakesh Nayyar:

Amar More

Rakesh Nayyar:

Amar More

Rakesh Nayyar:

Moderator:Yes

Sir, I wanted

to gain your understanding of the Chinese overcapacity and can this affect our margins going forward in FY25 and beyond?

As far as polystyrene is concerned, there are no exports or very minimal exports to India from there. Any significant impact of Chinese increased capacities on the Indian polystyrene market so far is not seen.

Okay. And sir on the ABS side?

On the ABS side, yes supply chain would change in the sense that the countries who are supplying to China, they would have to look at other markets, they may look at the Western market, some of the old plants may get mothballed, So, that turnaround will happen once the Chinese are fully implemented, with their latest 600,000 tonnes of ABS capacity. So, they are fully self-sufficient then they would look at not importing maybe or reduce importing and the exporters to China will have to look at the other markets, And the old uneconomical plants, small sized plants may consider closing down.

Thank you. The next question is from the line of Amar More from Lucky Investment. Please go ahead.

Sir just wanted to understand, this Mass ABS capacity which is going to come let's say at the end of this year what kind of utilization we can expect in the first year like FY26?

We think that we should be able to do around +50% in the first year okay. And +50% we would be making some profitability?

Difficult to comment at this stage

Okay. And sir in terms of our capacity just wanted to understand like, currently the XPS capacity would be, if you can give us the product wise capacities is it possible like XPS....

Polystyrene is 300,000 tonnes, EPS is 110,000 tonnes, SPC is installed is 35,000 tonnes. But effective you can say, because there are many grades effective 25,000 tonnes, you can take SPC 25,000 tonnes and XPS is 72,000 meter cube.

Thank you, As there are no further questions, I now hand the conference over to management from Supreme Petrochem Limited for closing comments,

Thank you all for coming and joining us today on this investors call. Thank you Rakesh Nayyar:

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Moderator: On behalf of Supreme Petrochem Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Jul 2024

,oSUPREME PETROCHEM tTD

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BSE Limited

Phiroze Jeejeebhoy Towers,

1st Floor, Dalal Street,

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Script code - 500405)uly 30,2024

National Stock Exchange of India Ltd

Exchange Plaza, Bandra Kurla Complex

Bandra East,

Mumbai-a00!5t

Scrip Code - SPLPETRO

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call of Supreme Petrochem Ltd

('The Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

please refer our letter dated July 22, 2024 wherein we had informed you that Earnings

Conference Call with investors of the Company will be held today i.e. July 25, 2024 to

discuss Q1 -FY/25 earnings.

please refer to our letter dated July 22,2024 wherein we had informed you that the Company is conducting

Virtual. Conference Call with Investors/Institutional Investors on July 25,2024.

please note that the said conference call as scheduled was held at 03:30 PM (IST) on July 25,2024' In this

regard, pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the call with the

Investors/Institutional Investors.

This is for your information and records.

Thanking you

Yours faithfully,

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Supreme Petrochem Limited

Q1 FY25 Earnings Conference Call

July 25,2024

Moderator

Anuj Sonpal:Ladies and gentlemen, good day and welcome to supreme Petrochem Limited Q1 FY25

Earnings Conference Call,

As a reminder, all participant lines will be in the listen-only mode, and there will be an

opportunity for you to ask questions after the presentation concludes, should you need

assistance during this conference call, please signal an operator by pressing "*" then /0' on

your touchtone phone, Please note that this conference is being recorded'

I now hand over the conference to Mr, Anuj Sonpal from Valorem Advisors, Thank you and

over to you, sir.

Thank you. Good afternoon everyone and a very warm welcome to you all, My name is Anuj

Sonpal from Valorem Advisors, We represent the Investor Relations of Supreme Petrochem

Limited. On behalf of the company, I would like to thank you all for participating in the

company's earnings call for the First Quarter of Financial Year 2025'

Before we begin, I would like to mention a short cautionary statement' Some of the

statements made in today's Earnings Call may be forward-looking in nature' Such forward-

looking statements are subject to risks and uncertainties, which could cause actual results to

differ from those anticipated. Such statements are based on management's beliefs as well as

assumptions made by and information currently available to Management, Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's Earnings Conference Call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review,

Now, let me introduce you to the Management participating with us in today's Earnings Call and hand it over to them for opening remarks. We firstly have with us Mr. Rakesh Nayyar - Executive Director and Chief Financial Officer; Mr. Dilip Deole - Chief Executive of Finance and Accounts; Mr. D N Mishra - Company Secretary.

Without any further delay, I request Mr. Rakesh Nayyar to start with his opening remarks'

Thank you and over to You sir.

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Rakesh Nayyar:

Moderator:

Aditya Khetan:

Rakesh Nayyar: o

Thank you

Anuj. Good afternoon, everybody. It is a pleasure to welcome you to the earnings conference call for the first quarter of the Financial Year 2025'

Let me give you brief details of the financial performance of the quarter. The operating income for the first quarter was approximately INR 1,574 crores, which has grown by around 28% on a year-on-year basis. The operating EBITDA was reported at INR 161 crores, representing an increase of around 78% year-on-year. Total EBITDA for the quarter is Rs. 184 crores for the first quarter. The net profit after tax is around Rs. 122 crores which increased by 76% Year-on-Year '

The company's sales volumes of manufactured products in the first quarter of F.Y. 2025 increased by 27% on a year-on-year basis to 93,323 metric tonnes. Domestic volumes showed a robust growth rising by 38% on year-on-year basis. Export volumes decreased due to substantial increase in the container freight rates caused by West Asia crisis, leading to a shortage of shipping space. Exports during the first quarter of 25 were at 7,990 metric tonne compared to 11,370 metric tonnes during the quarter one of financial year 24. The price of styrene monomer during the quarter ended June 2024 was stable. Company remains debt free with an investible surplus of INR 1040 crores at the end of the June 2024. With this, now I open the floor for the question-and-answer session. Thank you'

Thank you very much, We will now begin the question-and-answer session. Our first question is from the line of Aditya Khetan from SMIFS. Please go ahead sir'

Sir my first question is on to the volume side. Sir last quarter you mentioned that for full fiscal we are expecting around 8% to 9% volume growth. And sir in Q1 we had made around 93,000 tonnes. So, if we annualize this number also considering a bit upward number in Q4 because of the stocking which happens, so we can clock at least around 14%, 15% volume growth with the current run rate. So we can maintain these volumes or we will see some dip in second and third quarter?

Aditya, as I have been saying in the past also the second quarter when the monsoons start, is generally a weaker quarter in terms of the volume, because the lifting by the OEMs are slow, even in the non-OEM segment, the demand falls. Third quarter due to the festival season for that short period picks up and post the festival season again there is a lull. And only towards the end of the third quarter, the last month of the third quarter or rather the last fortnight of the third quarter onwards the market picks up again. So, from mid-December till June or June end, the season is generally good and then because of the monsoons, there is a slight weakness in the market in terms of demand. We still maintain that we could be doing better' but then on a conservative basis, I would maintain that we would be having a volume growth of around 8% to 10% only'

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Aditya Khetan

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar: o

Okay. Sir on to the spread kind of polystyrene and your styrene monomer, for the last so, two

to three months we had witnessed on spot basis the spreads have gone up to almost \$300 to around \$350 per tonne versus the normalized average of around 5150 to 5200 per tonne. So, this spreads can it maintain for a very long period of time and what is the reason for such higher spreads?

Normal is also not 150, you are talking about what GPPS or HIPS?

Sir GPPS,

GppS spreads are between 9150 to SZOO but because of the high freight rates of the imported cargo some delta has gone up but not really to this extent what you are saying. The deltas have not increased to 5300 or 5350 for GPPS.

Okay. So, this delta for HIPS has it gone up?

Both GPPS and HIPS both have marginally gone up but not to the extent you are saying, we haven't seen that.

Okay, got it. Sir on to the expansion side, apart from ABS which we are pla

nnng to start by

Q4 the EPS expansion and the XPS expansion. So, this expansion when we are planning to commission?

EpS expansion also will be through by the end of this current calendar or in the last quarter of this financial year and XPS will happen sometime in next financial year'

And sir the special compounds business?

That keeps on going as and when the demand is there. When demand requires the lines are added there, because they are kind of a very modular thing, it's not something like PS or ABS or EPS,

Got it. Sir just one last question, relating to the Haryana plant expansion, wherein we are looking to invest around 800 crore, apart from the existing announced expansion of 3D panels, any other new projects has been lined up?

No, we have said 3D panel, sheeting and also XPS there. Now, we are taking all the statutory approvals in terms of environment clearances, and other things that will take some time and we always look out for new avenues and if we find some other interesting projects, we will implement there.

But sir the revenue potential could be around 2500 crore from that Haryana business? Aditya Khetan:

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.-\$, Rakesh Nayyar:

Moderator:

Shailesh Raja:

Rakesh Nayyar:

Shailesh Raja:

Rakesh Nayyar:

Shailesh Raja:

Rakesh Nayyar:

Shailesh Raja:

Rakesh Nayyar: Based on the current capacities announced by us, the revenue potential would be 2000 crores

Thank you. Our next question is from the line of Shailesh Raja from B&K Securities. Please go ahead sir

sir three years back PS demand was best we used one of the lines for producing SMMA product and last two years we used the same line for producing only PS because of good demand. Now, with capacity available is there any plans to reenter in SMMA product to fill the available PS caPacitY sir?

We had added some small equipment to one of our existing polystyrene line for manufacturing small quantities of SMMA because we had surplus capacity of PS then' And now, the P5 market is growing. so we have not looked at SMMA at the moment and we continue to focus on PS. SMMA market as such was very small and so, we are only considering doing may be some SMMA compounds but not actually going into SMMA'

Who is supplying sir currently and what is the market size?

The market size in India is very small. Since we stopped supplying SMMA, so people have again gone back to PS and currently in India nobody manufactures'

okay. Sir my second question given that our current power cost is approximately Rs.2 per kg for the existing product lines, with the mass ABS technology we are implementing, so what is the projected power cost per kg for the ABS line sir for the 1,4 lakh tonne capacity?

shailesh, I can't give you that number because we are still not in production and numbers what we have given are provided by our technology suppliers. So really it will not be right for me to comment on that,

okay. sir we have entered a JV for the generation of 12.5 megawatts of solar power' And also we have installed one megawatt of rooftop solar power. The annual report mentioned that we can meet 50 percentage of our power requirement from renewables. Sir does that include the power requirement for the ABS line?

No, that is for the current power requirement, when the ABS comes up, then we will go in for additional solar power capacity, may be in the current JV itself or may be with some others but currently, this will meet only our existing power requirement to the extent of 50%'

okay. sir one last question, for the two phases of AB5, 1.4 lakh metric tonne, it records roughly around 7000 tonnes of master batch. So, that is sourced entirely from our SPC division or how is it?Shailesh Raja:

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Rakesh Nayyar:

Shailesh Raja

Rakesh Nayyar:

Shailesh Raja:

Rakesh Nayyar:

Moderator:

Dhruv:

Rakesh Nayyar:

Dhruv:

Rakesh Nayyar:

Dhruv:Sorry, what did you say?

The total ABS capacity is around 1.4 lakh tonnes, so that records roughly around 7000 tonnes of master batch, So, this is sourced entire

ly from our SPC division or how?

Masterbatch requirement of 7000 tonnes which you have calculated, as and when required will be always supplied by us only, it will be sourced from our own SPC division.

Okay. So, the SPC effective capacity is 75,000 that we are targeting capacity?

75000 is our proposed expanded capacity over a period of time' What we have said is, currently where we are now and as and when the demand goes up, we shall keep on adding the lines for that. So, our ultimate aim is to reach 75,000, that is the provision we are doing. We shall keep on adding lines as and when the demand is there and the market needs it'

Thank you. The next question is f rom the line of Dhruv from HDFC AMC. Please go ahead sir

Sir, is it possible to say how much PS in a 20 feet container, can get imported, in terms of quantity. And what would be the freight rates currently and how has it increased overthe last months from say Southeast Asia, I believe that's the largest part destination for exports to India. so, how the rates change, I am just trying to understand how meaningful the benefit can be for us?

The freight rates in the last couple of months have gone up by almost \$150 a tonne' But with the capacity available in the country now, the imports are reducing. With the increased freights people have stopped importing in big way, earlier the imports used to be around 6500 to 7000 tonnes a month which has already come down to 3500 tonnes in the last one or two months which going forward may further go down. And as far as the stuffing in a container is concerned, it can vary the way the packing is done and it could be 17 tonnes and it can be 19 tonnes also. So depends upon the factory size or palletized or loose cargo'

So 17 to 19 tonnes in a 20 feet kind of container?

yes, it can be as low as 16 tonnes also. The standard is 16 to 19 tonnes depending upon the various combinations.

Got it, And this \$150 per tonne is what you mentioned is the freight rate is your estimation of the freight rate from say Southeast Asia to here?

Freight rates is our estimation, but now I understand that this is getting rationalized and the market expectations are that the freight rates will start going down now, that's the information what we are getting today.Rakesh Nayyar:

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Dhruv:

Rakesh Nayyar:

Dhruv:

Rakesh Nayyar:

Moderator:

S Ramesh:

Rakesh Nayyar

S Ramesh

Rakesh Nayyar:

S Ramesh,0

So, even if the imports reduce, and even if there are some small quantities of import, shouldn't on an import priority basis you still tend to capture some reasonable part of the gain of the freight rate or no it will not work that way?

No, it does not. One has long standing customers and can't take undue advantage of customers and two, by doing that demand in the market is also affected. So, it has to be

balanced approach always.

Got it. And since your raw materials it does not change materially because they are imported in tanks right?

Bulk rates have also gone up. The raw material, freight rates have also gone up but not to the extent of the solid cargo. The liquid cargo bulk rates have gone up but not very high as in the case of the solid cargo.

Thank you. Our next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead sir.

So, if you were to look at the growth outlook for polystyrene and ABS, can you give us what is the expected CAGR and demand for polystyrene and Acrylonitrile Butadiene Styrene and what is your current market share in polystyrene and what is the kind of market share you are expecting in ABS?

The expected market growth will be in line with the GDP growth on an overall national basis. And as far as our market share of the polystyrene market is concerned we are close to around 55% or so. And ABS going forward, when we reach there then we will decide once our both the lines are operative and depending upon the market size and imports. We always try to get a substantial share in the market but then I can't really comment

on what it will be at this stage.

So, what is the current consumption of Acrylonitrile Butadiene Styrene in India now?

That is around 2,80,000 Tonnes to 300,000 tonnes.

Okay. So in terms of the economics of the new project for the ROCE, what are you really counting on in terms of your differentiating factors is it more competitive technology, is your capital cost lower so how do you expect to compete because it's a very mature market and possibly it has been a bit late in entering the ABS value chain. So, how do you see your project delivering shareholder value, say over the next five, 10 years?

Our technology is good, it is one of the best technology in the world from Versalis. So, we see that our product quality would be best, the mass ABS is odour free, good for use in the interiors of the automobiles, it has low carbon footprint, there is zero water consumption. Rakesh Nayyar:

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S Ramesh

Rakesh Nayyar:

S Ramesh:

Rakesh Nayyar:

Moderator:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan: 6t), V

during production. So it is not only environment friendly, but it is a very efficient technology. We think our product when it gets established in the market, will have an edge over the conventional ABS.

Sir if you look at the outlook for the current financial year and the next financial year, whatever you are expecting in terms of revenue should primarily come from polystyrene right and when do you expect the Acrylonitrile Butadiene Styrene revenues to start being booked in the P&L?

So, the next financial year we will be in the market, but then that will be the first year when the product would be supplied to the market and by the time the market gets used to it and starts accepting the material will take some time but starting 26-27 financial year, yes, it will be fully accounted and will add to the top line and the bottom line both.

So, do you see any competition in terms of additional capacity in polystyrene and ABS from other players?

I believe that other current players of ABS have announced increase in the capacities. Right now almost 50% of the ABS consumption is getting imported into the country. So there will be enough, everyone will have enough market to supply to.

Thank you. Our next question is from the line of Aditya Khetan from SMIFS. Please go ahead sir.

Sir my question was, on to the imports of raw material. So they are generally packed in liquid cargoes or in tanker so the freight cost is generally lower and for solid cargoes like what we export polystyrene that is in solid form, so the freight cost is higher over there.

Yes, that's right the bulk cargo liquid have their own freight rate and solid cargo has their own freight rate, freight rates for the liquid cargoes have also gone up but the freight rates for solid cargoes have seen higher increase.

Okay. Sir, when we export polystyrene so generally contract is on FOB basis or in CIF basis? It depends upon buyer to buyer if they want to nominate their own ships then it is on FOB

basis, if they want us to ship we go on CIF basis.

Okay. Sir, onto the ABS part, so when we compare ABS like a mass ABS has and emulsion ABS, whether there is any differentiation sir in terms of product quality or cost competitiveness you can highlight.

I would only say, like I said just now to the previous gentleman, that as far as mass ABS is concerned there is a lot of consistency because it is a continuous process, unlike the Rakesh Nayyar:

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Moderator:

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Moderator:

Jatin Sangwan(CD)

conventional emulsion process, which is a batch process. And there is a superior nrrr..., NZ color for the mass ABS. Conventional emulsion grade have generally a yellow tone and you need high doses of pigments for that which becomes expensive and mass ABS is odor free particularly for the automobile interior applications this is a better material. As far as the paint capabilities are concerned like for two wheeler bodies, y

ou have to do the painting of

the body and that the ABS is used there and mass ABS has got a better finish for the painted material there. So, these are the differences and secondly in the process while manufacturing of the mass ABS, no process water is used or the variety of chemicals which are used for the emulsion, get reduced here substantially.

Okay. Sir just a follow up on this, sir company has witnessed because of the rise in ocean freight cost, freights are at a two year high today. So, like ABS spreads in polystyrene are also high, so sir these spreads will sustain at this level or consecutively fall in freight'

Aditya your voice is cracking it's not clear

Sir on to the ABS spreads, I was asking on to the spreads part. So, currently the spreads are at a higher level. So, in ABS and in polystyrene both. So, with the declining freight cost and all you still expect like, this freight will remain or it can revert to normalize levels?

Whereas polystyrene as I told you earlier, for polystyrene spreads have not really increased substantially but in ABS, the imports are very high almost 50% of the local demand is imported into the country, So the increased freights have made a lot of difference in terms of the domestic pricing. So going forward when the freight rates go down all this will also go down.

Thank you. Our next question is from the line of Jatin Sangwan from Burman Capital. Please go ahead sir.

Sir, if I look at the demand of the polystyrene the demand would be around 3 lakh tonnes'

And if I look at our capacity, our capacity itself is 3 lakh tonnes and we have a competitor that is increasing its capacity by 50%. And then there is another competitor whose plant had a gas leak and they have shifted their plant to another location, So how do you think with the coming of the capacities of both these players will affect the realization and the margins in polystyrene?

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Rakesh Nayyar:

Jatin Sangwan

Rakesh Nayyar:

Jatin Sangwan:

Rakesh Nayyar:

Moderator

Anirudha Jain:

Rakesh Nayyar:

Anirudha Jain(6'i)

Firstly, the competitor you said that who had some gas leak, they have shifted their ,;NZ other location is not right because no shifting of plant has been done, they have setup only a compounding facility in another location so it is not for polystyrene. Now, as far as the demand in the country is concerned, polystyrene demand is closer to 325,000 tonnes in the country. And as I said earlier, the demand will grow in-line with the GDP growth and we have a capacity of 3 lakh tonnes, but then part of that is also exported by us' So our new plant coming up in the North, of another 100,000 tonnes, and even the expansion by the other players in the industry would finally get consumed in the country over a period of time. In the next two or three years the demand will grow up also so that there is always a surplus capacity otherwise when the demand goes up immediately the plants cannot be set up' So there is always cushion in the capacity and the demand. And so this all will take care and going forward this all capacities will get exhausted,

Got it. And sir just a follow up on polystyrene, how much of our sales comes through direct

sales to customers and how much of it is through distributors?

I would say around 50:50.

Okay, And my last question is around ABS, since you mentioned that we will be doing mass ABS and it will be a continuous process, So will there be any customization that we can do for the customers as our two competitor does, is it possible in continuous process versus let's say batch process?

We have defined grades and there are all defined grade like you have in polystyrene or other polymers, then that is the objective of the continuous process. Therefore, for specific applications recipes are made and continuous grades are produced, And if somebody wants any specific customization, that can be done in our compounding lines in our SPC plant'

Thank you. Our next question is from the line of Anirudha Jain fro

m HU Consultancy' Please

go ahead sir.

Sir, just wanted to understand what is the normalized revenue potential after this ABS plant and the Haryana extension takes place?

Once our both the lines of ABS are on stream and our EPS and our Haryana projects are on stream, the new projects would have the potential to add close to almost 3,500 to 4000 crores of revenue.

Okay. So, both ABS and Haryana facility combined?

Rakesh Nayyar: Yes, combined.

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Anirudha Jain

Rakesh Nayyar:

Anirudha Jain:

Rakesh Nayyar:

Moderator:

Parth Mehta

Rakesh Nayyar:

Parth Mehta:

Rakesh Nayyar:

Parth Mehta

Rakesh Nayyar:

Parth Mehta:

Rakesh Nayyar:

Moderator:

Rakesh Nayyar:

Moderator:6'i)

Okay. And when can we expect this normalized capacity utilization for both ABS and II tV facility?

The Haryana facility would be likely to start from the financial year 28, So, I suggest 28-29 would be the financial year when both the projects would be ready and fully operational'

Okay, And, what is our current capacity utilization?

Current capacity utilization for this quarter was over 83%'

Thank you. Our next question is from the line of Dhara from Value Quest' Please go ahead ma'am, Line from Dhara has been disconnected. Our next question is from the line of Parth from Vallum Capital. Please go ahead sir.

Sir, if you could help me what would be our revenues from trading for the quarter?

Sorry, what did you say?

What would be our revenue contribution from trading for this quarter?

Around 20%.

Okay. And sir the capacity utilization that you mentioned 83% that would be for PS or that impact on a blended basis?

This is on a blended basis

Okay. But more or less all our segments would be on a similar utilization level or is there a difference?

They are almost similar

Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to management for the closing comments.

Thank you, gentlemen for joining us for this quarterly earnings concall, Thank you.

Thank you. On behalf of Supreme Petrochem Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines'

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Call: Oct 2024

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BSE Limited

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Mumbai - 400 001

Scrip Code - 500405October 25,2024

National Stock Exchange of India Ltd

Exchange Plaza, Bandra Kurta Complex

Bandra East,

Mumbai-400 051

Scrip Code - SPLPETRO

Dear Sir/Madam,

Sub:Transcript of Earnings Conference Cal't of Supreme Petrochem Ltd

('The ComPanY')

Ref:

Please refer our letter dated October 17,2024 wherein we had informed you that Earnings Conference Call with investors of the Company will be held on October 23' 2024 to discuss Q2 & H1-FY/25 earnings.

please note that the said conference call as scheduled was held at 4'00 PM (IST) on October 23' 2024.

In this regard, pursuant to Regulation 30 of Listing Regulations' please find attached transcript of the call with the Investors/Institutional Investors'

This is for your information and records'

Thanking You

Yours faithfully,

FoT SUPREME PETROCHEM LTD

D. N. MISHRA

COMPANY SECRETARY

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Supreme Petrochem Limited

Q2 & H1 FY25 Earnings Conference Call

October 23,2024

Moderator:

Anuj Sonpal:Ladies and gentlemen, good day and welcome to Supreme Petrochem Limited Q2 & H1 FY25 Earnings Conference Call.

As a reminder all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes, Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, sir.

Thank you. Good evening everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Supreme Petrochem Limited.

On behalf of the company, I would like to thank you all for participating in the company's earnings call for the 2nd Quarter and First Half of the Financial Year 2025.

Before we begin, let me mention a cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature, Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions

made by and information currently available to Management, Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review, Now, let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us Mr. Rakesh Nayyar - Executive Director and Chief Financial Officer and we also have Mr, Dilip Deole - Chief Executive of Finance and Accounts, Without any further delay, I request Mr. Rakesh Nayyar to start with his opening remarks. Thank you and over to you sir.

Thank you Anuj. Good evening everybody, it's a pleasure to welcome you to the earnings conference call for the 2nd Quarter and first half of the Financial Year 2025. Let me start by Rakesh Nayyar:

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Moderator:

Aditya Khetan: giving you a brief overview of the financial performance for the 2nd Quarter ended 30th September 2024. The operating income for the 2nd Quarter was Rs.1,506 crore, which has grown by approximately 18% on a year-on-year

basis, the operating EBITDA was reported at around Rs.125 crores, reflecting a similar increase of approximately 18% year-on-year. The total EBITDA margin stood at around 9.42% for the 2nd Quarter. The net profit after tax was around Rs.91 crore, which increased by around 17% year-on-year.

In the 2nd Quarter the company sales volumes of manufactured products increased marginally year-on-year to 81,566 metric tonnes, The prices of styrene monomer during the quarter ended September 2024 were range bound. For the first half of the Financial Year 2025 the operating income was Rs.3,079 crores, which has grown by 23% year-on-year basis. Total EBITDA is around Rs.326 crores, representing a growth of approximately 42% year-on-year, total EBITDA margin stood at around 10.6% for this period. The net profit after tax is around Rs.112 crores, which increased by 44% year-on-year.

On the operational front in the first half, the company sales volumes of manufactured products increased by 0.47% on a year-on-year basis to 7,74,813 metric tonnes. Domestic sales volumes increased by 77.6% year-on-year basis to 7,57,702 metric tonne in this period. Exports remained subdued due to ongoing West Asian crisis and slowdown in Europe and Turkey, with exports quantity in first half of FY25 of 17,11 metric tonne, as against 24,184 metric tonne in the corresponding period of the previous year.

On the CAPEX front, the implementation of the first phase of mass ABS project, with a capacity of 70,000 tonnes per annum is expected to be completed by March 2025.

On the other update, the company remained debt free with an investable surplus of Rs'886 crores at the end of September 2024 and the Board has recommended an interim dividend at the rate of 125% of Rs.2.5 per equity share on the face value of Rs.2 per share,

With this now I open the floor for questions-and-answers session. Thank you

Thank you very much, We will now begin the question-and-answer session. The first question is from the line of Aditya Khetan from SMIFS Institutional Equity. Please go ahead.

Sir, first question is onto the volume side. Sir, in this quarter we had witnessed a sharp dip on sequential basis. So, is there any particular reason what has changed last quarter versus this quarter in your export geographies and why there is a sharp dip in volume?

Sharp dip in volumes is essentially a seasonal factor, Once the monsoons sets in from the mid-June onwards, demand from the OEMs as well as the non-OEM segments goes down barring one month of the festivities before Diwali. And from mid-December to mid-June, is high demand season for us. But if you compare it on a year-on-year basis, then the domestic Rakesh Nayyar:

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Aditya Khetan

Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar: Well,

demand has grown. The export demand is subdued this year because of the slowdown in America, Europe and Turkey and also the West Asia crisis.

Okay. And sir are you finding any reason, so whether this geography has nearly bottomed out in terms of demand, and there is a good uptick which we can see, or you still see that, so the pain will continue?

As far as the export volumes are concerned, unless there is a strong demand coming from Europe or Turkey and West Asia crisis gets resolved. Till the demand bounces back from these markets, exports would be subdued. Exports to the other Asian countries and African

countries continue. We still export to Europe, but then the volumes to Europe have come down.

Okay. Sir, my second question is on to the polystyrene spreads. Sir we were checking the data that on spot basis, the polystyrene and the styrene spreads have gone up, but sir our reported numbers indicate that the spreads have actually declined. Sir just wanted to know what is the deviation and what we are missing here?

The styrene prices have been more or less stable in the months of July, August. From second half of September onwards there has been some d

ip. And the deltas are actually the normal

deltas for pS in the global market, there is no sharp deviation, as far as we see the numbers'

Okay. And sir in last quarter you had mentioned that because of the higher ocean freight prices also, so polystyrene prices were higher. In this quarter sir, are you witnessing that benefit has gone or still this quarter, so the benefit was there from the higher PS prices? See that was there for a while, but now the freights are coming down, they are becoming normal now.

Okay. Sir my next question is on to the Haryana land, which we had bought' Sir, we are doing a CAPEX of 800 crore. And I believe sir earlier you had mentioned that the revenue potential could be around 2200 crores, Sir any idea how much CAPEX we had incurred as of now, and which are the projects we had commissioned over there?

No, we have not commissioned any project there so far, we bought the land, we are doing the pre-project activities including the environment clearances and environment impact assessment and other approvals which are needed. So, all that work is going on, it is a long drawn process. It will take another six to eight months before we can really start the work there.

Thank you, The next question is from the line of Shailesh Raja from B&K Securities Limited Please go ahead, Moderator:

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Shailesh Raja:

Rakesh Nayyar:

Shailesh Raja:

Rakesh Nayyar:

Shailesh Raja:

Rakesh Nayyar:

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Rakesh Nayyar:..Z\

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Sir, in our latest annual report, under total energy consumption data we have provided electricity consumption and the fuel consumption. So, is this fuel consumption it is used for generating power or any other production process also the fuel is used?

Come again, I couldn't get your question please'

In our annual report under total energy consumption data we have given. So, we have provided both electricity consumption and fuel consumption, So, in this fuel consumption, it is used only for power generation or any other production process also it is used?

Fuel consumption is for the production purposes'

okay, so, in that case, power cost per unit comes around Rs,8,9, Rs,9 per unit. Last year in FY24.

Okay

So, now with PPA agreement with the TP Saturn and Tata Power, we are saying 50% of the Maharashtra plant will be renewable. So, in that case, how much benefit can it come sir?

Numbers you are seeing is the combined number for both our locations'

No, sir I have taken only 90% of total unit consumption, Only Maharashtra I have taken

Okay, so as far as Maharashtra is concerned our power consumption cost going forward should go down by around 25% once the solar supply starts which actually has commenced from this month,

Okay, 25%, So, in that case, the maximum power cost can be only, say 70 crores at full utilization of 5 lakh tonnes, excluding the ABS, my understanding is right?

You are saying that our maximum would be what?

5 lakh tonnes excluding the ABS, our maximum power cost will be around 70 crores right sir?

See, that is all linked to the production level. So, what will be the final number, I can't tell you

that. But then, based on the supply of solar, what we have agreed upon as per the agreement and the standard consumption at our Nagothane plant, based on our current production levels, we expect that our electricity cost will come down by 25% with regard to Nagothane plant.

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Shailesh Raja:

Rakesh Nayyar:

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Rakesh Nayyar:

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Rakesh Nayyar:

Shailesh Raja: Zle,

Okay. Sir my second question, we are investing Rs.800 crores in this Haryana green field the potential revenue from this project is roughly around Rs'1900 crore' So, we are getting into two new products that is engineered plastics and EPS 3D panel that L million square meter. Your line is not clear Mr. Raja

So, we are investing Rs.800 crores in Haryana green field project. The potential revenue from this project is Rs.1900 crores. So, we are getting into two new products on this engineer plastics and EPS 3D panel, that is L million square meter 3D panel' So, you have mentioned already that from 3D panel we can do 100 crores of potential revenue, What is the potential revenue we can expect from this engineered plastics that is ABS, polycarbonate or PMMA? We have not said engineered plastics there. We have talked about setting up polystyrene, expandable polystyrene, extruded polystyrene, sheeting and 3D panel units at this location' There could be a compounding unit, but not the engineering plastic unit as only polystyrene and expandable polystyrene would be there as polymer plant' Sir"can you roughly give the product price potential revenue in Haryana, the PS sheeting, 3D panel?

3D panel, as you only have said that the 100 crores, And the sheeting would also be close to 150 odd crores. And then the polystyrene, expandable polystyrene they would be adding it to it. So, the total revenue would be in the region of 2000 odd crores'

so, Eps effective capacity will be 48,500 tonnes. so, we can do roughly 700 crores?

You said 48,500 of what?

EPS capacity

EPS capacity, we have said 50,000 tonnes of that'

No in that 1500 it will go to 3D panel. So, the saleable volume will be around 48,500. So, we can generate 700 crores revenue from that?

From there we can generate a revenue of around 700 crores or so.

Thanks. And sir last question, first off we have achieved 17,000 tonne in the exports. So, is it possible to achieve 40k sir in this FY25?

As of now we are working on it, it all depends upon the many factors today. One is the West Asia crisis, the Secondly slowdown in America, Europe and Turkey. We are working on the Rakesh Nayyar:

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Shailesh Raja:

Rakesh Nayyar:

Shailesh Raja:

Rakesh Nayyar:

Moderator:

Dhruv Muchhall

Rakesh Nayyar:

Dhruv Muchhall: Zle,

other market where we have our existing clientele. We are targeting to be there but then can't say with certainty what number we would be able to achieve'

Okay. In terms of pricing how competitive are we in exports market?

We are very competitive not only because of price but also our quality and the variety of grades which we can offer for different applications, That is our USP as far as the exports are concerned.

Okay, so, what is the breakup between EPS and PS in exports?

EPS is very minimal, it is mainly polystyrene'

Thank you. The next question is from the line of Dhruv Muchhall from HDFC Asset

Management. Please go ahead.

Sir, first question is on the freight rates, container freight rates global. So, you mentioned they have come down, but if I look at the trend it seems they are coming, they were still reasonably higher during the quarter, and the trend probably seems to be still higher than when they started to increase, probably indicating that the scope is still a lot more. So, will it probably have some implications in terms of the economics or the spread that we are probably currently earning, assuming the benchmark spread remains the same. So, will it have some implications?

I said, they have started coming down in comparison to the first quarter of the current financial year, they have come down. And as far as our economics is concerned, generally the imports to India are from the Southeast Asian countries mainly from Singapore, Thailand, Taiwan and also the Far East and Northeast. Thailand, Korea, Taiwan and Singapore are the major exporting countries to the country. The freight rates from these countries have not really gone up significantly, and they are almost at the normal levels now. So, I don't see that there will be any impact on as far as our economics is concerned.

perfect, that helps. And sir the second question is probably a bit macro. If I look at across the polymer chains global which are global polymers, it seems the spreads are much lower than what they were

pre-COVID or around 2000 much lower 2018-19 levels also' Two reasons, it seems is because of China's capacity addition across and the global weak demand, but particularly for PS, it seems the spreads are better than what they were historically' So, is there any particular differential trend which is playing out in PS which is leading to such an outcome?

The spreads of polystyrene are normal Rakesh Nayyar:

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Dhruv Muchhal: o

Yes, sir they are normal, but if I look at some of the other products, if I look at some of the other polymers they are much lower because of multiple reasons,

Rakesh Nayyar: Coming on to the normal spread levels, there is a demand growth, particularly in India.

There is a growth in demand of polystyrene, which was earlier very low. Now it is increasing with the increased demand from OEMs, and also some exports by the OEMs' So the demand growth is helping in maintaining spreads at the normal level'

Dhruv Muchhal Okay. You also get influenced by the global spreads right to a large degree. So, I am just trying to understand.

Rakesh Nayyar: The deltas in the Far East, Northeast and Southeast Asian countries are almost the same'

They are the normal standard spreads. Where we are seeing is the European and the American spreads. In Europe, because many plants have shut down, slowdown is there and many plants are operating at very uneconomical levels, so, there the spreads may be higher but not in this part of the world.

Dhruv Muchhal: Got it. And sir would these spreads in say Southeast Asia and the Far East would be very different versus India on a benchmark level, on a specific product level' I understand you do very various grades, and so that can be on a blended basis, it would be different. But if I have to just pick a single grade and a single Southeast Asian grade on a like-to-like basis would it be very different?

Rakesh Nayyar: No, it would not be, because the base pricing in India is also linked to the Southeast Asia spreads only.

Dhruv Muchhal Okay, got it perfect that makes sense. The sir last question is, how differential are these economics when you are looking at exports versus domestic for the same set of product. So, does domestic achieve better margin or exports?

Rakesh Nayyar: Domestic are far superior than the exports, at times exports give us better margins also' But in current times exports are lower than the domestic'

Dhruv Muchhal: And the differential is primarily because of the freight, or is there something more to it?

Rakesh Nayyar: Its mainly because of the freight and also the competition in the sense that since the demand is low in Europe and Turkey. Whole world is trying to compete for the demand there. The size of the pie has gone down. Everyone is trying to have a share of that pie. So, there is a competition now.

Thank you. The next question is from the line of Nirav Jimudia from Anvil Wealth. Please go ahead. Moderator:

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Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:

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Rakesh Nayyar:

Nirav Jimudia

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar: So, first is, when we compare our PS volumes, we produce some specialty grades of PS also where we get some premium pricing as compared to the normal GP and HIPS. so, if you can just help us understand that, how has been those premiums over those traditional grades in Hi. of FY25 versus FY24 have they shrunk or the premiums have been maintained and because of which we have been able to slightly better off in terms of the performance versus the spreads prevailing in the Western world'

The premium products which we have got a markup over the standard grades because of the different properties of the premium grades. So, when the spread for the normal grades is X, so our markup is on that and that markup remains the same almost. And the spreads have gone down of the normal grade. If you look at the absolute number, the absolute number would also go down for the premium grades but the

markup remains. Markup is the same for

us today. We have about 40% value added products in our basket of products now'

Correct. And sir generally these markups are close to 20%, 20% in terms of over the standard grades or they are slightly lesser?

We treat it as a premium product for us or a value-added product for us, where the markup is 20% more than the normal standard grade for us, if the standard grade is X, the premium grade or the value added grade would be 1.2 X or X plus 0.2.

Correct. And sir with the lot of MNCs are setting up their plants here in India, specifically on the OE side, does it mean that the demand for this premium grade should go up given the kind of qualities and the kind of new age technologies which they bring along with into India. Is it possible that this 40% number can go up to 60%, 65% over a period of time?

I don't see that kind of a jump very frankly, maybe yes, another 5% to 7% it may go up'

Because what I am telling you 40% is for the total basket of all products put together as far as we are concerned. There is EPS, there are compounds, there are other products also' I see that for the company as a whole value added products could go up to 50%'

Correct. On the full volumes of 5,22,000 tonnes, whenever we will?

No, only our current volumes today,

Okay, on current volumes. And out of this, 40% how much could be for PS, any ideas if you can give?

I won't have that number off hand right now

No worries. Sir, next question is on, this quarter if I am not wrong our trading sales, is slightly higher based on the numbers what I am looking out, So, generally it used to be 21%, 22% but is it at the same level, or it has gone up slightly this quarter?

Nirav Jimudia:

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Maybe half percent here or there, but generally we are around 22% to 23% of our total

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:

Moderator:

Raman KV: revenue

Correct. Sir last bit from my side is, the capacity utilization for PS and EPS, if you can share and along with it, are we working because you mentioned in the one of earlier participant is it the exports of EpS was minimal, but is there a scope for developing some special grades for the EpS which can be specifically for the targeted export markets, and because of which our exports of EPS could be also meaningful in our overall export share. Thank you so much. We are already working on the developing new grades for the European and US market, since we are also expanding our EPS capacity, we have to look at the exports market, and in the near future we would be exporting significant quantities of EPS to these markets. We are working on it.

Correct. And the capacity utilization number, if you can share as well?

Capacity utilization for all products put together, we are close to around 80% for this quarter

Correct. Sir last, if you may allow. If you can share the schedule of our expansions for EPS compounds as well as XPS, The one which we are doing at Manali for compound from 25 to 75 and the XPS one.

Manali expansion is over. As far as the Amdoshi expansion is concerned, the second phase of EpS would be over in the last quarter of the current financial. For compounds as I said earlier,

we will keep on adding new lines as and when we needed. New lines will keep on getting added based on demand requirements.

So, effectively, our EPS capacity would be 1,48,000 KT, or 1,48,000 tonnes?

The effective capacity would be maybe 130 to 135,000 tonnes' The name plate capacity would be 145,000 tonnes for us.

Thank you. The next question is from the line of Raman KV from Sequent Investments. Please go ahead.

Sir, I just wanted to know the update with respect to the upcoming mass ABS plant' And historically, if one looks at the EBITDA margins have been declining' So, can you give me what's the reason, why the EBITDA margin are falling year-on-year basis, like when back in 2022 it was 18%, and now it's around at 9% or 3'

0%.

Mass ABS project would be completed by March 2025' EBITDA margin is concerned, yes, 2L-22 margins were very high because of the significantly higher spreads in the global market.

post coVID, that was the year when many plants had not started, and the shipping rates Rakesh Nayyar:

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Moderator:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan:

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Rakesh Nayyar:

Aditya Khetan: a'e,

were very high. So, the global deltas were very, very high, That benefit we got, otherwise we are currently in at normal delta scenario where we are at between 9% to 10% EBITDA margins.

Thank you. The next follow up question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead'

Sir my question is on to the EPS part. Sir, we know that EPS and the PS, so EPS is generally a premium as compared to PS. So, in terms of percentage, if suppose in Ps we are getting an x percentage of spread, so how much incremental we would be getting it in EPS?

No, there is no such differentiation now. EPS may fetch in some markets for some applications better margins otherwise they are similar.

okay. And sir one of the raw material to make EPs is pentane, so my question is, so from where we are sourcing this pentane gas, and how we are storing and handling it, and what are the current prices of Pentane?

We import and we source it locally also. It is handled in ISO tanks and there is licenses for storage of this. As per the legal requirements that storage is taken care of in the specified tanks, And as soon as the prices are concerned, I won't have off hand at the moment, maybe later on, I can give it to You.

Okay, And sir in terms of the percentage split of our top line' So, you had mentioned earlier that 60% to 65% comes from PS and almost around so two third comes from EPS. Any change in that revenue contribution in this quarter?

It is two thirds from PS, about one fourth from EPS and one tenth from the other products, for manufactured product sales.

okay. And sir whenever our ABS would come on stream, how much potential revenue contribution it would make at peak utilization level?

The line one would give us around 1000 crores.

Okay, Sir, estimated CAPEX for 25 and 26?

FY25 our CAPEX is projected with around 380 crores'

Okay. And sir for 26?

26, I don't have the numbers right now Aditya Rakesh Nayyar

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Moderator:

Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar

Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia

Rakesh Nayyar:

Nirav Jimudia: Thank you. The next follow up question is from the line of Nirav Jimudia from Anvil Wealth. Please go ahead.

Sir, you mentioned that because of the special grades of EPS which we have been developing for the Europe and the US market, does it also mean that this will also command the same level of markup premiums over the standard EPS which we are currently selling, and that could help us some enhancement in our margins?

It's very difficult to say at this moment, Nirav, because we are developing these and maybe in the, maybe in the current financial year itself we may start exporting that. And once we actually export and acceptability of the newly developed grades of EPS is in place then we will really come to know what kind of premiums we get. But we will be working on that.

Correct. And if it is possible to give some understanding like out of let's say 17 KT of exports, whatever done in H1, similar size the opportunity for EPS could emerge when we will develop this sort of grades, not immediately but eventually whenever the customer acceptability and the confidence goes up. Can EPS export exports could also be meaningful, similar to the PS volumes which we are currently doing on?

We have an effective capacity of 300,000 tonnes for PS and after expansion we will have effective capacity for EPS of around 130,000 tonnes. We won't be having volumes also to match exports of EPS with the same quantity of P.

S. The numbers of EPS exports therefore would be lower than the PS exports, but they would be significant.

Got it. And sir, any understanding of the demand scenario in India, specifically on the PS and EPS side, you mentioned that with the new OEMs putting up a plant here, demand optically looks optimistic only over a period of time. So, let's say, if you can use some understanding about the current demand scenario for our PS and EPS in India, and how it is looking in H2 of FY25 that would be very helpful.

Demand for PS is good in India, since OEM sector is strong. It's only that in the non-OEM sector there has been some slowdown. OEM demand is strong if I look at the overall first half of the year, the OEM sector witnessed almost 30% growth in the demand.

Okay. And that forms close to 75% to 80% of our overall volumes?

No, it's not 75%, we are also significantly present in the non-OEM market. Though all OEMs are our customers, but then we are significantly present in the non-OEM market as well.

What could be rough mix, if you can share sir, like in terms of OE?

Rakesh Nayyar: That is 50:50.

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Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:

Moderator:

Raman KV:

Rakesh Nayyar:

Raman KV:

Rakesh Nayyar:

Moderator:

Rakesh Nayyar:

Moderator: z\,e,

Okay. And sir, last time you mentioned that since we have done 1,75,000 tonnes of volumes in H1, possibly the earlier guidance was like we made that something close to around 345, 350,000 tonnes of volumes. Is there any change in the guidance or on the upside or on the lower side which you may have?

Yesterday, in one of the interviews I said that we may have 340,000 tonnes of volume this year because of the slowdown in the export market.

Got it. So, the demand in the domestic market continues to remain robust. So, there is no?

We are very bullish about the domestic demand.

Thank you. The next follow up question is from Raman from Sequent Investments. Please go ahead.

Sir, I just want to know the guidance with respect to FY25?

Guidance, I am sorry, I can't give you any guidance. I can only tell you about our volume growth.

Yes, even volume growth will be fine.

Now with the slowdown in the export market, our volume growth could be on 5% to 6% over the previous year.

Thank you. As there are no further questions from the participant, I now hand the conference over to the management from supreme Petrochem Limited for closing comments.

Thank you all for participating in this earnings concall. If you have any further questions, I would like to know more about our company, please reach out to our Investor Relations managers at Valorem Advisors' Thank you so much. Thank you'

Thank you. On behalf of Supreme Petrochem Limited, that concludes this conference' Thank you for joining us and you may now disconnect your lines' Thank you'

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Call: Jan 2025

,oSUPREME PETROCHEM LTD

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Ref : C FA/C S/86/AG M-35 I 2024 -2025

BSE Limited

Phiroze Jeejeebhoy Towers,

1st Floor, Datal Street,

Mumbai - 400 001

Scrip Code - 500405 January 24, 2025

National Stock Exchange of India Ltd

Exchange Plaza, Bandra Kurta Complex

Bandra East,

Mumbai-400 051

Scrip Code - SPLPETRO

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call of Supreme Petrochem Ltd

('The Company')

Ref: Regulation 30 of Securities and Exchange Board of India [Listing Obligations

Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

please refer our letter dated January 16, 2025 wherein we had informed you that Earnings

Conference Call with investors of the Company will be held on January 21, 2025 to discuss Q3 &
9M FY25 earnings.&

please note that the said conference call as scheduled was held at 4'00 PM (IST) on January 21
2025

In this regard, pursuant to Regulation 30 of Listing Regulations, please find attached transcript of
the call with the Investors/Institutional Investors.

This is for your information and records.

Thanking you

Yours faithfully,

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D. N. MISHRA

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CUSTOMS INDIAN BUREAU VEBITAS

Certification UKAS

Certificate No. INAAACS7249C2F228

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Supreme Petrochem Limited

Q3 & 9M FY25 Earnings Conference Call

January 21, 2025

Moderator:

Nupur Jain Ladies and gentlemen, good day and welcome to the Supreme Petrochem Limited Q3 and 9-
month FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during the call, please signal an operator by pressing '*' then '0' on your touch-
tone phone.

I now hand the conference over to Ms. Nupur Jain from Valorem Advisors, Thank you
and over to you, ma'am.

Good evening, everyone, and a warm welcome to all of you. My name is Nupur Jain from
Valorem Advisors. We represent the Investor Relations of Supreme Petrochem Limited.

on behalf of the company, I would like to thank you all for participating in the company's
earnings call for the Q3 and 9 Month FY25. Before we begin, a quick cautionary statement.
Some of the statements made in today's earnings call may be forward-looking in nature' Such
forward-looking statements are subject to risks and uncertainties, which could cause actual
results to differ from those anticipated.

Such statements are based on Management's belief as well as assumptions made by and
information currently available to Management, Audiences are cautioned not to place any
undue reliance on these forward-looking statements in making any investment decisions.

The purpose of today's earnings call is purely to educate and bring awareness about the
Company's fundamental business and financial quarter under review.

Now, let me introduce you to the Management participating with us in today's earnings call, and hand it over to them for opening remarks.

we have with us Mr. Rakesh Nayyar - Executive Director and cFo; Mr. Dilip Deole - chief Executive of Finance and Accounts; and Mr. D. N. Mishra - Company Secretary of the Company.

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Rakesh Nayyar:

Moderator:

Aditya Khetan:6'i)

Without any further delay, I request Mr. Rakesh Nayyar to start with his opening r.tltNZ

Thank you and over to you, sir.

Thank you, Nupur, and good afternoon, everybody. It's a pleasure to welcome you to the earnings conference call for the 3Q and 9 Months FY2025,

Let me start by giving you a brief overview of the financial performance for the third quarter, ended 31st December, 2024. The operating income for the third quarter was Rs. 1,405 crore and the total EBITDA was at 1

16.70 crore. The net profit after tax grew by around 5.5% to Rs'

7L crore with PAT margin at 5.08%.

For the nine months ending up to December 2024, our revenues stood at Rs.4,484 crore, with a total EBITDA of Rs.443 crore. Total EBITDA margin stood at 9.87% for nine months.

The net profit after tax for this period was Rs. 284 crore, which increased by approximately 32% year-on-year with a PAT margin of 6.32%.

On the operational front, the prices of our key raw material of styrene monomers were declining in this last quarter. They are, however, now getting stable. And this declining trend put some pressure on the margins during the quarter.

For the quarter, Company sales volumes of manufactured products increased by 21.10% on year-on-year basis, while for the 9 months' period, the sales volumes of the manufactured products increased by 13.7% year-on-year.

The Company remains debt-free with an investible surplus of INR 680 crore at the end of December 2024, and is continuing to invest in all its capital programs through internal accruals and reserves,

On the capital expenditure front, the implementation of our first phase of Mass ABS Project, with capacity of 70,000 tonnes per annum is progressing well, and the mechanical completion is expected by end March of 2025, with commissioning scheduled for Q1 FY'26.

With this, now I open the floor to a question-and-answer session'

The first question is from Aditya Khetan from SMIFS Institutional Equities. Please go ahead Sir, my first question is, in this quarter performance, we are witnessing some compression in your gross and operating spreads per tonne. Any particular reason, sir? And if you can also highlight what is the average spread of polystyrene and styrene during the quarter? I believe it is at around ₹200, ₹250 per tonne. If you can throw some light, how are the spot spreads global and in India?

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Rakesh Nayyar:

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Styrene trends have been on the declining side from August end onwards/ our view is, INZ onwards. The styrene prices fell around 1% in the September to December quarter, With the declining styrene prices, there were some pressures on the margins.

And on the spot basis, today, the margins are ₹200 and ₹250, and that reflects into the Indian margins as well. But then, that is on a spot basis. But the raw material always comes at prices which are almost 4 to 6 weeks prior to the arrival of the cargo. This always impacts the margins.

Got it. Sir, just to clarify on to this. You mentioned that the styrene prices are on a declining trend, as that is also reflected into the trend, So, sir, declining raw material prices should generally have to protect EBITDA per tonne? Or is it vice versa like?

No, it does not help when your raw material prices are declining, meaning you are getting your raw material, which was contracted earlier and when the prices were high. When cargo arrives here, it is at a higher price, whereas the selling prices are on spot basis then.

okay. Got it, Sir, any particular idea if you can give for the longer term, like for FY'26 and FY '27, what sort of EBITDA or gross spreads we could work on?

I can't give you any guidance on those, Aditya, because the base spreads are all determined by the global deltas, prevailing the Northeast Asian countries and Southeast Asian countries. So it is very difficult to predict that.

Got it. Okay. Sir, on to the volume side, our earlier guidance holds 7% to 8% volume growth' And what is the outlook in the export side also? Export volumes also earlier, I believe we have given some number. So, does that number holds?

In the last year, we sold total volumes of 325,000 tonnes. And we maintain that we should have a volume growth of around 8% for the full financial year. We should be doing around 350,000 tonnes this year.

okay. And sir, on to the Mass ABS, are we through with the

sampling part? I believe that will

start post the commissioning of the plant, March 2025. so just wanted to know how much time the sampling will take? And are we getting like some orders, preorders or the order book is starting to fill in right now?

We would be coming out with the product in the first quarter of FY'26. And our discussions with some of our customers are already on, with the help from our collaborators. So once the product is out, we are confident that we should be able to sell the product comfortably.

Okay. Okay, And sir, post this Phase-I, any idea when we will start the Phase-2? And apart from this, we were also looking to start the Haryana plant. I think we have planned some INR

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Rakesh Nayyar:

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Moderator:

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800 crore of CapEx over there. Any idea, sir, you can give, how this Phase-2 and that, rtNZ plant will phase out?

We are working on the Haryana plant,. The pre-project activities have started. We expect that towards the third quarter of FY '26, we should be starting the project implementation at the site.

Okay. And sir, Phase-2 of ABS?

Phase-2 of ABS, also, we hope to start in the coming financial year

The next question is from Sailesh Raja from B&K Securities' Please go ahead'

Two years back, we began trading ABS product with the intent of showcasing to the customers like Supreme Petro is entering this segment, even before the commercial launch. So, was this trading focused on mass technology ABS product or the conventional ABS variant?

We are currently doing ABS compounds. And we also do some trading in ABS, but that is all the conventional technology ABS.

Okay. So, you seem confident about ramping up capacities in 2 years'time, Phase-I' So, what feedback have you received, sir, following the trial runs of this Mass ABS technology product in terms of quality, specification, future?

Benefits of Mass ABS are already. known. Alongwith the Versalis team, meetings with some of the prospective customers have already been done, and the customers are already very enthused about using the material. We are confident that we would be able to market the whole quantity.

Can you give specific, that feature, it is much better than the conventional one, sir? Cost side, yes, definitely, it is much, much better. But in terms of product features?

Mass ABS has a better lot-to-lot consistency. It has a lower base colour, and it is very efficient for colouring. There is a better UV stability in this. There's a thermal stability in this. There are lower gel content in this, so that helps in improving the surface quality. There is lower volatile organic compounds, which helps in reducing the odour in the interiors. It has also improved thermoforming properties. So, these are the inherent advantages of the Mass ABS. And that would certainly be the selling USP of Mass ABS.

Okay. Sir, on the XPS product, it was launched in 2008-09, yet we have not surpassed INR 50 crore in sales. So despite this, we are expanding capacity by 1 lakh in 1Q and plans to add capacity at the Haryana facility as well, So, during my discussion with the Chennai-based

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supreme xPS distributor, he mentioned that we are primarily focusing on projects l.r,n.rlp z the consumer market.

on the project side, private projects like last year, Foxconn, chennai, Bangalore, they have procured a significant volume from our Chennai XPS distributor, and we got very positive feedback. And distributors find it easier to convince any MNC Taiwanese and Korean players, and they prefer using green products in their projects'

However, on the government side, since we don't have ISA certification in our XPS, so that seems to be a barrier and PWD does not grant approval. So, we suggested that Company should step in to address this issue. And also, sir, what is our plan on bot

h consumer side and

project side to increase the scale of this business? How quickly we can ramp up to fully utilize the 1.73 lakh include capacity from current level of 50,000?

There is no government mandation for any insulation. Unlike the mandation in the European or the Gulf or China, India does not have any mandation for using any insulation product, be it XPS or be it PU or be it any other product. Though we are working on that with the Bureau of Energy Efficiency but that still has not happened'

Now as far as approval by the PWD is concerned, our material has already been cleared by the CPWD long back, and that is how the central government projects use our product.

As far as the various state governments are concerned, some of the state governments have also already approved our product, and it is there in the booklet of PWD for list of approved materials.

But then as I had said last time also, the smaller contractors, when they do the individual housing, they hesitate using it because they don't want to use it or they tell the owners that it will increase their cost, but they do not inform them the benefits of using this. But in the bigger projects, the architects and contractors are aware of this. They know what the benefits of using XPS are. The institutional projects prefer using this product. We continue to work on this, but it is a long-drawn work.

Okay. Okay. But how quickly we can ramp up the full utilization level, sir?

We have a team also, which is doing the marketing in the smaller towns. We continue doing roadshows, though we have done many in the past, We are interacting with the various architecture colleges to enlighten people about this product. And these are the steps which the Company has taken and continues to take. So, we hope that now in the near future, in the next 2 to 3 years, we should be able to load not only the current capacity, but also the expanded capacity. For those who have used it, those who have experienced the product, they swear by it.

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Sailesh Raja

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Sir, in the export business, see roughly we are doing 45,000 metric tonne of safe. In f art'NZ you mentioned that it is fully polystyrene. so, in exports xPs volume, how much it goes for the XPS, and for the other applications, sir?

You mean to say the application of the polystyrene, which we export?

Yes.

I won't have that number with me. We export to the OEMS, we export to the XPS manufacturers. In Italy and in Greece, we export to some customer who uses it for XPS' Customers in Turkey or Egypt or Bangladesh are OEMs. It depends upon the country to country, customer to customer, but very difficult to give you this number at the moment please.

okay. In general, HIPS commands better margin than GPPS. So, for the XPS supply more of GPPS or HIPS sir?

For XPS, it is GPPS,

Okay. Sir, how much volumes we have done, in 9 months in exports?

I won't be able to give you that number. We are giving only the consolidated numbers now, please.

okay. okay. sir, one last question. In the SPC business, how many compounds that we currently make in our volume of 18,000 metric tonne. We are roughly doing around INR 250 crore, INR 275 \$ore of sale. What are the plans to increase'..

compounds are application-based and we produce compounds of PPI PEI ABS and polystyrene. There are'n'number of compounds which we are doing. They are in small volumes and they are in large volumes also. It depends upon the orders and the applications. It is difficult to give any definite number of compounds, we produce, because we produce all kinds of compounds. But going forward, we will be mainly focusing on ABS compounds' Compounds are made for specific applications. If the requirement is large, we do specific customization also. We not only develop the compound, we produce it and market it. How fa

st we can double our volume, sir, in the SPC business?

The SPC business, with our ABS coming online, we should be able to grow it very fast. And I expect that in the next 2 years, we should be able to double the compound business.

The next question is from Nitin Gandhi from Inoquest Advisors.

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Moderator:

Aditya Khetan

Rakesh Nayyar:How do you expect the ramp-up of this utilization of mABS facility, which is starting

Sorry, can you repeat your question, please?

Yes, I'm sorry. Am I clear now?

Yes, yes.

okay. so can you share some thoughts on ramping up the capacity after 1 or 2 quarters of mABS that 70,000 tonnes?

Almost more than 50% of the ABS requirement is imported into the country. The Mass ABS or the emulsion grade ABS, they are finally ABS. It's only that the Mass ABS is being produced with a different technology, a different process, and has some inherent attributes and benefits, which are in addition to what the emulsion grade ABS is providing, like it has more better consistency, it has better efficiency, It has lower gels, lower VOC. So, they are the other benefits of Mass ABS. Demand being there, we don't see that there would be any issues in marketing the product. Already 140,000 tonnes or thereabout is imported. we are just adding only 50% of that.

That's right. And in Phase-2, we are adding the similar again, right?

Yes. But by the time our Phase-2 comes, the demand in India would have further grown up also.

And another question, which is a bit little out of box, it's like there were some studies being conducted for ABS being used as a fuel for rocket engines and other things and also for 3D'

Can you share some thoughts if you have something on that? It's more of a"

I am not the right person to answer that question, please'

The next question is from Aditya Khetan from SMIFS Institutional Equities, Please go ahead sir, I have questions on to the Haryana expansion. sir, I believe one of the projects into that plant, we are expanding, that is the EPS 3D panels, And that you had also mentioned that has a potential revenue of around INR 100 crore. So, sir, what would be the other projects like which are into the pipeline?

We will be doing derivatives of polymers. We had also talked about the sheeting business, for sheeting of polystyrene and sheeting of ABS. And going forward, to put XPS project' So downstream, there are 3 projects. And on the polymer side, we had announced polystyrene and EPS. Polystyrene and EPS is being timed with the implementation of the styrene monomer of IOC,

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Rakesh Nayyar: Okay. And sir, what would be the expected turnover from the sheeting business? Sheeting business will give almost INR 200-odd crore of the revenue.

okay. sir, my next question was considering polystyrene spreads are at \$200 per tonne, so how much premium would the XPS spreads be or EPS spreads be like?

No, EPS has nothing to do with the polystyrene spread. EPS has its own spread and EPS has local competition. EPS imports are negligible. And EPS price is determined not only by the international price, but also by the local competition here, There are many players of EPS now.

And as far as the XPS is concerned, the spread of over \$200 for PS is the base price, but then XPS commands much, much higher margins on that. And internationally, I wouldn't know that. I'm sorry, I have no information internationally on XPS price right now'

Okay. So, sir, EPS also like would be at a premium, so to polystyrene or that would be similarly?

That is a similar price. That is not at a premium

okay. so, sir, this value-added grade, so out of the total portfolio, so 35%, 40% is the value-added grades. And if polystyrene and EPS,

both are commanding similar spreads and these 2

businesses, I believe, is around 70% to 80% of the total top line. So, the value-added grades, sir, which businesses we are talking of?

We have some value-added grades of polystyrene, where our margins are higher than the normal grades. They are higher margins for us. So, such grades are value-added grades for us. Similarly, EPS has some value-added grades like flame retardant. We don't count the commodity grades. All our compounding business, the SPC business, is our value-added. our XPS is a value-added product for us. They are around 38% to 40% of our business' It is the business where we have better margins than the normal grades.

okay. Got it. sir, in this quarter, we had also seen this impact of rupee depreciation of 2% to 3%. Any impact, sir, like we have taken on the higher styrene imports?

Styrene imports are impacted by the foreign exchange hit, but we cover major part of our Forex. A part of it gets recovered, because the landed price of our product also goes up. The selling price also goes up. And on the exports on the value-added part of the exports, we get better realization.

Got it. Got it. Sir, ex of ABS, what is the volume guidance for FY'26 ex of ABS? Aditya Khetan:

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Rakesh Nayyar:

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other than ABs, we expect we should be doing also next year around the 15-20% growth next year

Next question is from Pritesh from Lucky Securities.

sir, I have 2 questions. one, what is the consumption of Mass ABS today in the market annually?

We are the first one to come out with the Mass ABS. So as of date, India has been consuming only the emulsion grade ABS.

So whatever imports are happening in India, those are also emulsion grade?

They are all emulsion grade because the Mass ABS carries a premium in other markets.

Nobody is importing here.

Okay. Do the customer need to be educated or the applications have to be first tested upon for someone to start using Mass ABS or they can straightaway start as plug and play? Depending upon their application, they only decide on which grade they want to use, based on the properties of the grade. And once they start using it, they would find that it is beneficial to use this, because it has better properties in terms of consistency, in terms of the UV stability or in terms of the lower gels, lower volatile organic compounds or higher melt strength and all that. So, they would then prefer to use it later on' And what's the premium over the emulsion grade?

In India, once we start marketing, it will be certainly at the same price because everyone is currently using the emulsion grade. But as I said in markets like Europe, it carries a premium' Do you see a scenario where on the incremental usage of product is where the market will use? Or do you think market will go ahead and replace even in the existing? Markets immediately will start replacing it. Those who are importing, they will use it initially maybe that, at the same price. If they're getting it, they will use it. And once they see the advantages of this, maybe they will give a better price also to us.

Okay. And my last question is, in your presentation, these compounds, the polymer compounds, out of 350,000 tonnes of your annual volume, how much is polymer compounds?

Polymer compounds, see they would be around 8% or so, all together, the 8% polymer compounds and our XPS business.

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Rakesh Nayyar: Next question is from Gargi from Value Investments.

sir, wanted to understand that with the upcoming ABS product, do you expect the receivables, inventory, et cetera, the working capital cycle, similar to the current business? Yes, we expect

the same.

okay. And secondly, if you can help me with the products that we make in this sPC segment. So, what is the demand size of these products in India? And are there any imports happening of these products?

compounds, have many applications. And as and when the applications grow, the compound market will grow. In India, actually, there are both organized and unorganized players in the masterbatches and compounds. The organized sector is there in the EV batteries, the electricals and electronics, the automobiles, appliances. So that is where the compounds are used mainly.

And also, compounds are also used in the many other applications like the freezers etc. compounds are being used even in the same pipes and some other piping and bathroom fittings as well. So, there is a growing market for compounds.

And somewhat of the styrenics compounds may be getting imported' Any definite data is not available on that.

Okay sir. So for this segment, what are the blended realizations for our Company and the EBITDA?

For which segment you are talking about?

sPC.

No, I'm sorry, I won't be able to give you that information, please

okay, sir. sir, last question would be if you can just highlight from here on, are there any measures that can be taken to reduce some costs? So, you have mentioned about power cost reducing. So, a little bit more colour from here on, how much do you expect to reduce on the power as well as the freight cost? And any other, if you feel?

See we have already done the maximum permissible solar power installation for our projects' what the guidelines provide us, we have already done. And now after the ABS is implemented, for additional power requirement for ABS, whatever is the permissible limit for the enhanced requirement, we would be implementing solar power for that also' Currently,

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Participant: based on our installed solar power and our consumption, we have been able to save 25% of our power cost.

And as far as freight, the global freights are still very, very high, when one compares with the pre-pandemic freight rates. For some markets, they are as high as 3x still. That is why the exports is now not very remunerative. The margins are very low in the export market.

So, sir, from here on, is it safe to understand that in terms of cost reduction measures, we are already operating at optimum level?

No, with the higher production, like our ABS comes in, it is at the same location. our fixed cost may not be going at the same level. Our fixed cost would be, our administrative cost, the plant management cost. They won't be going up. So, the fixed cost economics would always reflect in. And as far as upgrading the plant, automation of the plant, more and more automation of the plant to reduce the cost, that is an ongoing effort, which will always go on. okay. sir, one last question, if I can squeeze in. so raw materials, we are fully importing. so, with the depreciation of rupee, what is our hedging policy?

we hedge. Generally, we are always hedged to the extent of 50% to 65%, depending upon the dynamics of the dollar-rupee. But in any case, the depreciation impacting our cost is also built in our selling prices. So indirectly, we get hedged. We are also hedged to the extent of exports.

The next question is from Krunal Shah from ENAM Investments. Please go ahead.

I have one question. so, in case of Mass ABS, how would the gross spreads be in comparison to the emulsion ABS?

Gross spreads. Gross spreads would be better, because our operating costs should be lower since it's a continuous Plant,

okay. so, my point was because in, say, other countries, Mass ABS sells at a premium' so, just wanted to understand if the cost of manufacturing it is also higher or lower?

No. The operating cost would be less because it's a

continuous plant' And it's only if

somebody wants anything extra to be done, then we will do it in second stage in compounding. otherwise, the natural ABS would be available here, and it is all reactor produced.

okay. okay. so, the premium price globally for Mass ABS would be a reflection of the better quality of the product.

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Nitin Gandhi: Better quality, because of the better attributes which it has. so that gives it a better the re.

Right.

That eventually should happen in India also

Yes, true. Fair enough. And in terms of the growth, we have a g-month volume growth of

around 13%, can you break it down across segments, which have seen good growth and segments which are lagging growth?

No all segments have done well for us. I wouldn't say that any particular segment has done well. Polystyrene has done marginally better than the others. EPS has also done well. Even XPS has done well. So, all of them have done well, and we have done 9 months 13% growth.

Next question is from Nitin Gandhi from Inoquest Advisors. Please go ahead

Sir, can you share some guidance for the Q4 vis-a-vis last year or vis-a-vis Q3, if you can share overall volume-wise, it will be helpful.

Sorry, can you repeat your question again?

For Q4, that is Jan to March quarter, whatever volume we are expecting, can you share some thoughts vis-a-vis Q3 or last year's Q4?

We should be doing around 350,000 to 355,000 tonnes of volume this year. And last year, we did 325,000 tonnes of volume. This will give us a growth of around 8% plus. And we shall be achieving this. I think there should not be any issue barring anything unforeseen if it happens in this quarter i.e. in the next 2 months, otherwise we are on line to achieve this.

So that means on a Y-o-Y basis as compared to last year where we had 96,000, it will be a bit negative growth.

No, it should be the same. This quarter, we should be having the same growth. Exports maybe lower this quarter. But overall we hope to be at the same level.

So, 96,000 will be repeated more or less, if not growth."

More or less, we should

And now coming to little longer-term view, like we have seen almost 8%, 9% deterioration in margin over the last 3, 4 years. What do you think in that? And what can happen best for us, so that we can clock best 13%, 14%, at least on a sustainable basis over 2 or 3 years? Is it

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Rakesh Nayyar:

Nitin Gandhi:

Rakesh Nayyar:

Nitin Gandhi:

Moderator:

Participant:

Rakesh Nayyar:

Participant:(GD)

possible? Or does it look still away from us with implementation of MBS and other, NZ grade transition, which would happen like what developed countries use. Is it possible that we can back to those margins in 3 years?

What you are comparing is with the '21-'22, right?

Deterioration constant,

No, but '21-'22 was an abnormal year. It was an aberration when the global deltas because of the freight rates, because of the post-coVID, many plants were shut down, some plants had accidents globally. So, the deltas were very high and resulted in higher margins. But otherwise, historically also in the normal times also, the business has been in the higher 2 digits EBITDA.

And secondly, EBITDA is actually a myth in the sense, because higher the raw material prices, the EBITDA goes down in terms of percentages.

With the Mass ABS coming in, and their volumes going up, and with the second line of Mass ABS coming up, we expect that, we should from high single-digit EBITDA, cross to double digits then.

Even I was trying to reach at 13% only, not 17%, 18% of '21-'22

The next question is from Vipul Kumar Anupchand Shah from Sumangal Investments. Please go ahead.

I have joined late, so I apologize if I'm asking any repetitive questions. So, my question is regarding our new plant

in acquisition in Haryana. So which products we are going to manufacture there? And what will be the capacity there?

We plan to manufacture there polystyrene, expandable polystyrene, and downstreams of styrenics, which includes the 3D boards from EPS and sheetings of polystyrene and ABS and also XPS, extruded polystyrene insulation board. So that will be the product profile of that complex, and some other downstream may get added over a period. But then right now, that is what has been planned and announced.

The CapEx for that site is estimated at around INR 800 crore. And the pre-project activities for that site are going on. We expect to start with the downstream units sometimes in the financial year '26. And then in phases, all the other projects will come up there.

What will be the capacity of that plant, sir, in tonnage?

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Rakesh Nayyar:

Participant:

Rakesh Nayyar:

Participant:

Rakesh Nayyar:

Participant:

Rakesh Nayyar:

Moderator:

Rakesh Nayyar:

Moderator:6D)

Polystyrene would be 100,000 tonnes, EPS would be 50,000 tonnes, and the 100,000;NZ meters for XPS. And for the 3D panels, it will be, again, 1 million square meters and similarly for the sheeting business.

So once fully complete, what type of asset turns we can expect from that plant, sir?

The asset turn from that plant would be in the region of almost 2.5 to 3x. 2.5x, yes'

And with margin profile similar to our current products, sir?

No, with the downstream units being there, which are the more value-added products, the margin profile should change there then.

Change for better?

Yes, change for better

That was the last question in queue. I would now like to hand the conference back to the Management team for closing comments'

Thank you all for participating in this earnings' con call. If you have any further questions or would like to know more about the Company, please reach out to our IR managers at Valorem Advisors. Thank you.

Thank you very much. on behalf of supreme Petrochem Limited, that concludes the conference. Thank you for joining us, Ladies and gentlemen, you may now disconnect your lines.

Call: Apr 2025

SUPREME PETROCHEM LTD

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April 29, 2025 Ref: CFA/CS/86/AGM 36/2024-2025

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Script Code - 500405 National Stock Exchange of India Ltd

Exchange Plaza, Bandra Kurta Complex

Bandra East,

Mumbai-400 051

Script Code - SPLPETRO

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call, of Supreme Petrochem Ltd ('The Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015 (Listing Regulations)

Please refer our letter dated April 17, 2025, wherein we had informed you that Earnings Conference Call, with investors of the Company will be held on April 25, 2025 to discuss Q4-FY25 FY25 earnings.

Please note that the said conference call as scheduled was held at 04:00 PM (IST) on 25th April, 2025.

In this regard, pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the call with investors of the Company.

This is for your information and record

Thanking you

Yours faithfully,

For SUPREME PETROCHEM LTD

D. N. MISHRA

COMPANY SECRETARY

ISO 9001:2015

ISO 14001:2015

ISO 45001:2018

SUREAU VERITAS

Certification

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certificate No. INAMCS7249C3F258

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Supreme Petrochem Limited

Q4 FY25 Earnings Conference Call

April 25, 2025

Moderator:

Nupur Jainkunia: Ladies and gentlemen, good day and welcome to the Supreme Petrochemical Limited Q4

FY25 Earnings Conference Call hosted by Valorem Advisors. As a reminder, all participant lines

will be in the listen-only mode, and there will be an opportunity for you to ask questions after

the presentation concludes. Should you need assistance during the call, please signal an

operator by pressing "*" then "0" on your touch-tone phone. Please note that this

conference is being recorded. I now hand the conference over to Ms. Nupur Jainkunia from

Valorem Advisors. Thank you and over to you, ma'am,

Good evening, everyone, and a warm welcome to you all. My name is Nupur Jainkunia from

Valorem Advisors. We represent the Investor Relations of Supreme Petrochem Limited'

On behalf of the company, I would like to thank you all for participating in today's earnings

call for the 4th Quarter and Financial Year 2025. Before we begin, let me mention a quick

cautionary statement. Some of the statements made in today's earnings call may be forward-

looking in nature. Such forward-looking statements are subject to risks and uncertainties,

which could cause actual results to differ from those anticipated. Such statements are based

on management's belief as well as assumptions made by and information currently available

to management. Audiences are cautioned not to place any undue reliance on these forward-

looking statements in making any investment decisions. The purpose of today's earnings call

is purely to educate and bring awareness about the company's fundamental business and

financial quarter under review.

Now, let me introduce you to the management participating with us in today's earnings call,

and hand it over to them for opening remarks. We have with us Mr. Rakesh Nayyar -

Executive Director and CFO, Mr. Dilip Deole - Chief Executive of Finance and Accounts, Mr' D. N, Mishra - Company Secretary of the Company.

Without any further delay, I request Mr. Rakesh Nayyar to start with his opening remarks'

Thank you and over to you, sir.

Thank you, Nupur, Good evening, everyone. It's a pleasure to welcome you all to our earnings conference call for the 4th Quarter and Financial Year 2025. Let me give you a brief overview of the financial performance for the quarter and the Financial Year 2025. In the 4th Quarter, operating income was Rs.1

,539 crores, up 99,5% from the previous quarter, but down by Rakesh Nayyar:

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Moderator:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar: L5% on year-on-year basis, Total EBITDA was INR 163 crores, increasing over 40% on quarter-on-quarter basis, though it was down by 5.9% on year-on-year basis. Net profit after tax was Rs.107 crores.

For the financial year ending 2025, the operating income is at Rs.6,023 crores, which is an increase of 14.6% on year-on-year basis. The EBITDA stood at Rs.605 crores and the net profit after tax for the year stood at Rs.390 crores. In Financial Year '25, we recorded a 9.4% increase on year-on-year basis in manufactured product sales, driven by strong demand, In the fourth quarter alone, sales volume rose by 7% from the previous quarter, though there was a marginal decline of 0.75% year-on-year. Styrene monomer prices fluctuated within a range of 10% during the year. Styrene monomer is showing a downward trend since March 2025. The capacity utilization for the year for all products put together was 79%.

To support our growth strategy, we acquired X-mold Polymers Private Limited, a Tamil Nadu based compounding company specializing in engineering polymer compounds with a capacity of 15,000 tonnes. This facility is ideally located near Chennai's automotive corridor and Sirsi City, which is a major hub for consumer electronics. X-mold acts as a tier 2 supplier to automobile OEMs and appliance manufacturers, strengthening our footprint in these key industries.

I am pleased to share that the company has maintained a debt-free status with an investable surplus of Rs.872 crores as at the end of March 2025. This reflects our strong balance sheet and prudent financial management. The Board of Directors have recommended a final dividend of Rs.7.50 per equity share, bringing the total dividend for the year to Rs.10 per equity share of the face value of Rs.2 each. Phase 1 of the Mass ABS project is progressing well and is expected to be mechanically complete by May 2025'

With this, now I open the floor for the question-and-answer session' Thank you

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sailesh Raja from B&K Securities. Please go ahead.

Sir, we have noticed, the recurring trend since FY21, that employee cost in every March quarter constantly, it is coming down below 1% of sales. Is there any specific reason?

Sorry, I couldn't get you what you said?

No, every March quarter, starting from FY21, the employee cost as a percentage of sales is coming down. Is there a specific reason?

Okay, you are talking about employee cost?

Sailesh Raja Yes, correct.

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Rakesh Nayyar

Sailesh Raja:

Rakesh Nayyar:

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Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja: Because in the previous quarter, the December quarter, generally annual performance incentive is given to the employees or there is an ex-gratia payments or the Diwali bonus, all that comes in there, And the second quarter has generally the annual appraisals coming in and the arrears are given, So, compared to the two previous quarters of the year, the fourth quarter salaries have become normal then.

Okay, got it sir. Sir, regarding that X mold Polymers, of the 15,000 tonnes of installed capacity, what is the split between P3 lite and thermoplastic compound line?

These are all thermoplastic compounds lines only

Okay. So it's a fully thermoplastic line, sir?

Yes,

Okay, So based on this 15,000 tonnes per annum capacity, so what is the potential revenue and EBITDA we can report sir, in FY24 it was Rs.73 crores and Rs.4,4 crores of EBITDA. So what is the potential revenue?

Earlier utilization was only around 60%, as out of the 15,000 tonnes the 5,000 tonnes capacity was implemented only towards the end of the last financial year. And on a 60% utilization, meaning of the total capacity is 40

% utilization, X mold had a revenue of Rs.72 crores. So,

going by that, the total potential is closer to Rs.200 crores for this business,

Okay. Sir, at full potential what kind of EBITDA we can see there?

See, the product mix will change going forward, so I really can't give you that estimate at the moment, please.

Okay. Sir this X mold has a subsidiary, K-Polymer Private Limited, engaged entirely in trading plastic raw material. So all our transactions, current transactions with X mold inclusive of this trading operation?

No. The K Polymer is not the subsidiary of X mold, K- Polymer is also a company owned by the previous promoter of X mold, So that's a separate unit

Okay. So what is the current user industry is there, how much is automotive, how much is appliance, how much is electrical and electronic can you give us an industry mix?

This unit is currently almost 50% of this is going into the appliances and electrical electronics, and around 30% to 40% is with the automotive industry. Rakesh Nayyar:

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Sailesh Raja:

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Rakesh Nayyar

Sailesh Raja:

Rakesh Nayyar

Moderator:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan: Okay. Sir, our press release mentioned that we gain access to X mold lab facility' So what is the USP of this lab and how does it align with our goal of expanding the compound business, can you please explain, sir?

They have good equipment there. Their lab is well-equipped and since they are totally focused on the compounds, the development of new compounds in their facility would be an advantage to us, because with our ABS coming we have ambition to grow in the compound business. So then that adds to our resources.

Okay, The document that specifically states that upon deal closure, so we are obligated to pay an additional 20% of X molds increased net worth, so in this context, are we still permitted to expand capacity within X mold during the interim period or ultimately, we can consider setting up thermoplastic compound lines within the existing business?

There is no restriction on our operating any business in that company'

Okay. Do we have enough space, sir for expanding capacity in X mold in Chennai?

There is enough capacity, but then going forward, when we have to grow further there, we will require more areas there. The land is available in that belt.

Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Sir, my first question is on to the volume side. Sir, for FY26, we are assuming a volume growth of 15-16%. If you can sir, break this down, how much the growth would be from the base business and what volumes we are assuming for the ABS business?

who gave you an estimate of 15-16%, Aditya?

I saw it in the interview

I never mentioned 15-16%, I think I mentioned around 13%. I also mentioned there that it will come from our new capacity which is coming up of ABS as well as from the growth of our current businesses,

Okay. And sir this ABS capacity, we would be starting to ramp up from H2' So, I believe what would be the break-even level, like for an ABS business when a capacity goes beyond 40%, 45%, the break-even happens at that moment, or it would be much earlier?

It's very difficult for me to answer at this stage. What is given to us by our technical collaborators, and what actually happens, really there could be a difference, it could be Rakesh Nayyar:
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Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan:

Management:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar: better than what they have given. Your assuming breakeven at 50% capacity basis is possible on EBITDA basis,

Okay, Sir, on to the polystyrene spreads. Sir, we have noticed like last two years, the trend has been quite into a narrow range only, somewhere around Rs.20, Rs.25 per kilo, Sir, we have also reported nearly that our numbers. Sir, with ABS line coming in, do you see like, this gr

oss spreads and EBITDA spread per tonne, like to move up from current level, 50 what numbers are we assuming for the next two years?

I won't be able to guide you with that right now. I won't be able to help you with that number.

Okay, sir. Sir, my next question is on to the EPS, I believe, sir, you had mentioned earlier that polystyrene and EPS generally commands a similar spread. So, like now into the Haryana unit where we are planning to install EPS downstream, how much incremental EBITDA like or incremental you can say per kilo or per tonne spread we would be enjoying from this business, from the Haryana plant? Any sort of an EBITDA number if you can share?

Yes, as far EPS is concerned, we shall also have EPS downstream unit, which is the 3D board there. That is what we have talked about is setting up 3D board there. And 3D boards are 1,00,000 square meters. That should give us a revenue of Rs.100 crores or so and the EBITDA margins would be in line with our current extruded insulation board or maybe marginally less than that. We expect that it should be 35% or so.

Okay. Sir my last is onto the Styrene, sir we have seen like US has imposed a duty on China, now Styrene supplies from China to US would be limited instead they could India, so this would benefit Supreme in any way?

China was never sending Styrene to USA. China is consuming Styrene in-house' So that does not alter the trade flow for us.

Okay. So no benefit on to tariffs or any sort of things on to the Styrene trade?

On this Styrene trade, yes

Okay. Sir, one last question sir, what would be the trading revenue figure for this quarter and for FY25?

23% on an annual basis is our trading revenue

Thank you. The next question is from the line of Manish Oswal from Nirmal Bang Securities Private Limited. Please go ahead. Moderator:

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Manish Oswal

Rakesh Nayyar:

Manish Oswal

Rakesh Nayyar:

Manish Oswal:

Rakesh Nayyar:

Moderator:

Nirav Gemoda

Rakesh Nayyar:

Nirav Gemoda: Pardon me if I am asking the repetitive question, I joined the call slightly late. So, sir if I look at our volume visibility, so we have one is the ABS project which is going to start in F26 along with the acquired entity of engineer polymer compound business, That will also give some volume visibility and plus we have currently 79% capacity utilization. So, these three things put together, what is the volume visibility we see for F25 given the demand condition?

We expect to grow around 13% in volumes this year

And given the mix in changing due to the new business, any outlook on margin, sir?

It's the first year, so I would not comment on the margins at this stage'

Okay, And, sir, next phase of capacity expansion of ABS, when we can see?

The work is on that, but then still it's maybe another 78 to 24 months down the line

Thank you. The next question is from the line of Nirav Gemoda from Envil Wealth Management. Please go ahead,

I have few questions, Sir, first is on one of our slides in the investor presentation' We have spoken about the recyclability of EPS. So, if you can share your thoughts here and how it can help our EPS business?

Our initiative in the EPS recycling is born out of the fact that generally there was a negative perception about EPS because thermocol blocks after post-consumer use, were all thrown around on the roads. People did not know how to dispose it off, So, we took initiative, engaged some NGOs, involved ICPE into it, hired our own team, essentially to encourage the collection of the waste. We joined hands with the OEMs. We joined hands with the appliance marketing retail chain shops. So, with that, now you do not see EPS waste lying on the streets because it is all getting collected and it gets recycled, So, one it is sustainable, it proves that the EPS can be recycled. Two, it does not carry a bad name, Three, the recycled EPS is being used by the industries like the photo frame industry or the wall panels' They use the recycled material, either imported or scrap. Now, th

ey are using this material, So, that

helps the EPS market to sustain in the business and to grow.

perfect, Sir, any plans here to expand the capacity of EPS that our existing plant, like Karnal plant has time to come up. So, I presume that possibly our capacity utilization there would be higher than the 79% on a company basis. So, any plans to expand the capacity of EPS here or to introduce some value-added grades for the export market?

Our second phase of expansion of EPS is as per schedule and it will be on stream by the end of this first quarter of 26 or in the second quarter. But then, as far as the local demand is concerned, because there are some players up North have also expanded we don't see any

Rakesh Nayyar:
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Nirav Gemoda

Rakesh Nayyar

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Rakesh Nayyar:

Moderator:appreciable increase in the volumes in the coming year because of everyone having increased their capacity. But then, we have worked on our grades with the overseas buyers. Our grades have been approved in the GCC countries and in Europe, So, we hope to increase our exports of EPS this year.

Correct. Correct me if I am wrong, sir, This incremental capacity would be close to around 23,000-24,000 tonnes which is going to get commissioned by the end of this quarter?

Yes, around what you said.

Okay. The second question is on the value-added polystyrene in last one of the conference calls you have explained us that, it commands some sort of premium pricing because of the application based products we have developed on, So, how much now this value added grade within PS would be forming the part of our polystyrene volumes?

It sits around 40%

Okay. And the ratio was similar last year or?

Yes. Generally the value added grades are for the OEM market, or the high-end non-OEM market. In this quarter for polystyrene segment this is a peak season for the OEM.

Sir, you were explaining something about the value-added grades getting sold to the OE players, so if you can just continue over that,

I said that the generally the value-added grades get sold to the OEMs. And since the demand from OEs is very good in the last quarter of the financial year, so in that particular quarter, the pSvalue-added sale is more, Butthen on an annual basis, it is around the same 40%to 42%.

Got it. Sir last question from my side, like in terms of our manufacturing sales for FY25, if you can just break it down between polystyrene EPS compounds and XP\$, percentage numbers would also do.

Of the manufactured products, two-third comes from polystyrene, one-fourth comes from EPS, and the remaining 10% comes in from the compounds and XPS business'

Thank you. The next question is from the line of Gargi Singh from Value Investments. Please go ahead.

Sir, my first question was with respect to the Haryana plant, where we are setting up the capacity for PS sheeting, which in previous calls you have mentioned the capacity to be 1Gargi Singh:

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Rakesh Nayyar:

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Rakesh Nayyar:

Gargi Singh: million square meters, with a revenue potential of 150 crores. So, I wanted to understand the EBITDA potential of PS sheeting at full utilization and also 3D panels?

They both would be in, the EBITDA potential of around 25%.

Okay sir, Sir, next question is that, for PS sheeting for 1 million square meters of capacity, is it a correct understanding that we will require 5,000 metric ton of PS?

Difficult to say at the moment because it will all depend upon the product mix there then.

The various things, the thicknesses and all that will matter, so it is difficult to predict at the moment, exact volumes of the polystyrene'

Am I going right, if we just take on a blended basis, is it near to the correct number?

I will have to actually check with my technical team then, whether this is t

he right number or

not, So, I won't comment on that, please.

Okay. Sir, next question is that you mentioned the 13% volume growth. So, that gives an additional 45,000 tonnes of sales on FY25 SALES. So, of this, how much of ABS sales are you expecting to sell this year?

Around 50% of this would be ABS, or maybe 60% of this could be ABS.

So, if we take 60% of this to be ABS, then

See, the ABS will not be ABS, there will be ABS compounds made from this ABS, so it will be all blended. So, just saying that it will be ABS will not be correct,

Okay, sir. So, if we take 20,000 tonnes of sales from ABS, so from the existing capacity, and the existing products, that gives us around 4% to 5% of volume growth, which is lower compared to the?

The 45,000 if you take 20,000 and it is 25,000 there, that will make it something around 7% to 8% for you.

3,55,000 sales, sir. And sir last question is that, in the March quarter the inventory has gone up by Rs.220 crores. And you have mentioned in the opening remarks that the Styrene monomer prices are also coming down since March. So, do we expect inventory loss due to fall in these prices in the subsequent quarter?

Some of that is getting used this month only, These are the inventories which have arrived'

So, they have already getting used. I don't foresee any major impact of these price falls at this stage on these very inventories. Rakesh Nayyar:

Gargi Singh

Rakesh Nayyar

Moderator:

Yash Manthala:

Rakesh Nayyar:

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Yash Manthala: a\,t

And sir any analysis or your understanding on how the pricing trend should pair out for the remaining quarter?

We don't foresee any further fall because all depends upon the crude as well benzene, ethylene, all the products which are raw materials for the styrene, So, if the crude stabilizes or the benzene prices stabilizes then there should not be any impact.

Thank you. The next question is from the line of Yash Manthala from Equita Investments

Please go ahead,

I have a few questions, Based on the tariff situation, is there a possibility of dumping of products in our product line from our competitors outside India?

It all depends upon the trade flows, If the trade flows were moving towards the U'S' from China, possibility but then our polystyrene was not getting exported to U'S.A. so I don't foresee that happening. But then other countries where the duties are high or the reciprocal tariffs which are proposed from July, if they are high, and then they are not able to export there, they will certainly look at India. But we are prepared for that, These players are always there, we are in a global market, So we will have to compete with that'

So based on your understanding, how much of China's products are exported to U.S. in our category?

In our category, China does not export any volumes to U.S.A, as far as our understanding goes because they consume all of this within China and they export actually the processed products.

Okay. So the processed products as in derivatives of polystyrene?

Yes, derivatives of polystyrene

Understood. So on a different track, can you give us any visibility on the freight prices which we experienced in the last quarter because we primarily import our raw material?

Sorry, I couldn't get you. Can you repeat that?

Could you give us any sight on the freight prices which we experienced in the last quarter compared to the preceding quarter?

No, the freight prices have become normal now. They are almost closer to the pre-COVID levels now. Rakesh Nayyar:

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Yash Manthala:

Rakesh Nayyar:

Yash Manthala:

Rakesh Nayyar:

Yash Manthala:

Rakesh Nayyar:

Moderator:

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Rakesh Nayyar:

Dhruv Murcha

Rakesh Nayyar:

Dhruv Murcha\,t

Okay. Freight prices are back to pre-COVID. On the investment front, we have based on the current statement, we have around Rs.430 odd crores in investment. How is it spread across mutual funds and corporate debt or

government debt?

No, we don't have corporate debt. It's only in the mutual funds or into the sovereign bonds'

So how much of the Rs.430 crores is in mutual funds?

Majority of that.

And are these mutual funds equity linked?

No, they are all debt linked

Thank you. The next question is from the line of Dhruv Muchhal from HDFC AMC. Please go a head.

Sir, if I look at the overall annual volume over the last, two, three years or even four years, overall we have done very, in context of the overall macro and everything, volumes have been reasonably strong. And if you look at particularly this year, it seems autos have not done as well, but still our volumes are very reasonably healthy. So what's helping, from a macro perspective what's helping us, is it probably export market, import replacement is it some new segment which has emerged and is taking up a lot of volumes?

The appliances have grown in the country. And particularly the PLI incentives going to the air conditioners market, that has also helped the demand for polystyrene. And similarly, the other appliances, the refrigerators or washing machines, they have also grown. And India is also kind of becoming an export hub for all the appliances. So that demand is growing there'

Alright. So, drilling down to that level, what was your customer mix in terms of end-use segment, three years back, the autos would be some share, these appliances would be some share and what would it be now?

No, we were not in the auto segment. We have been always in the appliances segment. And now, with our X-mold which we have acquired now, we will now be entering the auto segment. We have been into the appliances OEMs'

Okay. So always we were into appliances OEMs. And that segment has grown reasonably well, so we are not impacted by whatever happened, at least in the past we are not impacted.

We are not impacted by the auto sector Rakesh Nayyar:

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Dhruv Murcha

Rakesh Nayyar:

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Rakesh Nayyar:

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Rakesh Nayyar:

Moderator:

Aditya Khetan:

Rakesh Nayyar

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Rakesh Nayyar:

Aditya Khetan:a\,t

okay, perfect, And, sir last question is on the CAPEX for FY26, sir, What is expected for FY26?

FY26, we expect to spend only around Rs.200 odd crores'

So this completes the ABS CAPEX?

No, that isn't, ABS phase one gets completed. That already, almost all the expenditure has been incurred on that for the phase one. So this Rs.200 includes part of the ABS second line and the EPS as well as the compounding business, There will be major expense on the compounding business.

Okay. So this is cash CAPEX that you are guiding for Rs.200 crores cash CAPEX?

Yes.

Thank you. The next follow-up question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead'

Sir, my question was on to the export market. Sir, any number you can share, like for FY25 how much was exports in terms of volumes and in terms of percentage of total revenue?

Aditya, I am sorry, we are not bifurcating our export or domestic revenue. I won't be able to help you there.

Okay, sir. On to the CAPEX side, sir you mentioned Rs.200 crore. So, sir I believe total ABS was around Rs.850 crore. So how much was phase one on that?

This one this including the cost for the infrastructure and utilities for phase two also, including the main utilities, costs, everything, that will be closer to Rs'500 crores for us.

okay, And sir, into this Rs.200 crores which we are doing, how much would be the compounding CAPEX?

Around 50%

50% compounding. Okay, sir my next question is, this acquisition of Xmold Polymers we had done, we were already having a compounding line. So, is it addition of some newer grids from Xmold Polymers or is it more of a continuation of the same grids only?

No, we are into the automobile sector also. They have been doing the automobile compounds. So, this will be new area for us'Rakesh Nayyar:

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Aditya Khetan:

Rakesh Nayyar:

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Rakesh Nayyar:

Moderator:

Nirav Gemoda:(D

Okay. Sir, if you could help me, what would be the total capacity of compounding business post-expansion of FY26, including the Xmold Polymers?

We should be closer to 70,000 tonnes.

Okay. Any rough idea, like what would be the peak revenue potential on this 70,000 tonnes? 70,000 tonnes, will be a peak revenue of Rs'1,000 crores

Thank you. The next question is from the line of Dhawal from Sequent Investments' Please go a head.

Sir, I wanted to know, in the current quarter what would be the expenses towards the new plant which we have expensed in the P&L?

I couldn't get you, sorry

Sir, the plant, it seems mechanically it is complete in this quarter. Is there any expense that is

expensed in the P&L?

No, it is still not, as of 31st of March it was not complete, we have said that it will be complete by May only.

Okay.

And till the plant is not commissioned, no expense is going to be expensed out.

Thank you. The next question is from the line of Nirav Gemoda from Envil Wealth Management. Please go ahead.

Sir, when we see our compounding business, over the years we have been operating in a very narrow band in terms of the overall volumes. We already have PS as our base material, and now ABS also coming up. How do we see the opportunity size in terms of our size of the opportunity or the addressable market for the compounding, and what extra needs to be done from our side, like in terms of customer approvals or building up the distribution network or getting closer to the customers in terms of their own requirements how do we see, because in earlier remarks you mentioned that this business has the potential to touch around 1,000 crores of top line, so how near, or how much time this would be taken in terms of achieving those numbers, and if you can share those qualitative parameters in achieving this, that would be helpful,

See, there is a work in progress on all fronts which you have mentioned, And as and when our capacity gets built in the years going forward, with our ABS available to us, and now with the Rakesh Nayyar:

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Nirav Gemoda:

Rakesh Nayyar:

Nirav Gemoda:

Rakesh Nayyar:

Nirav Gemoda:

Rakesh Nayyar:

Moderator:

Pritesh Cheda:

Rakesh Nayyar

Pritesh Cheda expertise and experience and client base of Xmold in our fold, we will be growing on that. So we already have some experience on the PS, PP, PE compounds. Xmold has also experience on the PP and ABS compounds, And with our own ABS now, and with our own PS, we will be growing. We have a decent customer base. Applications are known to us and we will be working on that. So, we have a dealer distribution network, we have relationship with our clients, so only thing is that we have to go and target some more new clients which is a work in progress for us.

Correct, and sir In terms of the major compounds which are being used by the auto OEs, if you can rank in terms of the application wise like it is more of PS based or it is more of ABS based or it's a combination of ABS PC or ABS PP so, in terms of ranking which of the.

Yes, PP and ABS

They are all PP based or ABS, okay. And the other polymers are being mixed into it to give better applications.

I am not the right person to comment on that,

Okay. Sir last bit is, on one of the presentation slides you have mentioned that like, now bathroom fitting, scooters are the newer application areas for ABS, so how do you see this volumes over a period of time building up in the overall ABS market in India like currently we are close to around 3,20,000 tonnes of ABS market in India. So how do you see this newer applications growing up the entire market?

This is now started, we are already doing compounds for some of the bathroom fittings also' And the business, the construction business grows and particularly the affordable housing segment where people will not like to go for the premium branded fittings' So these

fittings

demand will be linked to the new construction coming up for affordable housing or the middle-income group housing.

Thank you, The next question is from the line of Pritesh Cheda from Lucky Investments. Please go ahead.

Sir, on this ABS capacity of 70,000 tonnes, so what is the status of this capacity in terms of when it should start contributing to your revenues?

Second quarter of this financial year FY26.

Okay. And I see a 680 crore CWIP in the balance sheet. So this ABS 70,000 tonne capacity, what should be the total CAPEX that you will incur?

Approximately around Rs.600 crores. Rakesh Nayyar:

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Pritesh Cheda

Rakesh Nayyar:

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Pritesh Cheda:

Rakesh Nayyar:

Pritesh Chedal

Rakesh Nayyar:

Moderator:

Sarah:z\'

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And you have called out a total CAPEX of Rs.1,000, right. So there is some additional Rs'400 to be spent anywhere else?

Rs.1,000 on what?

I have heard wrong. okay, can you give out the GAPEX number, sir, total GAPEX number?

We have only the second line of ABS number, which is still to be spent, which should be closer to Rs.250 to Rs.300 crores.

So is it that the second line means over and above this 70,000 tonnes?

Yes, that's right,

Okay. So the first 70,000 tonnes comes at Rs.600 crores, correct?

Yes.

And then the additionalsecond line means additional 70,000 tonnes comes at Rs,250 crores?

Rs.250 to Rs.300 crores, All the infrastructure, all the civil, the utilities, the tank farms, everything has already been built,

Okay. And when should the second line be planned for?

We hope to be commissioning it in the next two years or so'

Okay. And the last thing is, this particular product line, will it, is it similar to what is already available with a couple of other players in the market?

It is ABS really, it's only that the process, the route to produce ABS is different. At the end of the day, it is AB5.

Thank you. The next question is from the line of Sarah from UVR Natural Foods Private Limited. Please go ahead.

Sir my first question is, what is the breakup of user industries in PS, EPS for us and also, what is the potential user industry breakup of ABS?

Generally, all these industries have a similar client base, which is close to 50% is the OEMs, and the remaining non-OEM segment is 50%. So, when I say OEM, they are all appliances, where polystyrene is used. And the ABS will come, its usage is in appliances, as well as automobile segment. And the non-OEMs have various uses, including starting from daily

Rakesh Nayyar:

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house hold to packaging, to the sheeting business, stationary, pens, household items, So the business is divided almost 50:50 between the OEMs and non-OEMs.

Sarah: Okay, got it sir. Sir last year, the power cost was Rs.50 crores, and logistics cost was Rs'110 crores, Can you please give us the figures for these two costs for FY25?

Rakesh Nayyar: Last year, you said power was?

Sarah: Rs,50 crores

Rakesh Nayyar: This year, it should be marginally lower because, we have used our solar power from October onwards, but with the costs going up, as well as the capacity utilization going up, but the overall power cost would be similar to last year, or it would be marginally lower than the last year,

Sarah: How much marginally lower, sir can we expect?

Rakesh Nayyar: Maybe2%to3%

Sarah Okay, sir. So who are the other major players in North India that have expanded the capacity in EPS?

Rakesh Nayyar: There is a company called Styric and there is this new company which has come up in Gujarat, EPACK.

Sarahr Okay, So, like in the previous question, I didn't get the figures for logistics cost. Like, last year, it was Rs,110 crores, this year, how much can we expect, how much is it?

Rakesh Nayyar: Logistics cost for what area?

Sarah: The freight outwards.

Rakesh Nayyar: Rs.110 crores, which is logistics cost for.

Sarah Freight outwards, sir

Rakesh Nayyar: Outw

ards?

Sarah: Yes, sir

Rakesh Nayyar: It was Rs.100 crores last year?

Sarah: Rs,110 crores.

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Rakesh Nayyar:

Moderator:

Rakesh Nayyar:

Moderator:Yes, this will be around Rs.125 crores this year.

Thank you, Ladies and gentlemen, that was the last question for today' I now hand the conference over to the management from Supreme Petrochemical Limited for closing comments, -

Thank you all for participating in this earnings concall. If you have any further questions or would like to know more about the company, please reach out to our Investor Relations managers at Valorem Advisors' Thank you so much'

Thank you, On behalf of Supreme Petrochemical Limited, that concludes this conference

Thank you forjoining us, and you may now disconnect your lines.

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Call: Jul 2025

SUPREME PETROCHEM LTD

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July 29, 2025 Ref: CFA/CS/86/AGM 36/2025-2026

BSE Limited

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Script Code - 500405 National stock Exchange of India Ltd

Exchange Plaza, Bandra Kurta Complex

Bandra East,

Mumbai - 400 051

Scrip Code - SPLPETRO

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call of Supreme Petrochem Ltd ('The Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations &
Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

Please refer our letter dated July 18, 2025 wherein we had informed you that Earnings

Conference Call with investors of the Company will be held on Friday, July 25, 2025 to discuss
Q1-FY26 earnings.

Please note that the said conference call as scheduled was held at 04:00 PM (IST) on July 25,
2025. In this regard, pursuant to Regulation 30 of Listing Regulations, please find attached
Transcript of the call with investors of the Company.

This is for your information and record.

Thanking you

Yours faithfully,

For SUPREME PETROCHEM LTD

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COMPANY SECRETARY

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CUSTOMS ISO 9001:2015

ISO 14001:2015

ISO 45001:2018

BUREAU VERITAS

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Supreme Petrochem Limited

Q1 FY 2026 Earnings Conference Call

July 25, 2025

Moderator:

Nupur Jainkunia Ladies and gentlemen, good day, and welcome to the Supreme Petrochem Limited Q1 FY '26
Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during the conference call, please signal an operator by pressing
your touchtone phone. Please note that this conference is being recorded'

I now hand the conference over to Ms. Nupur Jainkunia from Valorem Advisors. Thank you,
and over to you, ma'am.

Thank you. Good evening, everyone, and a warm welcome to you all. My name is Nupur
Jainkunia from Valorem Advisors.

We represent the Investor Relations of Supreme Petrochem Limited. On behalf of the
Company, I would like to thank you all for participating in the Company's earnings call for the
1st Quarter of the Financial Year 2026.

Before we begin, a quick cautionary statement:

Some of the statements made in today's Conference Call may be forward-looking in nature.

Such forward-looking statements are subject to risks and uncertainties, which could cause
actual results to differ from those anticipated. These statements are based on management's
beliefs, assumptions made by an information currently available to management. Participants
are cautioned not to place any undue reliance on these forward-looking statements when

making any investment decision. The purpose of today's Earnings Conference Call is purely to educate and bring awareness about the Company's fundamental business and the financial quarter under review.

Now I would like to introduce you to the Management participating with us in today's Earnings Call and hand it over to them for their opening remarks. We have with us Mr. Rakesh Nayyar- Executive Director and CFO, Mr. Dilip Deole - Chief Executive of Finance and Accounts, and Mr. D. N. Mishra - Company Secretary.

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Rakesh Nayyar:

Moderator:

Without any further delay, I request Mr. Rakesh Nayyar, sir, to start with his opening remarks.

Thank you, and over to you, sir,

Thank you, Nupur. Good evening, everybody. It is a pleasure to welcome you to the earnings conference call for the 1st Quarter of the Financial Year 2026.

Let me brief you on the financial performance of the quarter, followed by some of the key operational highlights

lights:

On a standalone basis, the operating income for the 1st Quarter was approximately Rs. 1,386 crores, which declined by 12% on year-on-year mainly on account of lower SM prices. SM prices in the relevant period for the last year were around \$1,150 for the quarter, whereas this year it was around \$1,000.

The operating EBITDA was reportedly at approximately Rs. 115 crores, which is down by 29% year-on-year. The EBITDA margin stood at 9.36% for this quarter. The net profit after tax was around Rs. 81 crores for the 1st Quarter.

On the operational front, the Company's sales volume of manufactured products in the 1st Quarter of FY '26 increased by 0.5% only on a year-on-year basis to 93,853 MT.

Unseasonal rains and a milder summer led to subdued domestic demand for cooling appliances such as air conditioners and refrigerators. Additionally, styrene monomer prices were lower in Q1 FY '26 compared to the same quarter in the previous year, which impacted revenue despite a marginal increase in the volume of manufactured products sold.

On the CAPEX project, pre-commissioning activities for the first phase of the ABS project are ongoing with support from our technical collaborators, M/S Versalis, we expect commercial operations now to commence in this current quarter.

During the quarter, our acquisition of Xmol Polymers was completed. The integration of Xmol operations and processes with SPL's business is currently underway.

The Company continues to remain debt free with an investable surplus of over Rs. 700 crores as at the June 2025.

Now with this, we open the floor for question-and-answer sessions. Thank you.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Khetan from SMIFS International Equities.

Sir, just a couple of questions. Sir, first on to this quarter. Sir, generally Q1 seems to be a muted quarter only when we look at the history of the last, so two to three years. And in this Aditya Khetan:

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Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan: quarter, because of declining styrene prices, the numbers have been quite lower. So, how do you see this performance is to improve in the subsequent quarters because this is a quarterly phenomenon? And how things will pan out for the rest of the year?

Quarter 1 is actually not really a muted quarter, it is always a better quarter. But this year, there were two reasons for the quarterly performance to be not in line with the previous year's quarter. One, the styrene prices, which were kind of stable, as I said in the last interaction, till mid-March or so, and thereafter, the styrene prices dropped. And by end of April, again, they became stable. April end onwards, the prices are stable. But the fall happened within the six weeks or so. This impacted the margins of the Company in the 1st Quarter.

And also, the OEM sales were lower because of the unseasonal rains which impacted their lifting for the cooling devices, like ACs and refrigerators. Their sales were down and in turn our lifting was down, and the margins were under pressure. So, these two were the major reasons affecting the performance in this quarter.

Got it. Sir, on to the styrene prices. Sir, this much drop in prices like, drop of roughly 15%, 20%. This is largely because of higher capacities built up in China, and now they have started to import or the demand at the ground, so that is itself also faltering. What is the reason for

this?

No. See, the Chinese capacity has been there for some time now, but then the prices are a factor of many things from crude onwards to the delta between the naphtha and benzene, benzene to SM. I would therefore not really comment on the styrene prices why they went down globally. But then the fact is that they are stable since April end. They were stable for the last full year, but in the six weeks, they fell down. And that impacted us, our performance in this quarter.

Got

it, Sir, in this quarter, sir, have we consolidated the X-mold Polymer numbers also in this quarter?

There is a consolidated results also, but what numbers I have given you, they were for the standalone results.

Okay. Got it. Sir, on to the ABS part. Sir, for this fiscal FY '26, sir, what volumes we are building in that we could achieve? And what numbers on top-line? And for FY'27 also, what could be the number we can achieve?

This will be our first year and maybe six months of operations. First few months will certainly go in the testing, trial, acceptance of the product by the processors and the molders. So, we expect that of the six months period maybe we will be operating at 50% to 60% and then we Rakesh Nayyar
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Aditya Khetani

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

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Rakesh Nayyar:

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Rakesh Nayyar

Aditya Khetan will start ramping up. But the in next year, that is FY '27, we expect that we should be 80% plus.

Got it. And sir, just a clarification from both the phases. From Phase I and Phase 2, combined top-line would be around Rs.2,000 crores as we had mentioned earlier?

Yes. On a 100% capacity utilization, it will be Rs' 2,000 crores'

Got it, so, sir, on this Phase 1, 50%, 60%, Rs.400 crores to Rs, 500 crores should be the top-line figure?

I have not calculated that, so I will not comment on that, Aditya

Got it. sir, just one last question. sir, on to the global to demand supply dynamics, you see there is a cycle standing, like, are we standing in the mid, and what are the chances, like, this could improve or this could be maintained, like, for the next couple of quarters? Any senses on this part?

See, the issue is only how the trade flows change and how the American agreement shape up with the rest of the world. And if the American agreements or disagreements with some nations, then what will those nations do? And whether they are the exporting nations or not exporting nations, so it will all depend upon that. If like, say, for China, China is exporting processed goods, they do not export much polymers. And if their goods do not go there, so the people who are exporting to China some of the polymers, they may not find demand in China. They may have to sell it to the other regions in the world' So, we do not know which way trade flows will move and it will all depend upon the trade flows, the way they move ahead in the future now.

Got it, sir. sir, any outlook on the exports market, like, sir, in this fiscal FY'25, we were at somewhere around 9%. And sir, earlier we had mentioned that we are looking to increase the exports market. But for the last two years, in terms of the percentage, it has been stagnated. Absolute value has gone up, sir. What is the outlook like, sir, we are seeing for the next 2 years in exports market?

In the current financial year, that is FY'26, we hope to go up to 13% to 14% of our revenue from exports.

13% to 14%, okay, got it. Thank you, sir. That's it from my end

Thank you. The next question is from the line of Pritesh from Lucky Investments' Please go ahead. Moderator:

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Pritesh Chheda:

Rakesh Nayyar:

Pritesh Chheda:

Rakesh Nayyar:

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Rakesh Nayyar:

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Rakesh Nayyar:

Pritesh Chheda:

Sir, I wanted to check because of styrene drop in price and usually, styrene is stored considering the consignment size that styrene has. What kind of M-to-M inventory loss should have flowed the P&L?

Very difficult to define any absolute numbers of the inventory loss because the orders are placed, have consignments on high seas, consignments in our stocks here' It's a continuous flow of materials. I would not put any definite number on the inventory loss.

But it's fair to assume that the swing in per ton profitability or the swing in EBITDA for the price y-o-y prices realization means still higher. The whole swing is to do with the styrene M-to-M?

Sorry, I could not get you. Can you re

peat your question?

I am saying the swing that we see in your profitability is largely to do with the M-to-M of styrene?

No, it's not only styrene. As I said, the offtake in the season by the OEMs was also down' And with that, the margins were under pressure also because the lifting by them was low due to undue seasonal rains, their AC lifting was not there. And so in turn, our sales was down, So, all that is a combination of factors. It's just not the styrene prices alone'

This you are referring to on a Y-o-Y or on a Q-o-Q basis, all this assessment of yours?

I am talking about Y-o-Y

So, then the realization on a Y-o-Y basis is higher, right, for the 5% drop in volumes that you have, your realization is about 150 versus 144. So, then I could not comprehend the assessment that you are giving'

What is the number of styrene you have?

From your presentation, your sales is 1,84,000. okay. Now I got it. I have done one error

Okay. Understood, sir,

Okay.

I understood this thing. Thank you

Thank you. The next question is from the line of Sailesh Raja from B&K Securities' Please go ahead. Moderator:

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Sailesh Raja

Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar:

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Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar: Sir, in one of our recent LinkedIn post we highlighted that the development of new EPS grade, that is 300HD, specifically targeted at helmet manufacturing, So, with the government mandating two helmets per two-wheeler sold, so could you please elaborate on the opportunity size this present? Have we already started supplying EPS to helmet manufacturers or this is a new business opportunity for us?

No, we have already started. There was a grade development done. But prior to that also, we were marketing and selling our stuff to the helmet manufacturers. Only thing is that with some further improvements and some special strength has been provided in this grade, and that makes it better for the helmets. And so far, we are the only ones who are supplying to the helmet manufacturers in India,

Okay, So, what is the volumes that we sold, sir, last year?

I would not have that number separately, please

Okay. But we have 100% share?

I mean, as of today, yes,

Okay. Sir, as mentioned in the annual report and also --

100% share of the organized sector. For unorganized sector, I am not aware of that, Sailesh.

Okay, As mentioned in the annual report with China achieving self-sufficiency in PS, so Asian exporters are increasingly focusing on India potentially creating pricing pressure' Sir, out of the total polystyrene market size of around 3.5 lakh tons, so what proportion is currently

made through imports? And you mentioned in recent interview that we have increased our polystyrene exports. Is this due to soft domestic volume and pricing since exports generally have lower profitability, as you mentioned. I wanted to know why -

There are two reasons. One, we have always been exporting' We have been exporting not only to the local SAARC countries, but Gulf also and Africa also, Europe also. And not today, we have been exporting for last almost now 28129 years. And now we have additional capacity after the implementation of our expansions. We had slowed down on exports, but now we will be increasing our exports also. That is what we had mentioned'

And as far as the imports into India is concerned, India's total market size versus imports about j.8% to 20% of the domestic market is met by imports. Almost L8%. Out of the last year's market of I think, 330,000 tons, 340,000 tons, 60,000 tons was the imports'

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Sailesh Raja:

Rakesh Nayyar:

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Rakesh Nayyar:

Sailesh Raja

Rakesh Nayyar

Sailesh RajaOkay. Sir, additionally, polystyrene operation already running at 90% utilization and with Haryana expansion still two, three years away. So,

what is the road map for growth in polystyrene product?

Sorry, I could not get you.

Our polystyrene operation already it is operating at 90% utilization, right, sir?

No. We are operating at almost 8L%, B2%.

Okay. And Haryana expansion is still two, three years away, right, sir?

Yes, it is away. It is still sometimes away

Okay. Sir, any plans to expand polystyrene capacity in the existing facilities?

Yes. If required, we can increase capacity here. We can do some debottlenecking there. But once we are through with our ABS, then we will consider, if required.

Okay. Sir, regarding our ABS product, so what is the structure of the technical collaboration with the Versalis? Is the technology fee a onetime arrangement or is an ongoing annual payment?

No, it's a onetime fee.

Okay. How much it is, sir?

I am sorry, I would not be able to tell you that, sir

Okay. Sir, one last question. Sir, one of our peers, EPACK, is significantly adding capacity. So, existing line, they have a capacity of around 40,000 tons, and they are adding another 72,000 tons. So, in this context -

Sorry, which?

EPACK

They are adding line for?

EpS. So, in this context, how we are preparing ourselves to derisk from potential volume and pricing pressure?

when you say they have almost 40,000 tons or 48,000 tons, we have not seen any such quantity in the market. Okay may be I am not aware.. But then we are selling our quantities.Rakesh Nayyar

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Sailesh Raja

Rakesh Nayyar:

Sailesh Raja:

Moderator:

Aditya Khetani

Rakesh Nayyar:

Aditya Khetani

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan: Okay. So, we are not seeing any volume or pricing pressure?

No, we are not seeing any threat so far to our volumes. We will maintain our volumes.

Okay, thank you sir

Thank you. The next question is from the line of Aditya Khetan from SMIFS Equities' Please go ahead.

Thank you, sir, for the follow-up, Sir, post this ABS' plant, our focus now shifts to the Phase 2 of ABS or we are focusing on to developing the Haryana plant now?

We will be the focus will be both the projects. The ABS here will be easy to implement' But then as far as Haryana is concerned, that focus also remains there for the North market.

Got it. Sir, on to polystyrene. So, generally, we know it is \$150 to \$200 per ton on the spreads part. So, similar, sir, how much would be ABS?

ABS? We will tell you in the next meeting'

okay, sir no worries. sir, when we talk on to the newer products, apart from ABS, so the newer products we would be developing into the Haryana plant only, Whatever the downstream, we would be making in Haryana?

Yes, they will be in Haryana, apart from ABS compounds business

Got it. Sir, on to the Phase 2 ABS, earlier, sir, like in the last call you had mentioned that, that would be delayed by the one year. So, it would start technically by FY'28' Any plans, sir, so we can start the plant earlier because we have developed phase 1. So, we would be having the know-how.

We shall make efforts, but as of now it will be in FY'28 only

It will be in FY'28. Okay. And sir, just on to the numbers. So, technically, so in this year, FY '26, ABS would not be contributing to EBITDA. It would be so making loss at the EBITDA. So, how you see numbers like from the existing businesses we are expecting growth? And from the ABS EBITDA, how things would look at the number on EBITDA and on to the profitability side, sir?

As far as ABS is concerned, I would rule out that we will incur 0 EBITDA' I am confident we will certainly make some money out of it. Though it will be our first six months of operations and at the lower capacity, new product acceptability issues, all those will come, testing/trials. But then I am still confident that we will be earning some contribution from that business. Rakesh Nayyar:

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Aditya Khetan

Rakesh Nayyar:

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Rakesh Nayyar

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Rakesh Nayyar:

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Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar: Got it. An

d sir, for the Phase 1 ABS, we could have incurred around Rs' 600 crores in CAPEX?

Yes, that could be the number, closer to that

Got it. So, sir, nothing new is lined up for FY'26 in terms of CAPEX as of now?

The ongoing expenses would be there. Some money for is Panipat, some money is for our existing complex. So, they will continue. We already said we will be spending around Rs. 200 crores, Rs. 250 crores this year,

Got it. Sir, one last question. Sir, when we look at China, so they have developed the styrene monomer and the polystyrene capacities have also gone up considerably. So, comparing it with India, like comparing it with Supreme and other players in terms of cost structure, how you see like we can compete with them? And if suppose they offload at lower prices in the global market, how competitive we could be? And could we maintain our market share in the near-term?

The Chinese costs unless they are an integrated plant would not be lower, And most of their polystyrene plants are not integrated plants. And the plants which are in the inner part of China, which are not closer to the port, their freight cost itself would be so high that for them, exports would be uneconomical, Though China gives subsidies also, a lot of subsidies, but it's only that the plants which are closer to the port areas, yes, they can export. And China does a lot of processing, they do not export much polymers anywhere. They are always doing value addition by way of polymers processing.

Only difference would be that whatever they were importing earlier and from the countries like Taiwan, Korea, Thailand or wherever else they were importing it from, the exports of those very countries will go down, and those countries will look at the new locations to sell their material. I would say that the fear is not so much from China, but fear is more from the other nations who were supplying to China and now they may have to look at other territories to export.

Sir, any idea in terms of the global demand and supply? How much would be China today? China has a capacity of close to 3 million tons of polystyrene, whereas of the total worldwide demand they are almost close to 20% to 25% today.

Okay. And sir, in ABS, similar, sir, how much would be the global demand and supply in ABS? ABS also is close to, say, 12 million tons or so. It is the current demand of ABS globally

Aditya Khetan: Got it. Thank you

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Moderator:

Levin Shah

Rakesh Nayyar:

Levin Shah

Rakesh Nayyar:

Levin Shah:

Rakesh Nayyar:

Levin Shah:

Rakesh Nayyar:

Levin Shah:

Moderator:

Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia: (€)

Thank you. The next question is from the line of Levin Shah from Motilal Oswal. Please go ahead.

Yes, hi sir. Thanks for the opportunity. I had a question on this ABS capacity. So, when is it coming on stream?

It will be in this very quarter, it will be operational shortly

Okay. So, by August is when we expect the plant to commercialize?

Yes, by August end may be,

Sure, sure. So, for this full year, we will have around approximately 5 to 7 months of sale that will be reported for ABS, right?

Yes, that's right,

And post commissioning the plant, how long will it take for it to stabilize in terms of output?

Will it take a quarter, or we should build in more time before it actually normalizes?

Maybe three to six months. It is the max we are expecting'

Sure. Understood. That's it from my side. Thank you, sir

Thank you. The next question is from the line of Nirav Jimudia from Anvil Wealth. Please go ahead,

Thanks for the opportunity. A few clarifications, Like last time you mentioned that our EPS capacity of 24,000 tons was supposed to get commissioned by the end of this Q1 FY '26' So, where are we in terms of this capacity?

That is all also ready, but then our focus right now is on ABS and post the ABS, then this will also get commissioned.

Correct. And sir, like what we see or read around the news articles is that a lot of capacities for the petrochemicals predominant

ly on the cracker part in the Europe have been old and

some of them are getting closed also. So, does this provide us an opportunity in terms of export volumes, both for EPS as well as polystyrene within that geography?

True, I agree. Your suggestion is perfectly right. We are also considering the European area.

We are already there. But then currently, the European PS is also available. Demand is low there. But then Europe is always on our horizon. Rakesh Nayyar:

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Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia

Rakesh Nayyar:

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Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:(6D)\2

Correct. So, this would not be only restricted to PS, right? We will be also supplying some of the EPS also out of India where possibly we have developed some grades, what you mentioned last time, which are very specialized grades and finds application outside India. We are exploring markets for that.

Correct, Sir, second is on the value-added grades, like you mentioned in an interview that this quarter, we were at 36%, but possibly on a yearly basis, we normally do 40%,45% of the volumes from the value-added grades. So, just because of the seasonal factors, what you mentioned in the opening remarks, our value-added grades to the OEs were slightly lesser. And because of that, our value-added grade proportion was impacted. Is the right assumption? And again, we will be back to that 40%, 45% range by the end of this year. We have never crossed so far 40%, We have been in the range of 35% to 40%. This quarter, we were at around 36%. And only thing is just with our ABS coming in and more of ABS compounds available to us, our value-added norms may cross 40% going forward, But whether it happens in the next quarter or it happens in the fourth quarter, I cannot say today, but then our target is that.

But that would be combining ABS also and not only the PS part.

ABS and ABS compounds also, we will be taking that also.

Correct. Sir, third is on the volume part, like you guided for a 12% volume growth in this financial year. So, if we just do some math, like does it also include the ABS numbers? Because what you mentioned in your opening remarks, probably 5% of the volume growth would be taken care of through the ABS. So, rest 7% would be coming from rest of the products or this 12% is -

12%, it is combined with ABS. ABS contributing very minimal volumes this year, but then combined with ABS, we hope to do 12% volume growth this year'

Correct. And sir, last from my side is like normally in a quarter, our trading turnover used to be around 22%-23%. So, what was this for this current quarter, Q1 FY '26? Hello?

Yes, sir

We got lost somewhere, You were asking something on the trading. What was the question? yes, sir. I was asking that last year, our trading revenue was close to around 23% out of our total sales. So, what was it for this current quarter, Q1 FY'25?

Nirav Jimudia:

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Rakesh Nayyar: I think this quarter, we were closer to 20%.

Nirav Jimudia: Correct, yes, And sir, normally, you give the breakup in terms of like within the manufacturing sales, close to around 2/3 is PS, 1/4 is EPS and rest is XPS and compounds' So, has this ratio changed this quarter? Or was it in the similar line?

Rakesh Nayyar: It continues to be the same.

Nirav Jimudia: Got it. Thank you so much, sir. And wish you all the best. Thank you'

Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead

Radha Agarwalla: Hi, sir, Thank you for the opportunity. Sir, in continuation with your answer to the previous participant. So, if you have a one-time payment of technical fee to Versalis or ABS, so is it fair to assume that this year, the profitability will be impacted because of this?

Rakesh Nayyar: That is a capital cost that does not impact the P&L'

Radha Agarwalla: Okay. So, it will be depreciated over the years?

Sir, there will be

some trial run costs, et cetera, because of the new capacity. So, you have guided for 12% volume growth. So, considering all the factors, do you expect the EBITDA growth to be higher than volume growth this year?

I would not make any guess on EBITDA because EBITDA is also a factor of many other things. But I will only make a guess on the volumes and volumes will be closer to 12% growth.

Okay, sir. Sir, you have given in your presentation, you have given some of the presentations to state governments for using XPS insulation board. So, as on date, how many state governments have approved this product for usage in road development and building solutions? And what is their feedback?

I do not have readily any number of how many state governments because I think almost close to 15, 16 states, if I am right, but I would not make a guess' I will ask the relevant concern people for this. I really do not have the ready answer for it.

Radha Agarwalla: Sir, any color on how is the feedback coming from them? Is there a pick up in product approvals from your interactions?

Rakesh Nayyar:

Radha Agarwalla

Rakesh Nayyar:

Radha Agarwalla

Rakesh Nayyar: Yes

Rakesh Nayyar: Feedback for?

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Rakesh Nayyar

Radha Agarwalla: Sir, could you name some of the key projects wherein they have used this product? Radha Agarwalla: For this product sir, XPS insulation board.

Rakesh Nayyar: Your voice is not clear. Your feedback for?

Radha Agarwalla: XPS insulation board. For the product XPS insulation board.

XPS insulation board is a super product. The only issue there is that the individual houses owner, the row houses or the Bungalow or the small houses, they are the ones who are not using it. There, the sale is very minimal. But otherwise, on large institutional projects, the product is very well accepted and all the educational institutions, hospitals, hospitality, malls, they are all using our product. So, there, the sale is picking up, but then the actual sale will come from the retail and that retail because of the many things like involving extra cost, the contractor or the architects, dissuades the individual owners or either the small contractors who do not know how to install and apply these boards. Sale there has not picked up. The sale from the institutional buyers is great.

We have used it in AIMS, just to name you one. And Zozila Pass, which was a tunnel made up in the Kashmir, Ladakh sector., New parliament house used it. IIT Jodhpur is a major example of it. They used it extensively and their air conditioning load has substantially come down.

Okay, sir. Very good to know this. Sir, last question, your presentation talks about EPS recycling. However, I wanted to understand whether for PS also, post-consumer products are also recyclable.

The PS post-consumer waste is not much there. EPS goes in for packaging and extensively used all by OEM appliance manufacturers, And earlier, it was also used for disposable foodware. Visibility of the EPS post consumer waste is very high. Whereas in the PS, the PS goes into the appliances, mainly or household goods. Packaging waste like in case of EPS is not there. Today, a refrigerator is bought and used for many years, 10 years or so in an ordinary average family or an air conditioner is used for 10 years or so. A washing machine is used for maybe 10 years again. So, the post-consumer waste actually comes more in the case of EPS.

Okay, sir. Thanks and all the best to you

Moderator: Thank you, As there are no further questions from participants, I now hand the conference over to the management for closing comments. Over to you, sir.

Thank to you all for participating in this earnings concall. If you have any other further questions or would like to know more about the Company, please reach out to our Investor Relations Manager at Valorem Advisors. Thank you so much. Rakesh Nayyar:

Radha Agarwalla

Rakesh Nayyar:

Radha Agarwalla:

Rakesh Nayyar

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Moderator: Thank you. On behalf of Supreme Petroc

hem Limited, that conclude's this conference, Thank you for joining us. And you may now disconnect your lines, Thank you.

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Call: Oct 2025

Supreme Petrochem Ltd

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Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call of Supreme Petrochem Ltd ('The Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations &

Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

Please refer our letter dated October 20, 2025, wherein we had informed you that Earnings
Conference Call with investors of the Company will be held on Tuesday, October 28, 2025 to
discuss Q2 & H1-FY26 earnings'

Please note that the said conference call as scheduled was held at 04:00 PM (IST) on October
28, 2025. In this regard, pursuant to Regulation 30 of Listing Regulations, please find attached
Transcript of the call with investors of the Company'

This is for your information and record

Thanking you

Yours faithfully,

For SUPREME LTD

Dr. H

ASST. VICE PRESIDENT (LEGAL)

& COMPANY SECRETARY Ref : C FA/CS/86/AGM-3 6 I 2025-2026

BSE Limited

Phiroze Jeejeebhoy Towers,

1st Floor, Dalal Street,

Mumbai- 400 001

Script Code - 500405 October 31, 2025

National, Stock Exchange of India Ltd

Exchange Plaza, Bandra Kurla Complex

Bandra East,

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Supreme Petrochem Limited

Q2 and H1 FY'26 Earnings Conference Call

October 28, 2025

Moderator:

Purvangi Jain Ladies and gentlemen, good day and welcome to the Supreme Petrochem Limited Q2 and H1-
FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during the conference call, please signal an operator by pressing
your touch-tone phone. Please note that this conference is being recorded'

I now hand the conference over to Mrs. Purvangi Jain from Valorem Advisors. Thank you and
over to you, ma'am.

We represent the investor relations of Supreme Petrochem Limited. On behalf of the
company, I would like to thank you all for participating in the company's Earnings call for the
2nd Quarter and First Half of the Financial Year 2026.

Before we begin, let me mention a quick cautionary statement. Some of the statements
made in today's earnings call may be forward-looking in nature. Such forward-looking
statements are subject to risks and uncertainties which could cause actual results to differ
from those anticipated. Such statements are based on management's belief as well as
assumptions made by and information currently available to the management. Audiences are
cautioned not to place undue reliance on these forward-looking statements in making any
investment decisions. The purpose of today's Earnings Conference Call is purely to educate
and bring awareness about the company's fundamental business and financial performance
for the quarter under review.

Now let me introduce you to the Management participating with us in today's Earnings Call.

We have with us Mr. Rakesh Nayyar - Executive Director and CFO, Mr. Dilip Deole - Chief Executive of Finance and Accounts, and Mr. D, N' Mishra - Company Secretary'
Without any delay, I request Mr. Rakesh Nayyar to start with his opening remarks. Thank you and over to you, sir.
Thank you, Purvangi. Good afternoon, everyone. It is a pleasure to welcome you to the Earnings Conference Call for the 2nd Quarter and First Half of the Financial Year 2026'Rakesh Nayyar:
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Moderator:

Aditya Khetan:Let me start by giving you a brief overview of the financial performance for the quarter 30th September 2025:

On a standalone basis

The operating income for the 2nd Quarter is Rs. 1-,10

0 crores as against Rs. 1,500 crores in the

previous year. Reduction in the top line is mainly due to lower raw material prices, which during the previous quarter prevailed in the range of sSso to 59s0, as against s1,150 in the corresponding quarter in the previous year. The total EBITDA including the income stood at Rs. 86 crores and net profit after tax is Rs. 48 crores.

For the first half of the financial year 2026, the operating income is Rs. 2,487 crores. The total EBITDA is Rs. 216 crores with a total EBITDA margin of 8.69%. The net profit after tax stood at Rs. 129 crores. Company sales volumes of manufacturing products stood at 76,962 Tons and for the first half stood at L70,826 metric tons as compared to I74,813 metric tons in the corresponding period of the previous year.

The volumes and margins were impacted due to extended monsoon leading to lower demand for cooling devices such as air conditioners and refrigerators, deferment of purchases due to advance intimation of GST rate reduction, subdued economic activity across major economies, and change in trade flows due to trade barriers in the form of tariffs imposed by the USA, ancl clecline in styrene mnnomer prices with cUrfent prlces at atrout S800 pcr rlettic tons down from around S9+O per metric ton at the end of June 2025. This led to the destocking by the processors.

On a positive note, I am happy to share that ABS plant, in technical collaboration with Messrs. Versalis, with a capacity of 70,000 metric tons per annum, has commenced production. The integration of Xmold Polymers is progressing as planned. Companycontinues to remain debt-free and all capital expenditure is funded through internal accruals, As of 30 September 2025, we have maintained an investible surplus of Rs,522 crores, The board has recommended interimdividend@L25%that isRs.2,50perequityshareoffacevalueof Rs 2each'

With this, I conclude now and open the floor for question and answer session'

Thank you very much. We will now begin the question and answer session. The first question is from the line of Aditya Khetan from sMIFs Institutional Equities. Please go ahead.

yes, thank you, sir, for the opportunity and happy Diwali to you and your team, sir. sir, just a couple of questions. Sir, first on the volume side, I missed your initial remarks. Have you mentioned what was the reason for a big dip in volume? Apart from the GST cut and all those reasons, is there anything structural change in demand you have seen and you feel like this would pick up in the coming quarter? Any commentaries on this side?

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Rakesh Nayyar:

Aditya Khetan

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:

Aditya Khetan:

Rakesh Nayyar:6n)

As lexplained, the demand is low because of the extended monsoons which led,"n. OSZ sale of cooling devices like air conditioners and refrigerators, leading to the lower lifting by the OEMs and air conditioning manufacturers, Secondly, there is a trade flow change in the the tariffs put by USA. The supply flow has changed. The countries where we were exporting, there other nations are competing since they are unable to export to USA or processed goods are not going to USA. Everybody is in the global market to sell their material, There is a competition there as well. Also the processors generally avoid stocking material when there is a continuous fall in the raw material prices, This fall in the styrene monomer prices led to some amount of destocking by the processors'

So, sir, this lower styrene prices, has this been fully reflected in this quarter or we could see further weakening of realizations because it is a pass-on. So, next quarter also, we could see muted realization?

The styrene monomer is a global event. India does not produce a single kilogram of styrene monomer. The global events impact styrene monomer, the global demand supply, crude

prices, everything is going to determine the price of styrene. As of now, styrene is ruling for the last two weeks at about US\$ 800. I

f this level continues, so maybe starting from December onwards, it will be a normal thing then.

okay. Sir, on the ABS side, as we have started the phase one, sir, is there any change on the guidance I think earlier we have stated so 20,000 tons to 25,000 tons, we would be doing by this fiscal, And any thoughts on second phase? Are we planning to complete that by FY'27? The second phase will complete by FY'28. So far it remains the same. There is no change in that. And as far as the ABS is concerned, because that was based on the earlier completion date of June. But now the plant got delayed. And the product trials are going on with the processors, the testing is going on with various processors. So, the guidance would change. I think it should be closer to maybe 15,000 tons or so in this year.

Got it. Sir, there are lower volumes in this quarter. I understand you have mentioned like it is a monsoon period. So, there are high chances so that it could be recouped in the next quarter. Again, we could be back to that for 95,000 to 1 lakh to volume current rate. The 3rd Quarter is always a weak quarter, post-Diwali, post-festival. so, the 3rd Quarter starts picking up only towards the end of November or December only. And the 4th Quarter is always the best quarter that way. If from December to March in those four months, the demand is good from the OEMS, yes, we should be able to recover.

Got it sir. Thank you. I will come back in the queue Aditya Khetan

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Moderator:

Nirav Jimudia

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar: d\, ^([set]

Thank you, The next question is from the line of Nirav Jimudia from Anvil wealth, o, rrf z a he ad.

Yes, sir. Good afternoon and festival wishes to the entire team of Supreme Petro. Sir, I have a few questions to ask, So, the first is on the styrene part. As we see that Chinese have become more self-sufficient in their styrene capacities as against their earlier reliance on imported styrene. Has this led to the start-up of additional capacities for PS and ABS in China? And that is why we are seeing some compression in the spreads or is it a general demand issue globally? Also, add to it like the other benzene value chains have not been doing well, like Aro or Phenol or the rest of the products. So, has styrene, with the styrene being more of a stable commodity over the last so many quarters, does those additional capacities have put pressure on starting up the further capacities of PS and ABS in China? Your thoughts here, sir. China has become self-sufficient in styrene monomer. They have put up large capacities, rather 2 million tons of additional styrene capacity is coming up very shortly. And with this 2 million tons, China would be close to 100% self-sufficient for styrene monomer. But they also have large downstream capacities, which they have implemented for polystyrene and ABS' But then more than the export of the polymers, they are actually in the export of the processed goods. And with the trade barriers, they are unable to export the processed goods. And currently, as we are told China is running all their polymer plants at 50% to 60% capacity utilizations. With the large buildup of capacities in China, there is always a threat of imports coming in if they are unable to utilize it for the processed goods, and they could be aggressive in exports. That threat remains.

Got it, sir. Got it. Very helpful. The second is on the Xmol part. Like last time you mentioned that the capacity is close to around 15,000 tons, which with 5,000 tons they expanded it, I think e4 of FY'24. So, if you can share what is the status there in terms of the utilization for first half A and B are they also doing some expansions over and above those 15,000 tons? Currently we are not doing any expansion above 15,000. Right now, we are only setting up all their systems because they were a small company. We want to bring them in line with our processes. They never had an ERP and we just fi

nished installing an ERP SAP system there

also, And we are changing the product mix there. Therefore, it is still work in progress. It will take another four to five months before we can say, they are in line with our thought process. okay. Got it. And sir, any numbers on the utilization part you can share? Is it possible?

As far as capacity utilization is concerned in the first half of the year, we have operated at almost close to 79%. In the last quarter, our capacity utilization was low. We were close to 72% or so only.

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Nirav Jimudia

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:

Nirav Jimudia:

Rakesh Nayyar:

Moderator:

Sailesh Raja:

Rakesh Nayyar:6il

Got it. Sir, next question is, we have seen the volumes falling in 2nd Quarter u,r-u-u,rNZ quarter last year. So, was this predominantly the fall in volumes for polystyrene or also the EPS volumes were also impacted?

No, it is all the volume because even EPS goes into the packaging of the durables, And with the extended monsoons, even in the construction, the activity has been slow. And as far as the fish boxes are concerned, where EPS is used extensively, there also the demand has come down. So, the volumes are impacted both in PS and EPS.

Got it, sir. And sir, last question is, since you mentioned in your opening remarks that there is a fall in the styrene prices, was there an element of inventory losses in Q2 A? And if you also can share the trading sales for 2nd Quarter? Thank you so much'

when the prices fall, that is bound to happen. But then it is a dynamic thing where the materials keep coming and moving out regularly. To quantify the numbers, it is a long exercise and we have not, to put an exact number on the inventory loss is very difficult. But yes, some kind of an impact is there.

Okay. And sir, if you can share the trading sales for 2nd Quarter

Total number trading would be closer to 22%.

Got it. Thank you so much and wish you all the best.

Thank you.

Thank you. The next question is from the line of Sailesh Raja from B&K Securities. Please go ahead.

Thank you, sir. My first question, in August 2025, Europe, they have imposed provisional anti-dumping duty on ABS originating from South Korea and Taiwan, which together it accounted for around 2.2 lakh tons annually. So, this volume is expected to redirect it to Middle East or any other Asian market. Do you see any impact, do you see any changes in demand and supply scenario in India, sir? Can you please talk about that?

In India, already sufficient imports are coming because the demand in India was close to 300,000 tons and in the FY'25, the imports were close to 160,000 tons. And currently also the, in the first half of the year, we see that the imports have been almost in the, in line with what was imported last year. There is no additional imports or as what you are saying because of the anti-dumping duty imposed on the Korea by Europe, we do not see that impacting any additional imports coming into India.

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Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja:

Rakesh Nayyar:

Sailesh Raja

Rakesh Nayyar:Z\ (serl)

Okay. Sir, can you please give the split between, within the ABS imports, the general Or;NZ ABS and special grade, what is the mix? Can you please share it?

No, I am sorry, I do not have any breakup of general purpose or, but generally the ABS comes in mainly either for molding or for extrusion purposes. They are different grades for molding and within that just specific applications they have different grades, but then I do not have a breakup of that.

so, where we will be targeting, sir, general purpose or specific grades like ABS, we have a lot of.....

We are in both, we will be in both in molding as well as in extrusion and our grades would be more specific to the applications. For which application, which grade will go. So, once all the grades are in the market and once the trial or the testing has been done by the processors and the OEMs and molders, then, you

know, we will be able to give the full slate in the market then,

okay. sir, on the compound side, currently we are producing around 18,000 to 19,000 tons annually and we are planning to expand capacity to 75,000 tons and Xmold also, we have around 15,000 tons of capacity and with this R&D capability of Xmold, so, how much do you

think it will accelerate us to ramp up our Supreme Petro capacity of around 75,000 tons? Does that really help us in expanding the, our cuttrpuuttls tapacity or do you think it is completely different? Could you please talk about that? And also, we attended the exhibition recently and one of the players, Sudarshan Polymers and Compounds, they indicated that, EBITDA margin in this business is 13% and which could decline to 9% in two, three years because lot of players are adding capacity, particularly players like Kingfa they are coming out with significant capacity. So, how we are going to address that, what is our plan to reduce this? Could you please talk about that?

75,000 tons is what we have planned, which will be increased in stages and currently we have installed 20,000 tons for ABS compounding and that has just now become operational and as far as the margins are concerned, it actually depends upon what kind of a compound you are making, which niche area you are there. So, to generalize that it will be 9% or 13%, it is very difficult because there are compounds where the margins are as high as 15% or 20% or maybe more even. So, to average it out is one thing but then again, the margins depend more in compounding business on what niche you are in and what kind of compounds you are doing and what recipes you have developed. So, I would not comment on the margins part that what would be the margins eventually because I know that the margins can always be better than even 9% and 13%.

But whatever Kingfa is making, those grades are available with us? Sailesh Raja:

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I am not aware of what they are making because they are into many things and -^r, \$ in some niche areas, where they may not be there. Rakesh Nayyar:

Sailesh Raja

Rakesh Nayyar:

Sailesh Raja

Rakesh Nayyar:

Sailesh Raja Okay. As Mr. Nirav mentioned that in China, they are adding a lot of capacity downstream products, particularly this polystyrene EPS and compounds also we are seeing domestic lot of expansion is happening and EPS particularly, there is one company EPAC, they are also adding capacity in EPS around 50,000 tons. So, given these developments, how do you see the overall demand and supply evolving for the entire styrene chain over the next two, three years? Do you anticipate margin pressures here or we can with the different grades, we could be able to still perform better? So, if you see, basically, where I am coming from this question is if you see excluding the Haryana plant, do you still expect to achieve 6.5 lakh tons of volume, including 1.4 lakh tons of EPS and we do Rs. 15 per kg of EBITDA that is Rs. 1000 crores in the normalized market scenario or do you see a risk to this assumption?

As far as China is concerned, they are not expanding any, we have not heard of any more expansions or any new capacities of EPS coming in. Even last two years, we have not heard any new EPS capacity coming up in China. All EPS capacities were set up many years back and they are currently operating those capacities at 50% to 60% only and historically in the last few years also they have been operating at those levels only. The smaller or unviable plants there may get mothballed, that is a different story, but then currently, we have not heard of any new capacities coming up. As far as India is concerned, again, we are not aware of any expansion of EPS capacity happening in India apart from whatever Itas beerr irr tle pipelirte, There is only one small player I know who is expanding or who is actually setting up, others we have not heard. And in India, there is an excess capacity of EPS today. Because of that, the margins here

have got squeezed. But as is the nature, over the years, somebody will sell out, somebody will shut down. So, currently, the margins will remain under pressure because of the competition in India. There are no imports of EPS, hardly any imports come as far as EPS is concerned.

Okay. Sir, by Q4, do you expect our state to be normalized?

Unless otherwise, the geo-economic situation changes, it is very difficult to say when.

Because until China's exports of processed goods start to USA and the utilization of polystyrene or EPS or ABS capacities of the other Asian countries gets normalized it is very difficult to predict when it will get normalized. But we expect that by the last quarter of the current financial year, it should stabilize. Last quarter is busy season in India also, and styrene prices and crude prices would have also been stabilized by then.

So, how much volume we are targeting for this year?

With this kind of situation globally, what happens is difficult to say. But suffice to say that we will be doing certainly better than last year. But by what percentage, with the decline in the Rakesh Nayyar:

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volumes in the last quarter, very difficult to predict. Even in the month of October, ** O"N Z see any major improvement in volumes, OEM lifting in India is also slow.

Sailesh Raja Okay, sir, Thank you, sir

Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from sumangal Investments. Please go ahead.

Vipul Kumar Shah: Hi, sir. So, sir, I missed your opening remarks. So, what are the styrene prices now and what they were same period last year?

Rakesh Nayyar: Currently, the styrene prices are around 5800 per ton. The last year around this time, the styrene prices were close to \$1100.

Vipul Kumar Shah: And what was the same last quarter, sir?

Rakesh Nayyar: End June, the prices were 5940.

Vipul Kumar Shah And sir, for the second line of ABS, what will be the CAPEX and what will be the capacity of that line?

Rakesh Nayyar: That line will be of 70,000 tons and the CAPEX would be around Rs. 300 crores.

Vipul Kumar Shah: Rs. 300 crores. So, in view of our reduced cash generation, will we allow to resort to the borrowings to fund that CAPEX?

Rakesh Nayyar: No. In my opening remark itself, I have said that we will be meeting all our CAPEX from internal accruals.

Vipul Kumar Shah: Okay, sir. Thank you very much.

Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

Rahul Agarwal: Yes, thank you so much. Good evening, sir. Best wishes to you. sir, one question and then a couple of clarifications. Firstly, you shared your view on what is really happening on the downstream side for China. And because they are running at lower utilization, because processed goods are not able to get exported to US that has to be seen from a PS perspective. Could you similarly delve a bit deeper onto the ABS side of this? Do we see a lot of ABS imports from China as well? Because my sense is it is more Taiwan and Korea who import into India. But purely from a pricing perspective on ABS and incremental ramp up of your phase one, how do you look at business going forward for ABS for the industry overall and then specifically for Supreme Petro? Moderator:

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Rakesh Nayyar:

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Rakesh Nayyar: 61

95% of ABS imports are currently happening only from Taiwan, Korea and Thailand and exports of ABS are not there at all. At the moment, it is not there. Since large capacities are getting built in China, going forward the threat remains.

So they are essentially building up ABS capacities is what you mentioned?

They are currently building some ABS capacities, but that is all meant for their own use for the processed goods, because they import also ABS, But then if they are not able to export the processed goods, when

eventually I am sure they will be doing it But if they are unable to do it, then yes, the threat remains'

Got it. Fair point.

China has built large capacities of all polymers. It is just not the ABS or EPS, but they have built large capacities for all polymers so that if they are not processing it, then that threat will continue to remain.

Just to put on a number here, my sense was 12 million tons of global ABS and PS capacity each of them and about 4 million tons for China. Is that correct? Are these numbers correct? 4 million tons of what you said?

ABS capacity in China

ABS capacity in China is currently close to 9 million tons. The global installed capacity of ABS is around 17 million tons, of which around 9 million is in China, 8 million tons is the rest of world capacity and of which the current demand of ABS is close to 1.1 million/11.5 million tons only. And China currently imports close to a million tons of ABS.

Got it. And similar thing for polystyrene. I mean, how much would that be for China capacity right now and the world capacity?

The world capacity of polystyrene is again close to 12 million tons. And China has around 4.5

million tons or there about.

Got it, sir. And a couple of clarifications, you said the phase two for the ABS plant starts in fiscal'28. That basically means production starts somewhere end of 2028 and then we see sales in fiscal'29. Is that what you mentioned?

we are saying that by FY'28, the second line would be ready. And with the product already in the market it should not take long to be fully operational then.

Right. So it should like it should see some revenues into fiscal'28 itself is what you meant. Rah

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Rakesh Nayyar:

Moderator:

Prateek Singhanian Some yes. Otherwise in 2029 fully it would be there

Got it. And similar question on the trading sales, when you mentioned 22%, that 22% is of the total top line, is it?

Of the top line

Okay. So when you give the volume number in the presentation, which is manufactured volume that does not include any trading volume, right?

That does not include any trading volume

okay. And for the 70,000 tons of phase one ABS, which you have done, which I think also costed about Rs. 300 crores, Rs. 350 crores. What would be the peak revenue or a peak EBITDA number, like three, four years out at 100% utilization? Basically, I am trying to calculate the return on capital. So just wanted to understand.

The investment in that project is not Rs. 300 crores. Investment in the line one, with infrastructure and utilities for both the lines is around Rs. 600 crores. And the asset turnover ratio of both the lines put together would be two.

Okay. And what kind of EBITDA should we assume here, like percentage or ton wise or whatever?

Right now I cannot give but the global spreads that you calculate and based on that one can work out. Once our product is fully in the market and our plant is fully running, then real EBITDA numbers would be known to us.

All right. I get that. Thank you so much, And best wishes.

Thank you.

Thank you. The next question is from the line of Prateek Singhanian from Sage One Investments, Please go ahead.

Hi, sir. So, taking forward the previous participant question, so majority of the capacity, like you said, in Korea, Thailand, Indonesia, have been set up keeping China in mind, because this capacity is far more access in comparison to their local demand, Now, with China coming up with their own capacity of ABS lines of import coming down, do you think that this import pressure from Korea, Thailand, and Indonesia, Thailand, this will remain static for India as a whole, and this could eventually lead to a lower normalized spread for ABS?

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Rakesh Nayyar:

Prateek Singhanian

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They have capacities. China has set up, they were already exporting to some countries. Or to the USA. And the trade barriers are there, but once these trade barriers are out, those pressures will also not be there. But as far as Korea is concerned, or Thailand is concerned, their imports have not increased into India despite the trade barriers being in place for the

last couple of months. So I do not see that as far as ABS is concerned, there will be any major impact.

Okay. So then, so basically, then this reduction of this spread is predominantly with respect to the fall in the styrene prices rather than majorly coming from the import pressure of the volumes coming into India. Is that correct to assume?

The pressure, the styrene is not the concern. The concern here is the import of ABS. And ABS still was 160,000 tons. And till the first six months also, it is in line with the last year's imports.

Okay

There is no extra imports which have come in and the local players have also sold their quantities.

Got it. And how is the booking market with respect to the importers booking, like any two, three months trend that we have with respect to further imports, how it would increase or like it is the same?

That nobody can know which trader is importing or which trader is placed an order. That is not in the marketplace and one cannot get that information.

Okay. And sir with respect to pricing your product, will it be safe to assume that your product will be priced a 3%, 4% discount to your competition since we want to increase our market share now? And secondly, with respect to your engagement with the processors, how has been the acceptance from the processor side with respect to value flow index and characteristic and uniformity of your product getting into the mold? Any feedback from them?

As far as the pricing is concerned, it is a market strategy. Whatever our market team feels good to penetrate into the market, we will take the decisions based on that at the right time.

And as far as the feedbacks are concerned, we are receiving some feedbacks and we will be accordingly making those changes to meet the market expectations.

Prateek Singhania: Okay. And you will be also selling the colored?

For each application, every processor has their own requirements. So we have to fit in their requirements into our grades. We are working on that. Ra

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Prateek Singhania:

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Okay. And typically, what is the product timeline to get it approved from the OEM? B..N Z obviously, the product is processed at the processor level, but it has to get approved by the OEM. So a typical timeline, say if you want to get into any automobile or household consumer durable goods, the OEM product approval, ST approval timeline would be?

I would say anything between three to six months.

okay. And you will be selling the colored as well, right? The colored ABS apart from the natural grade and the white grade?

Yes, we will be selling colored. we will be selling compounds of ABS and the natural ABS as well.

Sure. Okay sir. Thank you so much

Thank you. The next question is from the line of Amit Agicha from HG Hawa and company.

Please go ahead.

Sir, is it true that our CAPEX cost is one of the lowest for any new plant that has been put up?

And would this be comparable to someone putting up a plant in China also? This is for the ABS plant.

I would not comment on that, Amit, I would not be able to comment on that'

Second question is, sir, are we facing any kind of competition from honeycomb industry, particularly in our thermocol products?

From which industry, you said?

Honeycomb industry, which is made from paper?

No. We have not seen any competition from there so far

Okay. And, sir, one more thing is that our place, as well as Panipat, sorry, North In

dia,

Haryana plant is concerned. when will we be able to come into production there?

We have gone there because of the styrene monomer availability from IOC, which IOC had announced. But IOC's plans to set up their styrene plant has also got delayed. That is what we understand from the market. And earlier they were talking of by 2027 or 2028. Now we gather it is by 2029. So, we are not putting in our money there at the moment till their plans are very firmed up and we know that yes, their styrene would be available to us'

Okay. Thank you very much, sir Amit Agicha:

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Moderator:

Vipul Kumar Shah:

Rakesh Nayyar: 6i)

Thank you. The next question is from the line of Shreya Bhandia from Oakland ANZ

Management, LLP. Please go ahead. As there is no response, we will go ahead and invite the next participant. The next question is from the line of Vipul Kumar Shah from Sumangal Investments, Please go ahead.

sir, regarding this ABS line, so we will be selling downstream products or we will be selling to the processors? We will not

We will be selling to the processors.

Vipul Kumar Shah: We will not do any downstream products, right?

Rakesh Nayyar: we will be only doing compounding of ABS and otherwise we will be selling ABS.

Vipul Kumar Shah: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Thank you, sir, for the follow-up. sir, you had mentioned that ABS imports are quite sticky. Around 1.6 lakh tons we could conclude for this fiscal also. So, sir, if this is the argument, then/ sir, the domestic capacity addition done by you and other players because the demand is, sir, so that is around 3.5 lakh tons only and if we exclude 1.6 lakh tons again, so we could be sitting at 2 lakh tons against demand. So, how come the domestic players would be selling their inventory?

Rakesh Nayyar: see, till now, Aditya, our product was not in the market. I said that first six months the imports which have come, they are in line with the last year's exports. But by then, our material was not in the market. Once our material is tested, tried by the processors and approved by the OEMs, then automatically those imports will go down'

Aditya Khetan: Okay. Any differentiation, sir, you can highlight, like, so better quality or what is superior, like, compared to imports which are coming in?

Rakesh Nayyar: All the emulsion-grade ABS, they are yellowish color, they are like dark creamish color, whereas we are a white color ABS and the, with that your pigments, coloring, all that is reduced. Our consistency is better because it is all reactor produced material, it is not batch processes. So, there is a consistency in the material there. This is the advantage' Then, as far as the odor is concerned, there is zero odor in it as compared to the emulsion-grade' Then, the thermal stability is very high, There is a high thermal stability in mass ABS, whereas emulsion has generally the moderate thermal stability.

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Aditya Khetan: 6D)

okay. And, sir, this asset turnover of two times, like earlier, sir, so we were investing -; N z crore in ABS and expecting a Rs. 2000 crore sort of a top line. Some two years back, we had given this number. Now, sir that has been reduced to 1800. So, this is because of the lower prices, current prices are lower, that you have factored in.

Rakesh Nayyar: I said twice. So, Rs. 600 crores and Rs. 300 / Rs. 350 crores for the second line, So, this will come to the same number. But with styrene price going down and the top line coming down, they are all a matter of, you know, calculation. But otherwise, the asset turnover would be more or less, remains at two only.

Aditya Khetan: Got it, got it. And, sir, just to clarify the point on special compound polymer, sir, our current capacity installed, that is around 60k tons. Is this the right figure, sir?

Rakesh Nayyar: No, That is not the right figure. Right figure would be,

we are currently at, effective by June, around 50,000 tons.

Aditya Khetan: 50,000 tons, okay. so, 15 from X-mold, 25 earlier we had, and 20,000, sir, we had expanded just now.

Rakesh Nayyar: No. I will tell you, 25 plus 20 and 15. 60,000 including X-mold. You are right. 60,000 with X-mold

Aditya Khetan: Okay. Got it. Correct. Got it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Prateek Singhania, from Sage One Investments. Please go ahead.

Prateek Singhania: sir, thanks for the follow-up. so, with respect to the GAPEX that this industry is putting, almost like Rs. 1,500 crores to Rs. 1,600 crores in ABS has been put by the industry after such

a long time in the ABS in India. So, any protection that you may seek from the government with respect to anti-dumping duty on any, like if any country is like doing a spoiled port with respect to dumping ABS in India, anything, because loss of profit is also one of the criteria which can be used upon for this anti-dumping duty. so, anything which is expected or you might like anticipate a scenario in, say, next 12 months or so, that would be required.

Rakesh Nayyar:pratik ji, we are just getting into this, so, the anti-dumping application or anything which has to be made for safeguard or any protection, that has to be initiated by the existing players because I would not have the data to support this request if I go to the government today because we are just entering. I do not have any historical data, Even the current data is not sufficient. So, I will not be the right person to answer this question. But yes, if the existing players make this move, we are there to support'

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Prateek Singhania:

Rakesh Nayyar:d\,

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sure. Great. And second question, sir, with respect to this china adding so tu.n.r*.Fz

normally Chinese wants to be the lowest cost producer of any goods over the world. And since the technology which you have adopted makes you with respect to the lowest cost producer with respect to ABS, So, what's your view with respect to China not preferring your route of manufacturing ABS versus they going for a continuous process-based process for setting such a big expanded capacity that they have done in last two, two and a half years?

Your view?

China is also going in for mass ABS in China, Versalis only has set up a plant for 450,000 tons'

They are already in Mas ABS. Then there are other plants also there. I think close to almost a million tons of mass ABS plants are operational or in the pipeline now there'

Prateek Singhania Okay. One million tons is in the pipeline.

Rakesh Nayyar: Nobody knows the exact numbers about China. But the Versalis has given to one company, 450,000 tons. And of that, I think two lines or one line is already operational there.

Prateek Singhania: So, this will be which company, sir?

Rakesh Nayyar: I would not have the name readily available' I do not remember the name.

Prateek Singhania: Srrre, sir, Okay, sir. Thank you so much,

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management from Supreme Petrochem Limited for closing comments.

Rakesh Nayyar: Thank you all for participating in this Earnings Conference Call. If you have any further questions or would like to know more about the company or our operations, please reach out to our investor relations manager at Valorem Advisors. Thank you so much. Thank you.

Moderator: On behalf of Supreme Petrochem Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

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Call: Jan 2026

Ref: CFA/CS/86/AGM_36/2025 -2026 January 28, 2026

BSE Limited National Stock Exchange of India Ltd
Phiroze Jeejeebhoy Towers, Exchange Plaza, Bandra Kurla Complex
1st Floor, Dalal Street, Bandra East,
Mumbai - 400 001 Mumbai – 400 051
Script Code - 500405 Scrip Code - SPLPETRO

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call of Supreme Petrochem Ltd ('The Company')
Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

Please refer our letter dated January 16, 2026, wherein we had informed you that Earnings Conference Call with investors of the Company will be held on Friday, January 23, 2026 to discuss Q 3/9M -FY26 earnings.

Please note that the said conference call as scheduled was held at 04:00 PM (IST) on January 23, 2026. In this regard, pursuant to Regulation 30 of Listing Regulations, please find attached Transcript of the call with investors of the Company.

This is for your information and record.

Thanking you

Yours faithfully,
For SUPREME PETROCHEM LTD

D. N. MISHRA
COMPANY SECRETARY

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Supreme Petrochem Limited
Q3 and Nine Months FY'26 Earnings Conference Call
January 23, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Supreme Petrochem Limited Q3 and nine months FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in a listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

I now hand the conference over to Ms. Purvangi Jain from Valorem Advisors. Thank you and over to you, ma'am.

Purvangi Jain: Good evening, everyone, and a very warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the Investor Relations of Supreme Petrochem Limited.

On behalf of the company, I would like to thank you all for participating in the Company's Earnings Call for the 3rd Quarter and nine months of the Financial Year 2026.

Before we begin, let me mention a quick cautionary statement:

Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risk and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on

management belief as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's Earnings Conference Call is purely to educate and bring awareness about the company's fundamental business and financial performance for the quarter under review. Now, let me introduce you to the Management participating with us in today's Earnings Call. We have with us Mr. Rakesh Nayyar – Executive Director and CFO, Mr. Dilip Deole – Chief Executive Officer of Finance and Accounts, and Mr. D. N. Mishra – Company Secretary.

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Without any delay, I request Mr. Rakesh Nayyar to start with his opening remarks. Thank you and over to you, sir.

Rakesh Nayyar: Thank you, Purvangi. Good evening, everybody. It is a pleasure to welcome you to the earnings conference call for the 3rd Quarter and nine months of the Financial Year 2026. I will give a brief overview of the financial performance for the quarter ended 31st December 2025.

On a standalone basis, the operating income for the 3rd Quarter was Rs. 1,265 crores. It was lower by 10% year-on-year, mainly on account of fall in SM prices. Average published price of SM during 3rd Quarter of FY'25 was about USD 1,040 while the same dropped to ab

out USD 810 in December 2025, which resulted in the fall in the revenues as well. The operating EBITDA stood at Rs. 69 crores at a margin of around 5.47%. The total EBITDA, including other incomes stood at Rs. 78 crores with a total EBITDA margin of Rs. 6.12 crores. The net profit after exceptional items and tax was Rs. 30 crores. For the nine months of the Financial Year 2026, the operating income was Rs. 3,751 crores. The operating EBITDA stood at Rs. 262 crores with an operating EBITDA margin of 6.97%. The total EBITDA was Rs. 294 crores with total EBITDA margins of 7.77%. The net profit after tax and the exceptional items stood at Rs. 159 crores.

On the operational front, the sales volume of the manufactured products stood at 91,265 MT in Q3 as against 85,537 MT in Q3 FY'25. And for the nine-month period, volumes stood at Rs. 2,62,537 as compared to Rs. 2,60,416 in the corresponding period of the previous year.

On the raw materials front, after witnessing a prolonged decline until November 2025, Styrene monomer prices kind of stabilized and showed an upward bias. The trend has encouraged processors to increase their offtake of Styrene products in December. With regards to our CAPEX project, the ABS plant with an installed capacity of 70,000 MTPA was successfully commissioned and production started in September 2025. The ABS plant operated satisfactorily. However, operations were suspended in December 2025 due to malfunctioning of a critical production equipment. Necessary action is being taken in consultation with the engineering consultant, equipment supplier and technical collaborator to restore the operations.

On the balance sheet side, the company continues to remain debt free and all capital expenditure is being funded entirely through internal accruals. As of 31st December 2025, we maintain an investible surplus of Rs. 463 crores.

With this I conclude my opening remarks. We now open the floor for question-and-answer sessions. Thank you.

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Moderator: Thank you very much sir. We will now begin the question-and-answer session. The first question comes from the line of Nirav Jimudia with Anvil Wealth. Please go ahead.

Nirav Jimudia: Yes, sir. Good afternoon and thanks for the opportunity. Sir, few questions. Sir, first is on the ABS plant. Like we commissioned the plant in September, and the equipment failure and the subsequent things happened in the month of December. So, in our overall sales volume, what we have reported in Q3, is it possible to share the contribution of ABS into those numbers A and B - When can we again restart the plant and take the capacities to the optimum levels in terms of the production?

Rakesh Nayyar: The collaborators, the engineering consultant and equipment suppliers, they have already reached our site last week and they are evaluating all options. So, I really cannot tell you when will operations start. But only thing I can tell you at this stage is that the plant ran very smoothly and the commissioning and operations were very smooth when it was operating in the month of October and November. But then this unfortunate incident happened and we had to shut down in December. And it is a proprietary critical equipment. So, we could not have opened it here also. Their arrival was delayed because of the Christmas holidays and the New Year holidays in Europe and the visa issues and all that. But now finally they are here and the work is on. But we have no definite answer

from the team yet that by when it can be operated.

Nirav Jimudia: Correct. And sir, any number in terms of the contribution?

Rakesh Nayyar: As far as segment -wise numbers are concerned, we never share and I will not be able to share that number.

Nirav Jimudia: Correct. Sir, you mentioned that the plant ran very smoothly. And we subsequently also commissioned our compounding line of ABS in quarter 3 also.

Rakesh Nayyar: Yes. That is right.

ght.

Nirav Jimudia: So, have we got an opportunity to convert those ABS into the compounds in Q3 and the volumes have been a part of

Rakesh Nayyar: We have converted our ABS into compounds and have also successfully marketed them also. Since our material of ABS is very white, unlike the other emulsion -grade material available in the market, which is more of an ivory or a yellow colour . So, there were issues with regard to the original master batches, the quantity of master batch, the colour matching, those issues came because our material is absolutely white, which needs less of pigments than others. So, that matching process took some time. But now wherever that matching has happened, not only of colour compounds, but as well as the other additive compounds are also doing well there.

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Nirav Jimudia: Correct. Sir, second question is on the demand for EPS. So, how we have seen the demand for EPS here in India for Q3 and nine months of FY'26? Also, if you can share the market size of EPS in India and your thoughts on the subsequent quarters, how the demand of EPS is panning out?

Rakesh Nayyar: In India, EPS is doing all right. In the first six months, like any other polymer , because the OEM's lifting was less, the demand was also slow there. But then in the current quarter, the market picked up and our estimation is that in the current quarter, the market picked up compared to the previous year, by almost 6% or so . As far as the demand is concerned, the overall market size of EPS in the country is around 160,000 tonnes p.a.

Nirav Jimudia: Correct. Sir, third question and probably the last one. Sir, how do you see or let us say if I rephrase it that way that, sir, from the polystyrene part, are we working on any newer applications which could potentially be termed as the value -added grades either on the GP side or HI side? Your thoughts here and since we have been predominantly a polystyrene player and now, we have added the ABS capacities and since the Panipat plant is far away, are we planning any debottlenecking for the existing PS capacities? Thank you so much.

Rakesh Nayyar: At the moment, I would say that whatever is being discussed is in-house, and since that is still not officially announced , we cannot share that thought with you. So, I would give a pass to your question.

Nirav Jimudia: Correct. And, sir, any grades on which we are working so far as the polystyrene is concerned?

Rakesh Nayyar: Yes, there are grades on HIPS and GP also. The se grades are being developed but then, unless and otherwise, they are fully developed and marketed successfully, very futile to comment on that. So, that is why I said that unless it is opened out, I cannot really comment.

Nirav Jimudia: Perfect. Thank you so much, sir. And I will join back in the queue.

Moderator: Thank you. The next question comes from the line of Sailesh Raja with B&K Securities. Please go ahead.

Sailesh Raja: Thanks for the opportunity. Sir, it looks like you are unwell today. I hope you feel better soon. So, I have three questions to ask. First is, so excluding the ABS capacity, we have achieved 80% utilization level in 3Q. And with the IOCL styrene monomer plant facing commissioning delays, so how is management thinking about sustaining growth in the near to medium term? Are there any plans for capacity expansion or debottlenecking to support volume growth in the interim phase?

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Rakesh Nayyar: Sailesh, I just answered this to Nirav also that we are discussing internally . But it is too premature for me to say anything at this forum. And you are right that our polystyrene plant operated at 80% in this quarter. Our EPS plant operated at almost 87%, 88%. So, the demand picked up in the last quarter, particularly towards the end of the quarter after the styrene prices kind of stabilized, which had a fall for the last almost one year. So, we are

fully appreciative of the fact that going forward with this IOCL styrene plant getting delayed, our Panipat plant will also get delayed. And to meet the domestic demand, we need to be working on some steps in this direction. So, we are working on

that. We have still a cushion of almost 20% in existing capacity. And we are also in the export market. So, to some extent, we have a cushion there also. So, in the near future, we do not see that there we will have any constraints as far as supply to the domestic market is concerned or meeting the domestic demand is concerned.

Sailesh Raja: Okay. So, what is our total exports volume in nine months?

Rakesh Nayyar: We do not give the numbers separately Sailesh. We have been always giving one number only. But then the exports this year are better than the last year.

Sailesh Raja: Okay. Sir, now that size of the company, it is a billion -dollar market cap company and inventory level always we maintain at very lean at 30, 40 days. But if you see the quarterly performance, there is a lot of volatility. So, unlike styrene products, the compound business across peers appears relatively stable. So, what step that we are taking to reduce the earnings volatility and improve the predictability?

Rakesh Nayyar: The raw material volatility is there. But then we have been also mitigating that volatility by keeping very lean stocks or the way we have negotiated our contracts with our suppliers so that we are not fully affected, not that we are fully insulated. But then to some extent, the impact is reduced. And as it is going forward with the ABS product coming in, ABS compounds coming in, so they are the other product which gets added to our portfolio. And compounds business, you rightly said, provides a cushion where the volatility is concerned. So, our focus will be more on the ABS compounds with our own ABS available and the compounding facility to the extent we have. We should be focusing on that.

Sailesh Raja: Okay. Sir, again, same question about the ABS side. So, how serious is the malfunction in the new manufacturing equipment? Does it entail any incremental CAPEX or execution risk beyond what was originally estimated? And also, are these issues covered?

Rakesh Nayyar: The capital cost is not an issue here. Even if there is any damage these equipment are under warranty.

Sailesh Raja: Secondly, I wanted to ask, is there any insurance or performance warranty?

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Rakesh Nayyar: Sure. Since these are the proprietary equipment and we do not have the drawings for it, we cannot touch these equipment because otherwise the warranty will go away for us.

Sailesh Raja: Okay.

Rakesh Nayyar: Right. So, the impact is certainly, it is a big setback for us in terms of the loss of production and the opportunity to penetrate the market in the interim period.

Sailesh Raja: Okay.

Rakesh Nayyar: But all efforts are being made so that we are able to commission the plant at the shortest period.

Sailesh Raja: Okay. That is great, sir. Sir, one last question. Has there been any transition in demand from suspension grade ABS to mass ABS grade in the market where Versailles has set up plants before Supreme like in China or Middle East?

Rakesh Nayyar: With the mass ABS only being 10% of the global capacity today and 90% is still suspension. Demand is there for all ABS. So, it all gets absorbed. It is very difficult to say that some specific application shifted to mass unless otherwise a global application - wise study has been done, but which we do not have any data about.

Sailesh Raja: Okay. Okay, sir. Thank you, sir. All the best.

Moderator: Thank you. The next question comes from the line of Aditya Khetan with SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Yes. Thank you, sir, for the opportunity. Just a couple of questions. Sir, first on polystyrene, when we said earlier like we used to mention like t

he average gross spread

should be around \$150, \$200 per tonne. So, today, sir, where are they standing and what are the reasons like for the compression if we are witnessing? Sir, second question is on to the mass ABS. So, we know like the technology is quite new in India and there are no players who have adopted this technology. Although, sir, not asking for timeline, but in the near term, how quickly can you start the plant considering all the issues can be resolved? And similarly, sir, I think, sir, so with this kind of a product ABS, the order book already would have been full like so before commissioning the plant only. So, what are we saying to the customers now? Like, are we delaying the, you can say the sampling of, are we delaying the products sending to them?

Rakesh Nayyar: Aditya, as far as our ABS is concerned, we did not take any advance order book as we wanted to let everybody use it for the applications and as I explained in earlier speaker's case, because it is more white in colour as compared to emulsion grade materials. So, the master batch comparison and matching is an issue. Like any other polymer, there is no such advance order book for these products, And as far as the start-up date is

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concerned, I really cannot comment on today, but since the whole team of engineering consultants as well as the equipment supplier have already arrived, they are at our plant, they have opened the equipment, looking at it, unless we get a green signal, some kind of an idea or a commitment from there, I really cannot comment on it, because whether they are going to just replace some part or they have to repair that part, all that is not known to us at this stage and it is a massive equipment which they have opened up and they are working on it. So, it is very difficult for me to say. As far as the margins are concerned, yes, globally also the styrene prices when they were falling, everyone wanted destock, they do not want to keep any material and that pulls down the demand. And also the demand in Europe and other countries was on the lower side. And the styrene prices, which last year were closer to \$1050 or so, in this quarter they averaged at almost \$810 and that was almost a fall of over 20% prices. So, that shrinks the market because in a falling market, the demand automatically shrinks. So, these are the reasons for the PS margins to shrink also and demand also has come down. In the first six months of the year because of the early monsoons and the very pleasant weather continuing for a long period, the cooling devices demand was down including , the ACs, refrigerators, coolers . So, the OEM pickup in the first six months of the year was low. Now, from December onwards, the OEM season starts. And we have seen in the last two weeks of December that the pull from the OEMs is better now.

Aditya Khetan: Okay. Thank you, sir, for that explanation. Sir, with the uncertainty around ABS, what sort of volume growth are we targeting for FY'27 and FY'28?

Rakesh Nayyar: For FY'27 -28, unless I know our likely date of commissioning of ABS, to comment on that is very difficult. And assuming that it is operational by the end of this current financial year, then we should be logging in growth of around 10% or so .

Aditya Khetan: Okay. And sir the contribution from the base business would be how much from this 10%?

Rakesh Nayyar: The contribution from base business would be closer to 3% to 4%.

Aditya Khetan: Okay. So, 7% would be from ABS if it started commissioning from this quarter. Okay. Got it. Sir, just one last question. Sir, when we look at the import history of PS, polystyrene in India, sir, in this calendar year, CY'25, so just gone by, so there has been a highest import which has happened over the last 10,15 year data when we look. Obviously, the import is from China, wherein large capacity is

Rakesh Nayyar: You are talking about FY'25?

Aditya

a Khetan: Sir, CY'25, calendar year 2025, from January to December.

Rakesh Nayyar: Okay.

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Aditya Khetan: So, sir, the import has been quite high of polystyrene and a lot of imports are coming from China. Any, sir, idea like which are the large capacities and which are expanding in China today?

Rakesh Nayyar: Imports from China are not high. The imports from Thailand are high this year. And also though they all get cleared under this HS code, one needs to go and segregate this data because there is a lot of reprocessed or regranuled polystyrene that gets imported, which is used in an application where the prime grade polystyrene is not used, like wall panels, or photo frames etc. In India the wall panel business has picked up a lot. That reprocessed material is getting more and more diverted to that application. You are very right, there has been an increase in the calendar 2025, particularly this is in the month of March, April and May. These were the three months when all of a sudden bulk of it came.

Aditya Khetan: Correct, sir. Any supply chain, sir, which has happened like you see like a lot of material which are coming, low cost imports, any particular reason, sir, like global capacities which have been added, which have started, which is going?

Rakesh Nayyar: A major part of it is coming in as a recycled material or the grade B grade material, which is getting used for the, where the typically recycled material is used. Because there you do not need the impact, you do not need the finish, you do not need any color issues.

And the se are mainly photo frames and wall panels.

Aditya Khetan: Okay. So, these are having no competition with the refrigerators, ABS or the

Rakesh Nayyar: The material which comes from Thailand, South Korea, Taiwan, they are the major source or Singapore, they are the ones that has a competition which has been there historically always. Now, the material coming in from USA today, that is all fully recycled material . If you look at the country -wise data there, you will see even material coming in from Ghana and Slovenia and Salvador and all that, those volumes are essentially recycled material because they do not have capacities, to produce polystyrene.

Aditya Khetan: Okay. Okay, sir. Got it. Thank you, sir. That is it from my side.

Rakesh Nayyar: Thank you. The next question comes from the line of Rahul Agarwal with Ikigai Asset. Please go ahead.

Rahul Agarwal: Hi, sir. Very good evening. Sir, few questions and just to extend a bit on the earlier discussion. If I have to really understand this performance over a bit of medium term, right? I mean the quarter volatility keeps on happening. But if I look at next two, three years and your experience into this industry, both in terms of volume growth, pricing and margins, like typically at this current pricing of polystyrene and ABS, how should the Indian market actually behave in terms of both customers and manufacturers? In terms of how would they expect this to actually play out over a three -year timeframe? So both

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from a demand supply perspective and from a manufacturer margin perspective, cyclicity in this industry, right now we are seeing normalization of margins after COVID. Has this happened in your view? How do you see pricing moving further in India and outside India, imports? Some comments over there at an industry level and from an Indian manufacturer level will help. Sir that is the first question.

Rakesh Nayyar: Rahul, polystyrene is not separated or differentiated from other polymers. The cyclicity which you see in the other polymers, we get to see in this once in a while. The demand as far as India is concerned will grow because of the thrust on the exports, PLI schemes and the affluency level going up in India. The Indian OEM, appliance manufacturers, be it air conditioners, refrigerators, washing machine or even the small

er appliances, all are out

there to increase their capacity and new capacities are coming up in the electronics and electricals. The demand for polystyrene is bound to grow there and we do not see that there will be any setback or there will be any issues with regard to the growth. It is as far as we are concerned, as I said earlier, currently are operating at 80% of our capacity and though we have margin still, but going forward we may have also to look at de -bottling our plant or increasing our capacity at our existing complex at Amdoshi. Now, as far as the prices or margins are concerned, much gets determined by the events happening globally also. We are not separated or isolated from the world. So, if there is a price pressure, global deltas go down, that eventually gets reflected in the domestic market as well. So, I will only talk about the demand. In India, demand is bound to increase and it will increase. There will be minor setbacks like last year we had first six months there were low lifting by the OEMs because of the extended monsoons and early monsoons. So, all those issues will come up, but on a year -on-year basis, the demand for polystyrene will grow.

Rahul Agarwal: Right sir. But as you said, December obviously indicates that there is some stabilization on styrene monomer pricing, off -take is better. Purely from what we have seen in the last 10 years, current pricing looks like pretty much at low levels. The INR has depreciated significantly in January. Right? So, would that mean that incrementally, if I take a next three -year view, do we think there is a bottom here or do you think incremental global supply can actually take this styrene mono -pricer? You know It is still difficult to predict that. There will be some marginal cost of production cost for

Rakesh Nayyar: Styrene monomer again does not play in isolation. Styrene monomer is also a combination of ethylene and benzene. And the styrene producers can only withstand the fall in prices, up to an extent. If the fall is more, they are losing money, they are bound to shut down their units for one reason or the other reason. And the prices will fall, but then after a period, they are bound to go up. So, there is a limit up to which the prices can fall. And we think that with the current set of the benzene or ethylene, the prices had already fallen too much. And that is why now they are witnessing some stability and may have an upward bias a bit. But let us hope this continues for a while.

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Rahul Agarwal: Got it, sir. Secondly, sir, on ABS, on the import trends, ABS is a larger quantity of import in the country. We saw BIS removal happening sometime in November, December. I do not know why, but a lot of polymers where BIS was removed. Clearly, it means that there is shortage and the country domestic capacity cannot meet demand in the country. But have we seen higher Chinese imports happening in ABS? Maybe some comments on the quantity, the country, you mentioned something on the polystyrene side where we are seeing imports from Thailand. But anything on the ABS side, what kind of changes are expected globally in terms of supply demand? How could that behave going forward?

Rakesh Nayyar: The ABS supplies to India are mainly from Korea and Taiwan. And Chinese exports to India have been negligible. The BIS getting removed certainly opens a window for China to start supplying to India. But then there are other issues there because depending upon the location of the plant . If the plants are located inland in China, there are local freight and ocean freight from China to India, all those issues are there and their quality also. So it is difficult to say whether they will replace the Korean supply to India or the Taiwanese supplies to India. But then as of now, the Chinese supplies to India, as far as ABS is

concerned, they are practically nil.

Rahul Agarwal: And in history, has it ev

er happened? Because I also did some channel checks. Looks like distributors have to say that the material is not very linear in supply. Sometimes they sell, sometimes they do not really have the material. And second is, as you said, the matching of colours and quality with customers is a big headache. Right? So ultimately, it has to be more consistent supply of quality.

Rakesh Nayyar: Yes.

Rahul Agarwal: Would I take a guess that ABS from China actually will not really come? It will continue with Korea and Taiwan, which is good quality material. And you know, this ABS pricing should stabilize here.

Rakesh Nayyar: People will prefer to continue with the existing suppliers. But the trader mentality, you never know. And the people who are not conscious of their end product quality here, they may source the material. It is very difficult to say because it is a very dynamic situation. So assuming, yes, if the quantities come in, I presume that the quantities, if they come from China, they will be minimal. The main quantities will continue to come from Taiwan and Korea.

Rahul Agarwal: Right. And anything on the global demand supply of ABS, China -Korea pricing, would that be suppressed for a while now? Or is it also pretty similar to what we are seeing?

Rakesh Nayyar: Again, because of the global demands, styrene prices, ACN prices, the butadiene prices, the ABS prices had also fallen considerably. But with the SM price now getting stabilized,

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butadiene price going up, so the ABS price will also inch up now. At least in the domestic Indian market, the prices have already increased.

Rahul Agarwal: Got it, sir. Perfect. And sir, last question on the trading value or volume, whatever you want to share for the 3rd Quarter and nine months?

Rakesh Nayyar: Our trading volumes are now close to 20% of our total turnover.

Rahul Agarwal: This is for nine months or for the quarter?

Rakesh Nayyar: Nine months as well as quarter.

Rahul Agarwal: And how much was this Y -O-Y? Will there be a number for that?

Rakesh Nayyar: Last year, they were more. They were, I think, closer to 22%, 22.5% or so. But this year, the trading volumes are around 20%.

Rahul Agarwal: Perfect. Got it Rakesh ji, thank you so much for answering all the questions and wish you all the luck.

Moderator: Thank you. The next question comes from the line of Kirtan Mehta with Baroda PNP Paribas. Please go ahead.

Kirtan Mehta: Thank you so much for the opportunity. One question on the ABS plant. How many months of depreciation we have booked in the quarter and what could be the quarterly depreciation run rate from Q4?

Rakesh Nayyar: We have booked the depreciation for the full quarter. The plant has run. So, it has been put to use. So, the depreciation has been booked for the full quarter. So, whatever incremental depreciation you are seeing from the previous year is all for the ABS as well as our new SPC lines.

Kirtan Mehta: And will this 270 million odd will remain now the depreciation rate looking forward in terms of these?

Rakesh Nayyar: Yes, that is right.

Kirtan Mehta: Thank you.

Rakesh Nayyar: Plus, whatever we capitalize going forward for any other project. But as of now, assuming the current capacities Rs. 270 million is what depreciation per quarter will be.

Kirtan Mehta: Thank you. Second question was about, there has been some closures being talked about in Korea as well as Europe. Plus, there will be some anti -evaluation policy could

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get sort of announced during the China. Do we have any sort of understanding whether this will result in any closure of the capacities in our chemical chain?

Rakesh Nayyar: We have also read that. We have been told about that. But eventually, what we consider is that once these are announced, the smaller old plants, which do not meet their new environment norms and pollution related norms, they will close do

wn because they are

very concerned now in China with regard to the energy consumption and others. But then how much of that will go away from the market is still not known. Once the policy is announced, and we will get to know after three months, four months that finally what will be the impact of that.

Kirtan Mehta: Right. Would we have an idea about every utilization rate globally in our chain? Are they

significant?

Rakesh Nayyar: China is concerned, their average utilization rates are closer to 50, 55 depending upon the products. That is what we are informed.

Kirtan Mehta: Right, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Radha with B&K Securities. Please go ahead.

Radha: Hi, sir. Thank you for the opportunity. Sir, considering the improvement in offtake from OE since December and also improvement in styrene prices, do you believe that 3rd Quarter performance is the bottom and can we expect sequential improvement from there on?

Rakesh Nayyar: The next quarter, that is the current quarter of January to March will certainly be better because the OEM demand in this quarter is always the strongest. And with the prices of styrene getting stabilized, we hope yes, we will certainly be doing much better than the last quarter.

Radha: All right. Sir, secondly, you have been trying to increase the export sales especially to European Union. When do you expect these numbers to start reflecting? And what has been the changes in the supply chain in our key export markets like Europe, Middle East, Africa in the last six months?

Rakesh Nayyar: The demand from Europe has been very erratic because there have been some segments or some nations, there were no demands coming up. But they also have their local capacities there and the demand is low. And also, we hope that our demand will certainly pick up from India once the India -EU FTA is signed. And if once that is done, yes, then Europe will hopefully open for us and we will be able to compete with the other

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nations who have an FTA agreement with the EU. But otherwise also, the demand from Europe was kind of dull in the last nine months.

Radha: All right, sir. Thanks. Sir, last question. What is the fixed cost per month of running the ABS first line facility?

Rakesh Nayyar: I will not be able to share that with you, Radha. The depreciation is the fixed cost, which is the major fixed cost for us. And that incremental depreciation is there, which is closer to Rs. 8 crore a quarter for us.

Radha: Okay, sir. Thanks and all the best to you.

Moderator: Thank you. The next question is a follow -up question. It is from the line of Nirav Jimudia with Anvil Wealth. Please go ahead.

Nirav Jimudia: Thanks for the opportunity again. Sir, just two clarifications. Sir, one on the X mold side. Last time when we had a call, you mentioned that the utilization rates were closer to around 79% for six months and 72% for the second quarter. So, how it has been in Q3 and just a clarification on the compounding capacities. I think my understanding suggests that combining us and X mold, we are today at around 60,000 tonnes of compounding capacity. So, if you can just help me with that.

Rakesh Nayyar: Yes, sir. X mold is concerned. They have been trying to get new customers and the old customers who are not good paymasters or wanted extended credit lines and all that, we have been kind of staying away from them now. And I am happy to tell you that the two of the larger OEM suppliers had sampled their product for their required compounds and one of them, has already given the orders, Sample orders have come in. The other one is in the process of giving us the orders and the third large consumer of compounds is also coming now in the next few days . So, it is a transitional period and we are confident that the X mold in the next financial year would be significantly increasing their

utilization rate

there. From their current volumes, they should be seeing almost 20% to 25% increase in their volumes .

Nirav Jimudia: Got it, sir. And with respect to our capacities in terms of compounds, like with the recent addition of the ABS line, when can we say that like or have a visibility in terms of going closer to the full utilization levels before we plan any CAPEX there?

Rakesh Nayyar: We are waiting for our ABS now to start and once that happens, then we will be able to more and more use our compounding lines which we have set up.

Nirav Jimudia: Correct. Thank you so much, sir, and wish you all the best.

Moderator: Thank you. The next question comes from the line of Aditya Khetan with SMIFS Institutional Equities. Please go ahead.

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Aditya Khetan: Thank you, sir, for the follow -up. So, just a couple of questions. Sir, any update on EPS Phase 2 expansion? And sir, what sort of maintenance CAPEX we would be taking in FY'26 and FY'27? And apart from Phase 2 ABS and Haryana, any other new CAPEX or new businesses like we have identified considering we are having a good amount of cash on

the balance sheet?

Rakesh Nayyar: Your question was that how much CAPEX you are going to incur in the coming year?

Aditya Khetan: Correct, sir. Maintenance CAPEX and the growth CAPEX both.

Rakesh Nayyar: Yes. So, we estimate that we will be doing around Rs. 250 crores to Rs. 275 crores of CAPEX in the coming year. So, that is our estimation. We shall be incurring this CAPEX mainly at Chennai and Amdoshi and infrastructure developments at Panipat. These are the three locations. And as far as the EPS Phase 2 is concerned, that should be going operational in the coming month in February or by March.

Aditya Khetan: Okay. Sir, just one fundamental question. Sir, on ABS, is there any volumes which have been booked in this quarter or everything has been converted as a compound book?

Rakesh Nayyar: There is no booking of volume because the material is produced and sold. The orders come in, they are fulfilled. But right now, we are not taking any orders also because until otherwise we are satisfied, the plant is up and ready after this mishap what has happened. So, no orders have been taken.

Aditya Khetan: Okay. So, sir, now the focus remains on the Haryana project only and the Phase 2 of ABS.

Rakesh Nayyar: Yes, that is right.

Aditya Khetan: Okay, got it. Thank you.

Moderator: Thank you. The next question comes from the line of P. Venkatesh with Corporate Database India Private Limited. Please go ahead.

P. Venkatesh: Thank you for the opportunity, sir. Just wanted to understand, are we covered with the loss of production of the ABS plant? Secondly, the proprietary manufacturers, have they encountered any such problems in their earlier projects or is this something which has uniquely happened in other projects? And thirdly, can you please let us know, what is the progress on, how has the XPS segment fared till in the current year? Thank you.

Rakesh Nayyar: Our collaborators or the equipment suppliers, they are also shocked because this is the first time they are encountering this kind of an incident. They have never had any such incident in the past at any other location. As far as insurance is concerned, the plant is under warranty and is fully insured. And XPS is concerned. Yes, XPS demand, except the

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monsoon period, has been doing well. We are currently operating our XPS at around 70% utilization.

P. Venkatesh: Thank you.

Moderator: Thank you. We have our next question. It is from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

Rahul Agarwal: Yes, hi. Thank you for the follow-up. So just two basic questions on the mass ABS side. Firstly, I understand that ABS is a credit market. The channel needs kind of 40, 45-day credit at least, you know, to monetize their own sales and then pay back to y

ou.

Historically, obviously, polystyrene has been very lean in terms of receivable cycle. Incrementally, how would you deal with this situation in terms of, you know, the ABS customers obviously need more credit. So we will be in line with the industry. Any thoughts on this in terms of how do we manage this?

Rakesh Nayyar: Rahul, see, when we came into the polystyrene and EPS market, the credit periods were also very long. It all depends upon the product supply, the quality, and the kind of discipline we want to follow. And like I just said, in for our X-mold also, the customers who wanted extended credits or they were defaulting in payments, we have kind of said no to them now for future supplies. That has of course reduced our volumes in the interim. But we know going forward, it will be good for us. And here we will have to talk to the other players also to change the credit period pattern maybe. But then I am sure this can be curtailed from 45 days to 30 days or maybe lower numbers. It is not a very big issue there as far as the credit terms are concerned.

Rahul Agarwal: Okay. And secondly, you know, as we have been saying that as the customers test samples, there are matching issues which come up. Ultimately, it all gets sorted once the supply is on time and the mixing is done. Incrementally, what we are seeing is domestic customers who are right now using ABS either from imports or from existing suppliers will try and have some kind of 5% to 10% mixing in the existing product purely to get more whiteness, more gloss. And then that is how this business will actually evolve over time. Is this understanding right? Or is it going to be only new products?

Rakesh Nayyar: No, I do not think it will be getting mixed with that material. Maybe if they want to do compounding they can do it. But then otherwise, the master batches and other will be made for these grades, which are being done now by many and for certain colours, because eventually the master batch cost will come down for our material. The pigments you need for this because it is white base. So, to colour a white base is required less of a pigment as compared to colouring an ivory colour or a creamish colour or a yellowish material. So, over a time, once the grades are developed, this will become a preferred

material then. And the colours will eventually be the same because specific master batch would be used . Eventually they will match the colour . There will be no mixing of the

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kind that they will mix 10% of this with 90% of that. That can be done only in compounding business . That is my understanding.

Rahul Agarwal: Right. So, basically, what we are saying is whatever, you know, 50,000 tonnes kind of ABS imported today, we will replace that market with our products once the customer is satisfied with the company, you know, the master batch mixing. Right?

Rakesh Nayyar: That is right.

Rahul Agarwal: And then that material is comparable to the existing ABS, which is getting sold on a value -added basis from other suppliers in India. Is that correct?

Rakesh Nayyar: Yes, that is right.

Rahul Agarwal: Okay. Thank you so much. Have a good evening. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Rakesh Nayyar: Thank you all for participating in the earnings conference call. If you have any further questions or would like to know more about the company, please reach out to our investor relations managers at Valorem Advisors. Thank you so much. Thank you.

Moderator: Thank you. On behalf of Supreme Petrochem Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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